Plane Speaking - October 2026

Our top ideas for Q4 2026

In 2026 YTD the five European Civil Aero (ECA) companies we cover (ex-Senior) have on average performed in-line with local markets, albeit with Rolls-Royce and Safran outperforming and Melrose underperforming. We remain positive on the aero engine aftermarket, which has proved very resilient in the face of the high jet fuel price. The European Defence Sector (EDS) has on average underperformed local markets by c6% but there is a huge disparity in performance. Investors are showing a clear preference for Defence companies with a long duration order book and a wide moat (i.e. their products cannot easily be substituted); we believe **BAE (OW) / Leonardo (OW) / Babcock (OW)** all fall into this category. Investors have meaningfully de-rated companies where they fear the technology could be displaced (e.g. Rheinmetall / CSG / RENK). The debate over technology displacement is complex and the answer will not be clear for many years. The onus is on the affected companies to make the case that their businesses have duration, so investor events hosted by RHM (Nov 27th) and RENK (Dec 8th) will be very important. We recently placed **MTU Aero Engines and Leonardo on Positive Catalyst Watch**; we also placed **Rheinmetall on Negative Catalyst Watch**. Looking beyond 2026, our analysis suggests **Rolls-Royce and Safran will continue to be strong performers in the medium-term; we see both as core holdings**.

- **MTU Aero Engines (OW) - Pos Catalyst Watch into its CMD on Nov 30th**: Over the last three years, MTU's share price has meaningfully underperformed against RR and SAF. The main reason for this has been the recall of the GTF engine, which has cost MTU c$1bn. However, the recall should be largely complete by the end of 2026 and the GTF Advantage (a much improved version of the GTF) has just entered service. At its CMD we expect MTU to update its med-term guidance, with a detailed roadmap on how it expects to deliver much better FCF through to the end of this decade.
- **Leonardo (OW, AFL) - Pos Catalyst Watch into its Industrial Plan (IP) update in March 2027**: Of the European Defence stocks we cover, since Jan 1st LDO has had the highest increase in BBG consensus EPS for 2026-28 (+8%/+11%/+10%). LDO is making good progress cutting its costs on the back of the IP unveiled in March 2024. In May 2026, LDO appointed Lorenzo Mariani as its new CEO. In March 2027 we expect Mr Mariani to present an update of the IP and we think there is a high probability that the company sets new, higher targets for cost savings and group Adj. EBIT margins.
- **Rheinmetall (N) - Neg Catalyst Watch into its CMD on Nov 27th**: We do not expect RHM to reduce its 2030 sales guidance (€50bn in sales, including €5bn from yet to be announced M&A), although we think this target is too ambitious (JPMe for 2030 sales is €36.9bn). However, we do expect RHM to change the composition of its sales guidance, with less from "old products" (ammunitions; manned land vehicles) and more from "new products" (missiles; digital systems; drones; space; autonomy). This could lead to lower EPS for two reasons. First, some of the "old products" have very high margins. Second, many of the "new products" will be sold via JVs which RHM intends to fully consolidate; this could mean a higher minority charge on RHM's P&L.

European Aerospace & Defense

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	Rating		Curr Price	Target Price	Upside
Civil Aero					
AIR (AFL)	OW		193	244	27%
MTU Aero	OW	+CW	368	465	26%
Safran	OW		333	460	38%
Melrose	OW		474	750	58%
RR	OW		1,474	1,800	22%
Defence - primes					
Dass. Av.	N		291	350	20%
Thales	N		226	280	24%
Rheinmetall	N	-CW	966	1,350	40%
LDO (AFL)	OW	+CW	49.2	73.0	48%
BAE Syst.	OW		1,966	2,450	25%
CSG	OW		14.7	27.5	87%
Defence - SMID					
Hensoldt	N		75.5	100	32%
OHB	OW		188	300	60%
RENK	OW		39.6	62.0	56%
Vincorion	OW		17.4	27.0	55%
Exosens	OW		59.9	76.4	27%
Babcock	OW		986	1,500	52%
Qinetiq	OW		490	565	15%

Source: J.P. Morgan Research; Bloomberg Finance L.P.
All PTs are Dec-27; Current prices as at COB in Europe on Sep 28th, 2026.

See page 78 for analyst certification and important disclosures, including non-US analyst disclosures.

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Summary

Upcoming results & events

Table 1: Upcoming results / company events / roadshows / conferences

Date	Company	Country	Event	Comment	Time period covered
22 Oct	Thales	Fr	Q3 26 revenue		Jul - Sep 2026
23 Oct	Saab	Sw	Q3 26 results		Jul - Sep 2026
23 Oct	Safran	Fr	Q3 26 revenue		Jul - Sep 2026
27 Oct	Exosens	Fr	Q3 26 revenue		Jul - Sep 2026
28 Oct	Airbus	Fr / Ger	Q3 26 results		Jul - Sep 2026
29 Oct	MTU Aero	Ger	Q3 26 results		Jul - Sep 2026
05 Nov	Leonardo	Ita	Q3 26 results		Jul - Sep 2026
05 Nov	Hensoldt	Ger	Q3 26 results	We see potential for HAG to increase its FY26 guidance	Jul - Sep 2026
05 Nov	RENK	Ger	Q3 26 results		Jul - Sep 2026
05 Nov	Rheinmetall	Ger	Q3 26 results		Jul - Sep 2026
11 Nov	CSG	Cz	Q3 trading update		Jul - Sep 2026
11 Nov	Vincorion	Ger	Q3 26 results		Jul - Sep 2026
12 Nov	OHB	Ger	Q3 26 results		Jul - Sep 2026
12 Nov	QinetiQ	UK	H1 results (YE Mar-27)		Apr - Sep 2026
18 Nov	Melrose	UK	Q3 trading update		Jul - Sep 2026
19 Nov	Babcock	UK	H1 results (YE Mar-27)		Apr - Sep 2026
Date	**Company**	**Country**	**Event**		**Location**
10 Nov	Hensoldt	Ger	Capital Markets Day		London, UK
26-27 Nov	Rheinmetall	Ger	Capital Markets Day	Neg Catalyst Watch: we see downside to med-term consensus EPS	Hamburg, Germany
30 Nov	MTU Aero	Ger	Capital Markets Day	Pos Catalyst Watch: we expect MTU to outline a roadmap to better med-term FCF	Munich, Germany
08 Dec	RENK	Ger	CEO Strategy Update		London, UK

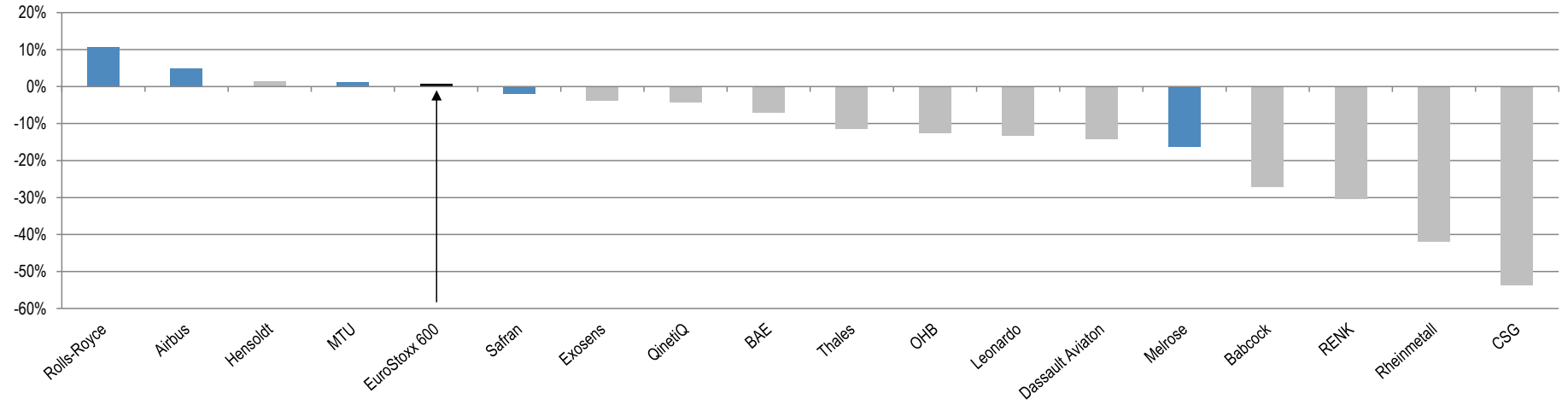
Source: Companies; J.P. Morgan

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Key chart: performance of European A&D since start of Iran War

Figure 1: Performance of European A&D since start of Iran War (Feb 28th, 2026)



Source: Bloomberg Finance L.P. (COB Sep 28th, 2026)

- Since the start of the conflict in Iran, many European Civil Aero (ECA) stocks have slightly outperformed the European market whereas the European Defence sector (EDS) has significantly underperformed the market. This is the opposite of what many analysts and investors expected.
- **Why has the ECA aftermarket been so resilient?**
    - Airlines have not (so far) changed their behaviour; they are not retiring planes and continue to spend on maintenance, perhaps for fear of losing market share if the war ends abruptly
    - A huge shortage of new aircraft deliveries since 2019 has led to an older aircraft fleet that needs more maintenance
    - An improving supply chain is allowing the engine companies to perform higher-value shop visits (ie. better workscope)
- **Why has the EDS been so weak?**
    - Worries over govt debt and higher bond yields
    - Growing concerns over “new defence” vs. “old defence” has weighed heavily on several companies
    - Company-specific issues (e.g. Babcock’s charge on the Type 31 frigate; RHM hit by cancellation of F126 frigate)

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Bull & Bear points - Civil Aero

Sector / company	Bull	Bear
Eur. Civil Aero sector	• **New aircraft deliveries**: huge backlog • **Aftermarket**: aging fleet drives higher workscope; and strong price increases • **R&D holiday**: no major all-new development programmes likely to be launched until c2030	• **Price of jet fuel has soared,** weighing on air travel and airline profits • **Higher interest rates** might affect ability of some airlines to finance new deliveries • Supply chain: getting better for some (eg. Safran); other companies still facing issues
Airbus (OW)	• Strong increase in aircraft deliveries expected in coming years, if the supply chain can deliver • **New medium-term guidance (per July 2026 Business Update) looks credible and achievable** • Very strong balance sheet; SBB announced in July 2026	• Track record on raising production has been poor in the last c3 years (due to supplier issues and internal execution) • $ is a modest headwind at current levels
Safran (OW)	• **On H1 26 call mgmt was exceptionally bullish about "structural tailwinds" to the civil aero aftermarket in 2027-28** • Huge aftermarket growth is "baked in" through to 2040 • €5bn share buyback to be undertaken in 2025-28	• $ is a potential major headwind after 2029 • CFM International (GE/SAF JV) quite likely to lose its monopoly position with Boeing on its next gen single aisle
MTU Aero (OW)	• Trading at a notable discount to Safran and Rolls-Royce • Potential for better news on the GTF in 2026 if the recall is mostly concluded and the GTF Advantage successfully enters service • We expect a significant improvement in FCF later this decade	• Cash conversion will be weak again in 2026E as MTU pays its share of the compensation for the GTF recall • $ is a headwind at current levels
Rolls-Royce (OW)	• Benefitting from multiple macro tailwinds (civil aero recovery; higher defence spending; demand for diesel engines to power data centres) • Ongoing self-help story • Strong FCF and balance sheet; £7-9bn share buyback planned for 2026 to 2028	• Risk of one or more end markets starting to roll-over • Potential cost of re-entering narrow-body aero engine market
Melrose (OW)	• We expect a material improvement in FCF in 2027-30 driven by: rising profit; the end of restructuring costs; the end of the GTF engine recall; and improving cash flows from a maturing RRSP portfolio • Potential for better news on the GTF in 2026 if the recall is mostly concluded and the GTF Advantage successfully enters service	• Garden Grove incident impacts FCF in 2026 and 2027 • GTF programme weighs on FCF through to 2027 • Accounting policies on RRSPs lead to a mismatch of profit and cash flow • Weaker $ is a headwind
Senior (N)	• Rising aircraft production should result in better margins • **Senior is currently subject to a takeover bid**	• $ weakness would be a headwind • Declining orders for US heavy trucks suggests that 2026 will be challenging for Flexonics

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Bull & Bear points - Defence

Sector / company	Bull	Bear
Eur. Defence sector	• Significant increase in European and Asian defence spending already underway; **new potential for higher US and M.East defence spending as well** • Strong balance sheets and FCF support M&A and shareholder returns	• Several European countries are not raising defence spending as much as expected • **Growing debate over 'new' vs 'old' defence technologies** • Potential Russia-Ukraine ceasefire (but very unlikely in 2026 in our view) • Execution risk for those companies with very high expected growth (mainly the Germans)
Babcock (OW)	• We expect significant contract news flow in 2026/27 driving EPS upgrades (e.g. UK submarine maintenance; multiple warship exports; UK military vehicles programme; UK nuclear warhead renewal) • Another £200m SBB in YE Mar 2027.	• CEO transition to navigate • UK fiscal position is not good
BAE Systems (OW)	• **In the European Defence Sector, BAE is the company most exposed to higher US and M.East defence spending** • We expect at least MSD organic sales growth for the next 10 years • Strong FCF; scope for ongoing share buybacks • Potential for significant contract news flow in the next year (e.g. Eurofighter exports; Type 26 to Norway; AUKUS; armoured vehicles / munitions in Europe; M.East air defence)	• Expects only modest EBITA margin expansion in the coming years • UK fiscal position is not good
Qinetiq (OW)	• Strategic review of US business • 100% of FCF in YE Mar 27 will be allocated to dividends and share buybacks	• UK fiscal position is not good • UK is prioritising defence spending on submarines and munitions, leaving less money for QQ's technology service offerings
Leonardo (OW)	• With c80% of sales from defence & governmental activities, LDO should benefit from rising global defence spending • Significant scope for self-help; the last of the European A&D companies to undergo a major efficiency programme / cultural transformation • A number of acquisitions and JVs are under negotiation that could lead to significant EPS upgrades in 2026/27 (Space JV; Aerostructures)	• Italy's high govt debt/GDP means it has less ability to raise defence spending • The J.P. Morgan clean EBITA margin for LDO is much lower than the LDO defined EBITA margin. We deduct associates, capitalised R&D, and adjust for recurring below the line charges
CSG (OW)	• We expect a mid-teens sales CAGR from 2025 to 2023E • Very high Adj. EBIT margin • Low cost base means CSG is very well positioned to manufacture new low cost defence products	• Execution risk as CSG significantly ramps up production • Consumer ammo business in the US is harder to forecast • Some investors questioning the sustainability of M/L Ammo sales and margins

Sector / company	Bull	Bear
Hensoldt (N)	• German gov't wants HAG to be a national champion in defence electronics • Major beneficiary of higher German defence spending • Strong product niches (e.g. radar for air defence systems; periscopes for armoured vehicles)	• Execution risk as HAG significantly ramps up production • Earnings quality: capitalises R&D; restructuring charges below-the-line through to 2029
OHB (OW)	• A unique asset: The leading pure-play space prime in Europe • Germany plans to spend €35bn on military space from 2026 to 2030. • Optionality on rocket launchers and the "future of space"	• Execution risks as it seeks to grow c25% pa for five years • Technical risks on fixed price contracts • Competitive pressures in both satellites and launchers
RENK (OW)	• Strong technology and market position in transmissions, driving high EBITA margins • Very international customer base (Germany was only 13% of 2025 defence sales) with significant aftermarket (36% of 2025 sales) • Potential disposal of civil businesses, with proceeds reinvested in defence M&A	• More vulnerable than defence peers to a sell-off in the event of a Russia-Ukraine ceasefire • Worries that new technologies (e.g. drones) could lead to lower demand for vehicles • **Industrial businesses are not performing well**
Rheinmetall (N)	• Massive beneficiary of higher German defence spending • Significant success with defence exports • Opportunity for EBITA margin expansion	• Execution risk as it seeks to grow sales 4-5x from 2024 to 2030 • More vulnerable than defence peers to a sell-off in the event of a Russia-Ukraine ceasefire • **Worries that new technologies (e.g. drones) could lead to lower demand for vehicles and ammunition**
Vincorion (OW)	• High teens sales CAGR from 2025 to 2030E driven by exposure to German armoured vehicles and ground-based air defence systems. • In 2025 c55% of sales were from the aftermarket • Roll-out of new products to drive growth (e.g. tactical power systems; electric rescue hoists)	• Execution risk as Vincorion significantly ramps up production • High level of capitalised R&D in 2026 and 2027; weighs on FCF in 2026-27 • Worries that new technologies (e.g. drones) could lead to lower demand for vehicles
Dassault Av. (N)	• Very strong defence order backlog, with opportunities to win further orders for fighter jets from existing customers (India; Indonesia) and new customers (e.g. Ukraine) • Business jet segment to benefit from two all-new product introductions • Exceptionally strong balance sheet; high interest income on net cash balance	• French political and economic situation brings uncertainty • Governance: Dassault family owns c63% of DA and has c78% of its voting rights
Exosens (OW)	• Good way to play many positive themes in defence: exposure to Germany; growing exposure to drones; potential M&A target • Highest EBITA margins in our European A&D coverage	• Risks related to acquisition strategy • Private equity sponsor could reduce stake in the coming years
Thales (N)	• **Defence business is performing very well (growth and margins)** • Proposed Space JV with Airbus / Leonardo should create value • Strong FCF and balance sheet gives optionality	• French political and economic situation brings uncertainty • **Cyber & Digital business significantly disappointed in 2024 / 2025 / H1 2026**

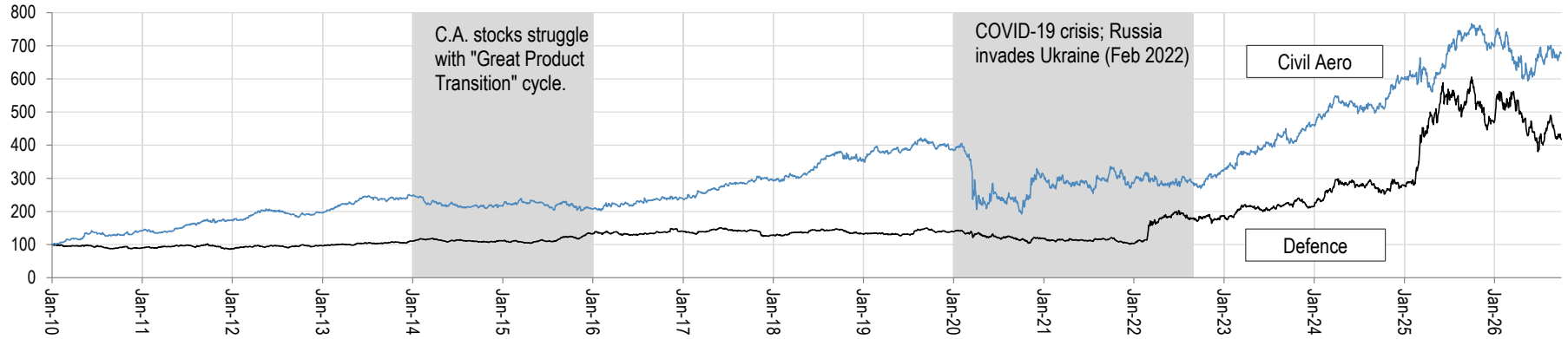
Source: J.P. Morgan Research

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Performance and valuation

Sector performance: long term and short term

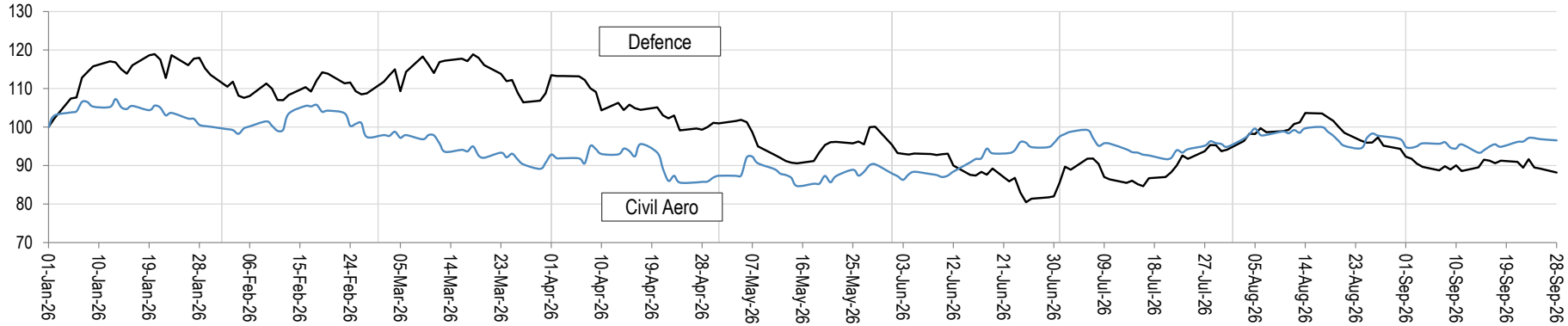
Figure 2: European Civil Aero index and European Defence Sector index – relative to MSCI Europe since 2010 (Jan 10 = 100)



Source: Bloomberg Finance L.P. (COB Sep 28th, 2026). *Note: Our Civil Aero index is unweighted and rebalanced daily; includes: AIR, MTU, RR, SAF, MGGT (until Aug 2nd, 2021 when the Parker-Hannifin bid was first announced), Zodiac (until Jan 19th, 2017 when the SAF/ZOD acquisition was first announced) and MRO (since April 21, 2023). Our Civil Aero index excludes Senior (which in our view trades like a general industrial stock). Our European Defence index is unweighted and rebalanced daily. It includes BAE Systems, Babcock, Thales, Dassault Aviation, Rheinmetall, SAAB, Cobham (until July 25th, 2019 when the Advent bid was first announced), Ultra (until July 23rd, 2021 when the Advent bid was first announced), Leonardo, Qinetiq, Hensoldt (since Nov 2020), RENK (since Feb 2024), CSG (since Jan 2026) and Vincorion (since Mar 2026).

Figure 3: European Civil Aero Index and European Defence Sector index - relative to MSCI Europe since 2026 (Jan 26=100)*

Relative to local markets, both ECA and EDS are flat YTD, but there has been significant volatility



Source: Bloomberg Finance L.P. (COB Sep 28th, 2026)
*Note: For details on our indices see the footnote to the chart above.

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Global share price performance

Table 2: Global share price performance – absolute and relative

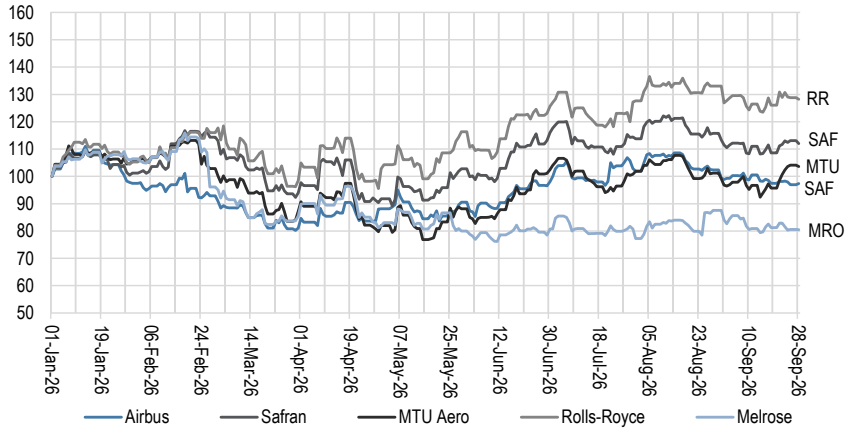
			Mkt Cap	Free float	12 mth (Loc CCY)		Absolute Share Performance since:				Relative % Perf (vs local mkt) since:			
	CCY	Price	US$	Mkt cap US$	High	Low	YTD	1m	3m	12m	YTD	1m	3m	12m
Airbus Group	Fr	193	173,888	129,133	220	159	-3%	-5%	1%	-1%	-2%	-1%	4%	-4%
Safran	Fr	333	158,338	131,503	364	265	12%	-3%	0%	13%	13%	1%	4%	10%
Rolls-Royce	GBp	1474	162,290		1,570	1029	28%	-4%	5%	25%	19%	-2%	3%	8%
MTU	Ger	368	22,555		402	273	4%	2%	3%	-1%	0%	7%	0%	-8%
Melrose	GBp	474	7,823		682	448	-20%	-8%	1%	-20%	-25%	-7%	0%	-25%
Eur. Civil Aero avg (ex Senior)			**524,895**				**4%**	**-4%**	**2%**	**3%**	**1%**	**-1%**	**2%**	**-4%**
Boeing	USD	189	149,048		252	179	-13%	-10%	-13%	-15%	-23%	-10%	-17%	-26%
General Electric	USD	318	329,784		381	273	3%	-7%	-14%	8%	-8%	-7%	-18%	-7%
Howmet Aerospace	USD	229	91,162		293	184.1	11%	-14%	-15%	18%	-1%	-13%	-19%	2%
TransDigm	USD	1,102	60,929		1,450	1,076	-17%	-7%	-17%	-15%	-26%	-7%	-20%	-26%
Honeywell Aero	USD	156	49,529		270	152	n/a	-4%	n/a	n/a	n/a	-3%	n/a	n/a
Standard Aero	USD	22.2	7,345		33.1	22.2	-23%	-11%	-21%		-31%	-11%	-24%	
US civil aero avg			**687,796**				**-8%**	**-9%**	**-16%**	**-1%**	**-18%**	**-8%**	**-20%**	**-14%**
Hensoldt	Ger	75.5	9,914	5,163	114	64.3	3%	-13%	16%	-27%	2%	-7%	19%	-29%
Rheinmetall	Ger	966	51,389		1,989	947	-38%	-16%	2%	-51%	-40%	-12%	-1%	-54%
RENK	Ger	39.6	4,503	3,783	88.4	39.6	-26%	-17%	-6%	-51%	-27%	-11%	-4%	-53%
Vincorion	Ger	17.4	987	437	22.6	15.6	n/a	-14%	4%	n/a	n/a	-9%	1%	n/a
CSG	Cz	14.7	16,735	2,544	33.0	12.4	n/a	-21%	16%	n/a	n/a	-19%	16%	n/a
Dassault Aviation	Fr	291	25,514	5,523	353	264	6%	1%	1%	3%	7%	5%	5%	1%
Thales	Fr	226	52,901	23,611	273	217	-2%	-8%	4%	-13%	-1%	-4%	8%	-15%
Exosens	Fr	59.9	3,468	1,851	72.9	41.0	24%	2%	11%	41%	28%	7%	14%	37%
Leonardo	It	49.2	32,347	19,062	64.3	45.0	0%	-7%	6%	-7%	-13%	-5%	5%	-23%
Saab	SEK	617	33,643	20,618	730	453	15%	-4%	27%	7%	1%	-2%	22%	-13%
BAE Systems	GBp	1,966	78,189		2,331	1,610	15%	-4%	9%	-2%	7%	-3%	7%	-15%
Babcock	GBp	986	6,411		1502	921	-21%	-7%	2%	-23%	-27%	-4%	-5%	-31%
Qinetiq	GBp	483	3,295		572	406	9%	-5%	17%	-10%	1%	-2%	9%	-19%
Europen Defence avg			**319,296**				**-1%**	**-9%**	**8%**	**-12%**	**-6%**	**-5%**	**8%**	**-20%**
General Dynamics	USD	336	90,896		396	313	0%	-11%	-3%	2%	-11%	-11%	-7%	-12%
Lockheed Martin	USD	521	120,240		677	439	8%	-8%	3%	7%	-4%	-7%	-2%	-8%
Northrop Grumman	USD	511	72,570		768	496	-10%	-6%	2%	-14%	-20%	-6%	-2%	-26%
L3Harris Technologies	USD	239	44,474		378	238	-19%	-9%	-18%	-19%	-27%	-9%	-21%	-30%
Huntington Ingalls	USD	259	10,206		454	259	-24%	-12%	-8%	-7%	-32%	-12%	-12%	-20%
US defence avg			**338,386**				**-9%**	**-9%**	**-5%**	**-6%**	**-19%**	**-9%**	**-9%**	**-19%**
OHB	Eur	187	4,432	670	624	93.1	63%	-2%	-32%	126%	62%	5%	-30%	119%
MDA Space	CAD	44.4	5,076	4,677	67.1	21.4	67%	11%	-12%	33%	48%	11%	-16%	15%
Selected space companies - avg			**9,508**				**65%**	**4%**	**-22%**	**80%**	**55%**	**8%**	**-23%**	**67%**

Source: Company filings; Bloomberg (COB Sep 28th, 2026). **BAE Systems, Rolls Royce and Melrose relative to FTSE 100; Babcock, Qinetiq and Senior relative to FTSE 250; Airbus Group, Dassault Aviation, Safran, Thales relative to CAC 40; Exosens relative to the CAC Mid 60 index; MTU and Rheinmetall relative to DAX, Hensoldt, RENK, Vincorion and OHB relative to MDAX; Leonardo relative to FTSE MIB; CSG is relative to MSCI Europe; All US stocks relative to S&P500.

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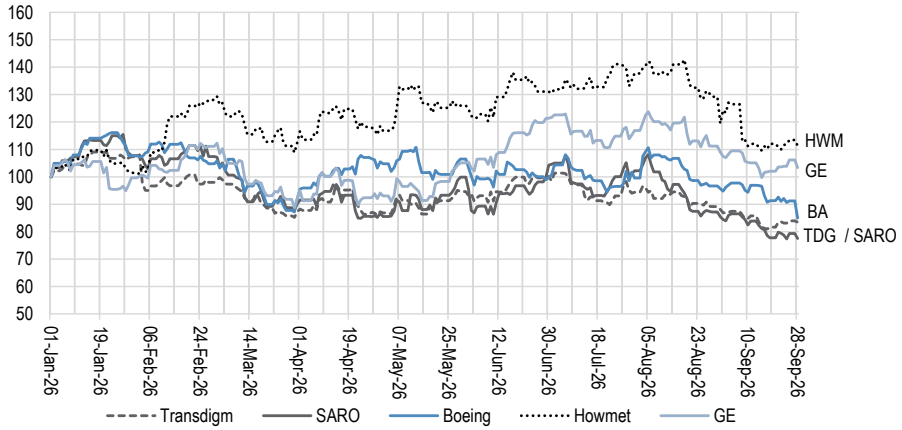
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Figure 4: European Civil Aero share price performance (indexed to 100 on 1/1/26)



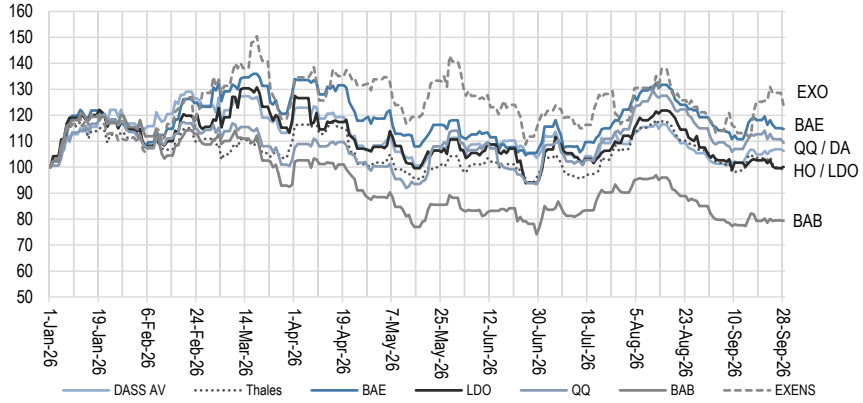
Source: Bloomberg Finance L.P. (COB Sep 28th, 2026)

Figure 5: US Civil Aero share price performance (indexed to 100 on 1/1/26)



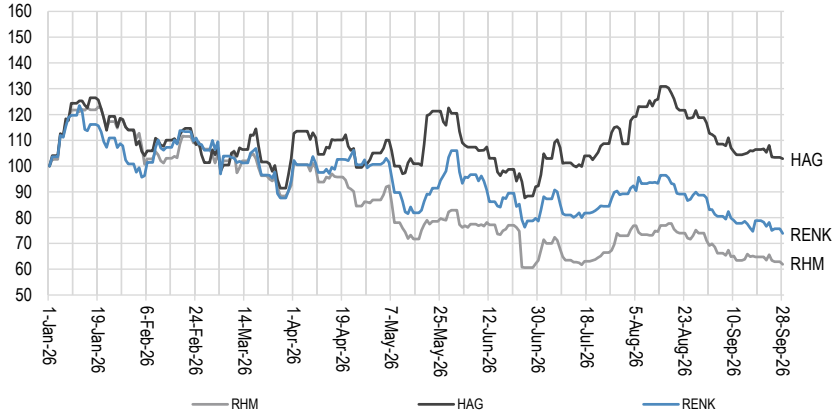
Source: Bloomberg Finance L.P. (COB Sep 28th, 2026)

Figure 6: European Defence (ex Germany) share price performance (indexed to 100 on 1/1/26)



Source: Bloomberg Finance L.P. (COB Sep 28th, 2026)

Figure 7: German Defence share price performance (indexed to 100 on 1/1/26)



Source: Bloomberg Finance L.P. (COB Sep 28th, 2026)

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Valuation table - Civil Aero

Table 3: Valuation multiples for Global Aerospace sector

		Rec. (A)	Price	PT	PT Basis	Up-side	JPM def. FCF yld (1) CY26	CY27	CY28	CY29	CY30	Simple P/E (co. def. EPS) CY26	CY27	CY28	CY29	CY30	JPM clean P/E (2) CY26	CY27	CY28	CY29	CY30	JPM EV / EBITA (3) CY26	CY27	CY28	CY29	CY30	Div yld (4) CY26
Airbus	Fr	OW	193	244	Dec-27	27%	2.8%	3.8%	4.9%	6.0%	6.6%	26.7	23.6	19.1	15.9	14.6	28.8	25.1	20.2	16.6	15.2	20.2	17.6	14.1	11.4	10.2	1.7%
Safran	Fr	OW	333	460	Dec-27	38%	3.3%	3.2%	4.1%	4.6%	4.9%	34.3	28.1	21.6	19.3	17.9	34.7	28.3	21.8	19.3	17.9	22.8	19.1	16.4	14.3	13.0	1.0%
Rolls-Royce	UK	OW	1,474	1,800	Dec-27	22%	3.2%	4.0%	4.6%	5.2%	5.7%	33.9	30.0	25.5	22.1	19.3	35.0	30.7	26.0	22.5	19.6	24.2	21.4	18.4	15.7	13.5	0.7%
MTU Aero	Ger	OW	368	465	Dec-27	26%	2.5%	3.2%	4.0%	5.3%	6.2%	19.0	17.3	15.9	14.4	13.0	19.7	17.8	16.2	14.5	13.0	14.6	13.2	11.9	10.5	9.2	1.0%
Melrose	UK	OW	474	750	Dec-27	58%	1.3%	3.9%	7.0%	9.5%	11.7%	13.9	10.0	8.3	7.0	6.1	13.2	9.6	8.0	6.8	6.0	11.9	9.1	7.7	6.4	5.4	1.6%
Eur Civil Aero avg							**2.6%**	**3.6%**	**4.9%**	**6.1%**	**7.0%**	**25.6**	**21.8**	**18.1**	**15.7**	**14.2**	**26.3**	**22.3**	**18.4**	**15.9**	**14.3**	**18.7**	**16.1**	**13.7**	**11.7**	**10.3**	**1.2%**
Boeing	US	OW	188	290	Dec-27	54%	1.4%	3.7%	5.6%	7.2%	8.5%	n/m	n/m	n/m	n/m	21.0											n/a
General Electric	US	OW	318	400	Dec-27	26%	2.8%	3.0%	3.2%	3.5%	4.0%	40.0	35.7	31.8	28.4	25.2											0.4%
Howmet Aero	US	OW	229	350	Dec-27	53%	2.1%	2.6%	3.1%	3.6%	4.1%	42.3	35.2	29.6	25.9	22.9											0.3%
TransDigm	US	N	1,103	1,415	Dec-27	28%	3.3%	4.2%	4.8%	5.4%		25.8	22.4	19.5	17.3												n/a
Honeywell Aero	US	N	157	235	Dec-27	50%	2.8%	5.3%	5.9%	6.7%	8.0%	20.2	17.7	15.7	14.0	12.0											n/a
Standard Aero	US	OW	22.2	40.0	Dec-27	80%	3.8%	4.5%	5.8%	6.7%	7.7%	14.1	13.1	11.1	9.8	8.7											n/a
US Civil Aero avg							**2.7%**	**3.9%**	**4.7%**	**5.5%**	**n/m**	**28.5**	**24.8**	**21.5**	**19.1**	**n/m**											**0.4%**

(A) US A&D stocks are covered by J.P. Morgan's US analyst Seth Seifman
(1) JPM def. FCF is post everything except fines, M&A, dividends, share buyback/issuance, FX/other valuation adjustments. (4) Div yld is based on cash dividends to be paid in the relevant cal. year.
(2) JPM clean P/E is EPS adj. for capitalised costs, BTL exceptionals, and pension finance charges when companies exclude them.
(3) JPM def. EV includes op leases, factoring, net pension deficits, govt launch aid, excess cust. advances, and net cash provisions still to be utilised. JPM def. Clean EBITA is after deducting below the line exceptional items we deem to be operational and after deducting net capitalised R&D; we also add back est. interest on excess customer advances.
Source: J.P. Morgan Research estimates; Bloomberg Finance L.P. (Prices as at COB in Europe on Sep 28th, 2026.) (JPM ratings: OW = Overweight; N = Neutral; UW = Underweight; NR = Not rated.)

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Valuation table - Defence and Space

Table 4: Valuation multiples for Global Defence and Space sector

		Rec.	Price	PT	PT	Up-	JPM def. FCF yld (1)					Simple P/E (co. def. EPS)					JPM clean P/E (2)					JPM EV / EBITA (3)					Div yld (4)
		(A)			Basis	side	CY26	CY27	CY28	CY29	CY30	CY26	CY27	CY28	CY29	CY30	CY26	CY27	CY28	CY29	CY30	CY26	CY27	CY28	CY29	CY30	CY26
Saab (5)	Sw	n/a	617	n/a	n/a	n/a						41.0	32.1	26.0	23.5	20.9											
Kongsberg (5)	Nor	n/a	312	n/a	n/a	n/a						43.5	29.1	21.3	16.5	13.8											
BAE Systems	UK	OW	1,966	2,450	Dec-27	25%	3.5%	4.3%	4.8%	5.4%	5.8%	23.6	20.8	18.6	16.8	15.2	23.2	20.5	18.4	16.6	15.1	18.8	16.8	15.3	13.9	12.6	1.9%
Thales	Fr	N	226	280	Dec-27	24%	4.5%	4.5%	5.4%	6.1%	6.7%	21.3	19.1	16.3	14.6	13.1	25.3	19.1	16.3	14.6	13.1	17.1	15.9	13.7	12.0	10.6	1.7%
Rheinmetall	Ger	N	966	1,350	Dec-27	40%	3.6%	4.2%	5.1%	6.9%	8.7%	26.9	19.4	14.7	12.0	9.9	28.0	19.8	15.1	12.3	10.1	21.2	15.5	11.8	9.4	7.4	1.5%
Leonardo	It	OW	49.2	73.0	Dec-27	48%	4.7%	4.8%	5.4%	6.4%	7.7%	20.6	16.8	14.2	12.1	10.8	22.2	17.8	14.9	12.6	11.2	15.9	13.1	11.0	9.2	8.0	1.5%
Dassault Aviation	Fr	N	291	350	Dec-27	20%	1.1%	-0.6%	-2.0%	-2.1%	4.7%	19.3	17.0	12.8	11.6	10.5	19.5	17.0	12.9	11.7	10.6	6.9	5.6	4.5	4.0	3.1	1.6%
CSG	Cz	OW	14.7	27.5	Dec-27	87%	5.7%	6.6%	10.0%	11.6%	13.5%	13.0	10.7	8.9	7.5	6.5	13.0	10.7	8.9	7.5	6.5	11.0	9.3	7.7	6.3	5.3	n/a
Eur Defence large caps avg							**3.9%**	**4.0%**	**4.8%**	**5.7%**	**7.8%**	**26.2**	**20.6**	**16.6**	**14.3**	**12.6**	**21.9**	**17.5**	**14.4**	**12.5**	**11.1**	**15.2**	**12.7**	**10.6**	**9.1**	**7.8**	**1.7%**
Exosens	Fr	OW	59.9	76.4	Dec-27	27%	1.8%	2.6%	3.2%	3.9%	4.8%	28.4	24.7	20.8	18.0	16.2	29.0	25.2	21.2	18.3	16.5	21.5	18.4	15.4	13.2	11.6	0.7%
Hensoldt	Ger	N	75.5	100	Dec-27	32%	1.6%	3.2%	3.9%	5.0%	6.3%	40.9	31.1	23.7	18.3	14.1	55.2	37.3	27.2	20.2	14.9	33.0	24.0	18.5	14.1	10.4	0.7%
OHB	Ger	OW	188	300	Dec-27	60%	0.5%	0.1%	2.4%	5.1%	6.9%	n/m	35.1	23.2	16.9	12.0	n/m	36.9	24.3	17.6	12.5	n/m	23.6	15.5	10.9	7.5	0.3%
RENK	Ger	OW	39.6	62.0	Dec-27	56%	3.5%	4.1%	5.3%	6.7%	8.8%	24.9	19.7	15.4	12.0	9.3	26.6	20.3	15.8	12.3	9.3	18.3	14.1	11.1	8.6	6.4	1.5%
Vincorion	Ger	OW	17.4	27.0	Dec-27	55%	0.4%	1.9%	3.9%	5.2%	7.9%	24.4	20.4	16.3	13.4	10.8	30.3	23.4	16.8	13.4	10.8	21.0	16.4	12.3	9.9	8.1	n/a
Babcock (cal.)	UK	OW	986	1,500	Dec-27	52%	5.2%	5.2%	6.3%	7.0%	8.3%	16.5	13.6	12.1	10.8	9.8	16.4	13.5	12.1	10.8	9.8	12.7	10.2	8.7	7.3	6.3	0.8%
Eur Defence SMID avg							**2.2%**	**2.8%**	**4.2%**	**5.5%**	**7.2%**	**27.0**	**24.1**	**18.6**	**14.9**	**12.0**	**31.5**	**26.1**	**19.6**	**15.4**	**12.3**	**21.3**	**17.7**	**13.6**	**10.7**	**8.4**	**0.8%**
G.Dynamics	US	OW	336	435	Dec-27	30%	5.3%	5.4%	5.7%	6.2%	6.5%	19.8	18.4	17.0	15.9	15.0											1.5%
L.Martin	US	N	520	620	Dec-27	19%	6.0%	5.4%	5.9%	6.3%	7.1%	16.9	16.3	15.1	13.8	12.8											2.4%
N.Grumman	US	N	509	600	Dec-27	18%	4.5%	4.8%	5.1%	6.0%	6.9%	17.4	17.2	15.8	14.5	13.5											1.5%
Huntington Ingalls	US	N	259	370	Dec-27	43%	5.3%	6.3%	7.7%	9.1%	10.7%	14.6	12.3	10.7	9.5	8.3											1.6%
US Defence primes avg							**5.3%**	**5.5%**	**6.1%**	**6.9%**	**7.8%**	**17.2**	**16.1**	**14.7**	**13.4**	**12.4**											**1.8%**
AeroVironment (cal.)	US	OW	149	210	Dec-27	41%	n/m	0.4%	1.2%	2.5%		40.3	35.4	32.1	24.3												n/a
Kratos	US	OW	44.5	86.0	Dec-27	93%	n/m	n/m	0.9%	1.9%	2.6%	51.7	39.6	28.8	24.1	21.0											n/a
Leonardo DRS	US	N	37.1	53.0	Dec-27	43%	2.6%	3.0%	3.5%	4.0%	4.2%	28.3	26.8	25.2	24.0	23.1											0.8%
Mercury Sys. (cal.)	US	N	80.2	110.0	Dec-27	37%	1.5%	2.1%	3.0%	3.8%		57.8	43.0	32.6	26.5												n/a
US Defence SMID avg							**2.1%**	**1.8%**	**2.2%**	**3.0%**	**3.4%**	**44.5**	**36.2**	**29.7**	**24.7**	**22.0**											**n/m**
MDA Space	Ca	OW	44.3	69.1	Dec-27	56%	n/m	3.7%	5.3%	5.7%	6.6%	35.3	22.8	20.3	18.4	17.0											n/a
York Space Systems	US	N	9.3	17.0	Dec-27	83%	2.3%	19.4%	8.3%			n/m	n/m	n/m													n/a
US Space SMID avg							**2.3%**	**11.6%**	**6.8%**			**n/m**	**n/m**	**n/m**													**n/m**

(A) US A&D stocks are covered by J.P. Morgan's US analyst Seth Seifman
(1) JPM def. FCF is post everything except fines, M&A, dividends, share buyback/issuance, FX/other valuation adjustments. (4) Div yld is based on cash dividends to be paid in the relevant cal. year.
(2) JPM clean P/E is EPS adj. for capitalised costs, BTL exceptionals, and pension finance charges when companies exclude them.
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Source: J.P. Morgan Research estimates; Bloomberg Finance L.P. (Prices as at COB in Europe on Sep 28th, 2026.) (JPM ratings: OW = Overweight; N = Neutral; UW = Underweight; NR = Not rated.)

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EPS revisions (consensus) since Jan 2026

Table 5: Change in consensus median EPS since the start of 2026 for European Civil Aerospace

RR significantly increased its guidance with its FY25 results

		BBG consensus as at 1 Jan 26			BBG consensus as 28 Sep 26			Change in estimates			% change in share price 2026 YTD
		2026	2027	2028	2026	2027	2028	2026	2027	2028	
Rolls-Royce	UK	32.6	36.8	39.8	43.4	49.4	58.6	33%	34%	47%	28%
Safran	Fr	10.58	12.00	13.6	10.39	13.1	14.8	-2%	9%	9%	12%
MTU	Ger	18.6	20.6	22.3	18.8	20.5	22.6	1%	0%	1%	4%
Melrose	UK	38.9	46.3	56.8	34.7	45.5	54.9	-11%	-2%	-3%	-20%
Airbus	Fr	7.84	9.47	11.6	7.32	8.82	10.92	-7%	-7%	-6%	-3%
Unweighted avg								**3%**	**7%**	**10%**	**4%**

Source: Bloomberg Finance L.P. (Sep 28th, 2026); J.P. Morgan

Table 6: Change in consensus median EPS since the start of 2026 for European Defence

Exosens / Babcock / Leonardo have delivered positive trading updates so far in cal 2026; BAE estimates for 2028 have risen on expectations for higher US defence spending

		BBG consensus as at 1 Jan 26			BBG consensus as 28 Sep 26			Change in estimates			% change in share price 2026 YTD
		2026	2027	2028	2026	2027	2028	2026	2027	2028	
Saab	Sw	13.3	16.1	18.4	15.2	19.2	23.5	14%	19%	28%	15%
Leonardo	Ita	2.21	2.63	3.11	2.38	2.91	3.41	8%	11%	10%	0%
Exosens	Fr	1.82	2.09	2.36	1.89	2.34	2.7	n/m	12%	12%	24%
Babcock*	UK	60.7	67.8	73.7	64.9	71.9	78.9	7%	6%	7%	
BAE Systems	UK	83.8	94.2	102	84.0	96.0	107	0%	2%	5%	15%
Thales	Fr	11.0	12.2	13.7	10.7	12.5	14.1	-2%	2%	3%	-2%
Qinetiq*	UK	34.6	37.8	42.7	33.8	37.5	41.9	-2%	-1%	-2%	9%
Hensoldt	Ger	2.01	2.49	3.20	1.88	2.47	3.21	-6%	-1%	0%	3%
RENK	Ger	1.78	2.20	2.8	1.70	2.14	2.71	-4%	-3%	-4%	-26%
Dassault Av.	Fr	17.0	18.9	22.2	15.4	18.3	21.9	-9%	-3%	-1%	6%
Rheinmetall	Ger	42.3	62.2	81.6	37.8	54.2	73.5	-11%	-13%	-10%	-38%
Unweighted avg								**-1%**	**3%**	**4%**	**1%**

*Qinetiq & Babcock 2026 equates to YE Mar 27; 2027 to YE Mar 28; 2028 to YE Mar 29

Source: Bloomberg Finance L.P. (Sep 28th, 2026); J.P.Morgan

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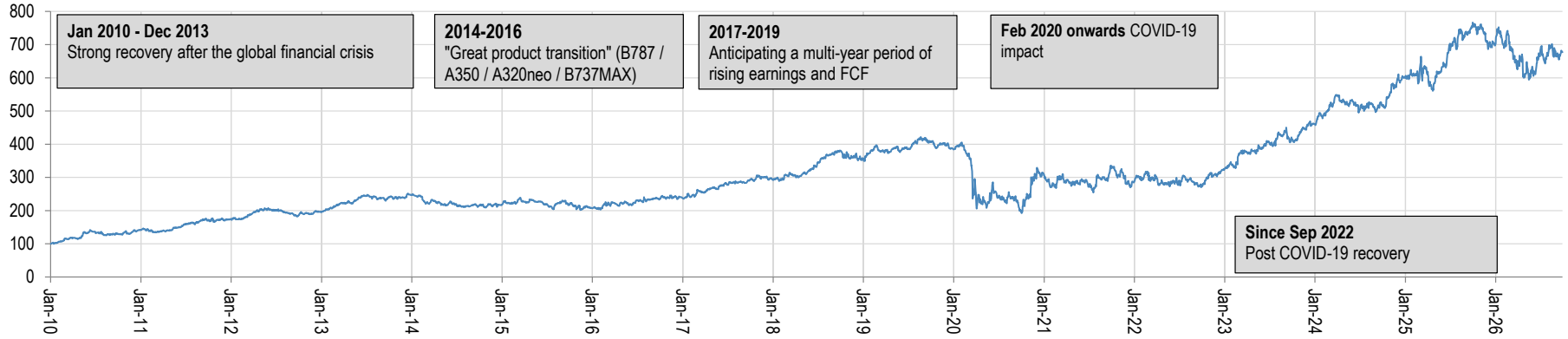
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Civil Aerospace

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Sector performance & valuation

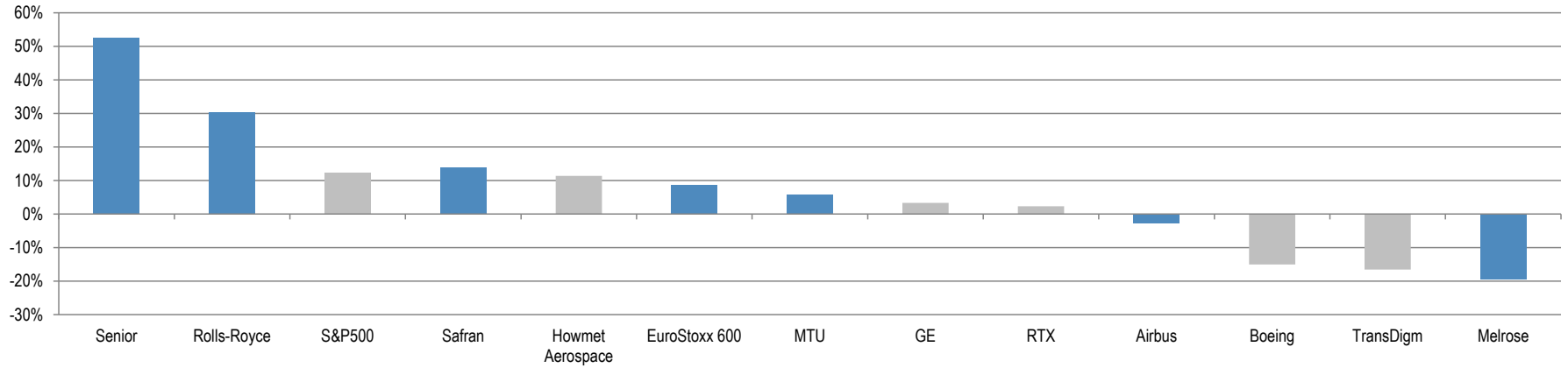
Figure 8: European Civil Aero index relative to MSCI Europe



Source: Bloomberg Finance L.P. (COB Sep 28th, 2026). *Note: Our Civil Aero index is unweighted and rebalanced daily; includes: AIR, MTU, RR, SAF, MGGT (until Aug 2nd, 2021 when the Parker-Hannifin bid was first announced), Zodiac (until Jan 19th, 2017 when the SAF/ZOD acquisition was first announced) and MRO (from April 21, 2023). Our Civil Aero index excludes Senior (which in our view trades like a general industrial stock).

Figure 9: European and US Civil Aero - Stock performance 2026 YTD

Senior has accepted a recommended cash acquisition from Blackstone and Tinicum. In 2026 YTD Rolls-Royce has twice significantly increased its earnings guidance



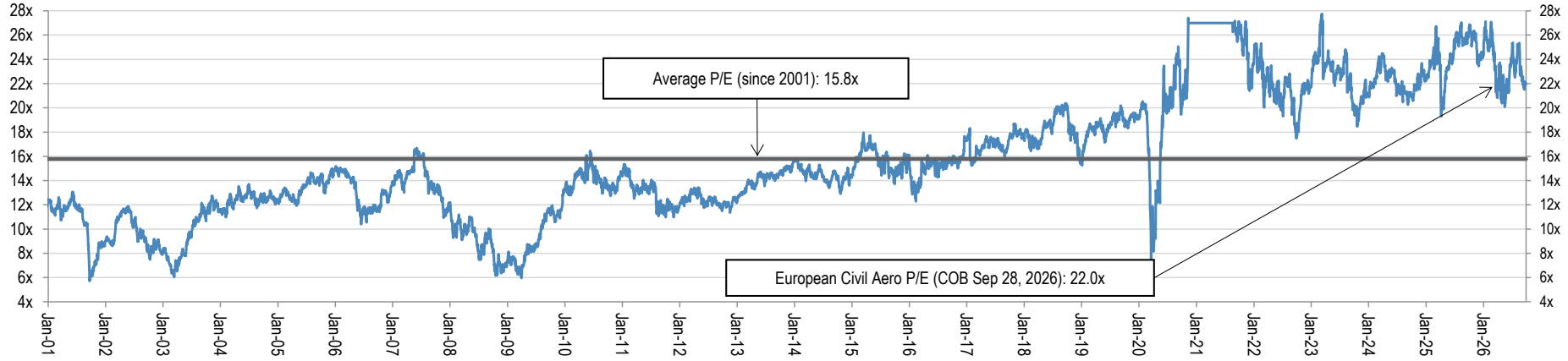
Source: Bloomberg Finance L.P. (COB Sep 28th, 2026)

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Figure 10: European Civil Aero (ECA) – 12-month forward P/E since 2001 (IBES consensus)

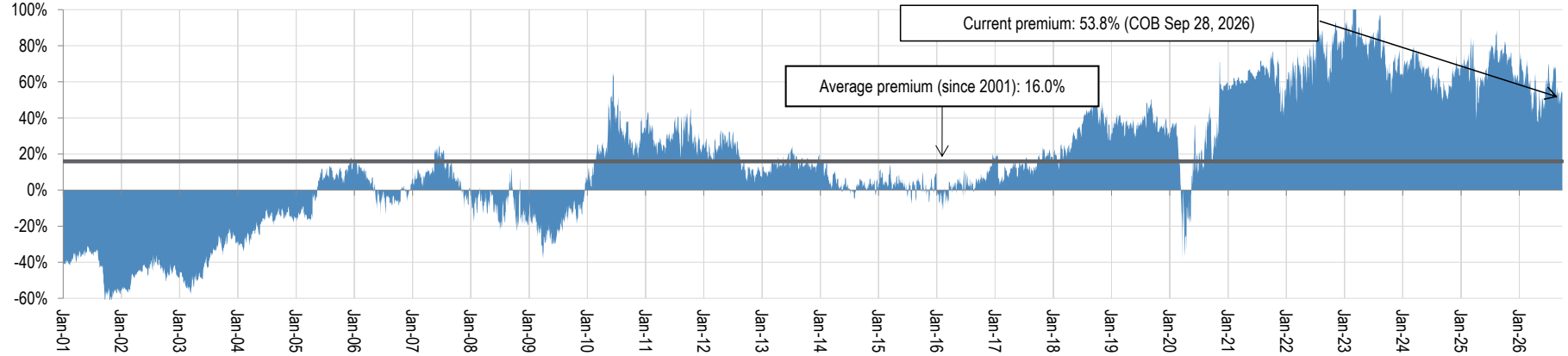
The average 12-month forward P/E for ECA companies fell when the Iran War started but has since recovered



Source: Datastream
Note: Civil Aero includes: AIR, SAF MTU, RR (excluding 2016 to 2021 when multiples were distorted by multiple issues), MRO (from April 21st 2023), MGGT (until Aug 2nd, 2021 when the Parker-Hannifin bid was first announced), and ZOD (until end 2015; from 2016 onwards ZOD's P/E was distorted by major profit warnings, M&A speculation, and the initial bid from SAF in Jan 2017).

Figure 11: European Civil Aero (ECA) – 12-month forward P/E relative to MSCI Europe since 2001 (IBES consensus)

ECA sector is still trading at a significant premium to the market

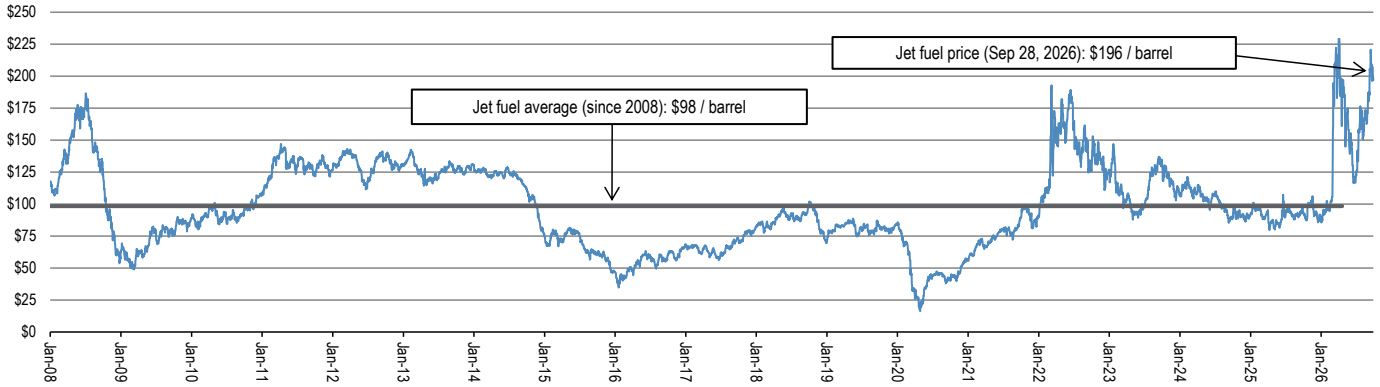


Source: Datastream

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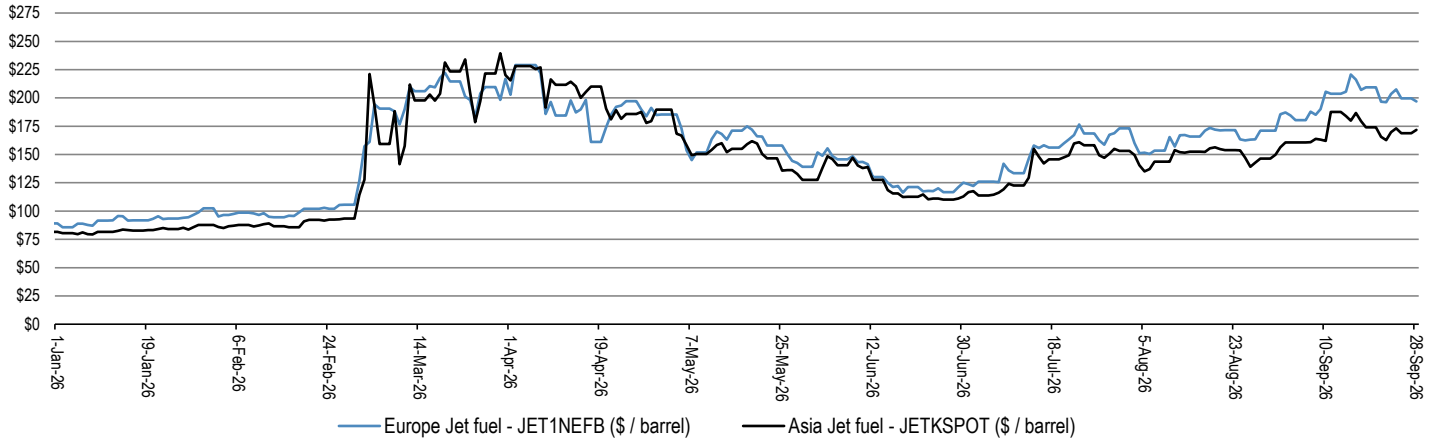
Jet fuel price

Figure 12: Jet fuel spot price for North West Europe in $ / barrel - since 2008 (ticker: JET1NEFB)



Source: Bloomberg Finance L.P. (Intraday Sep 28th, 2026)

Figure 13: Jet fuel spot price in $ / barrel - 2026 YTD

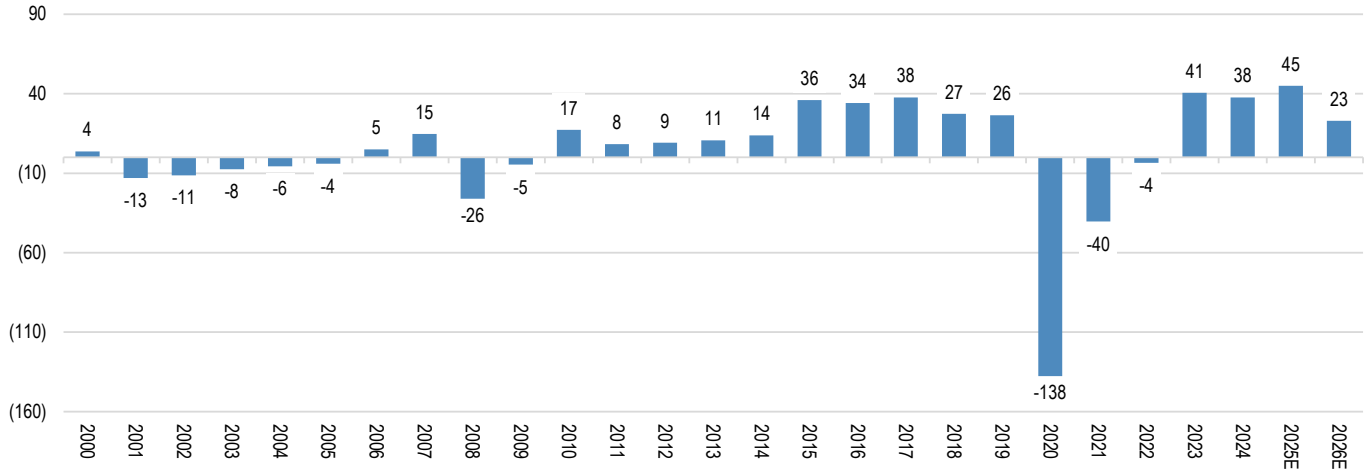


Source: Bloomberg Finance L.P. (Intraday Sep 28th, 2026)

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Global airline industry - net income / loss

Figure 14: Global airline industry - net income / loss



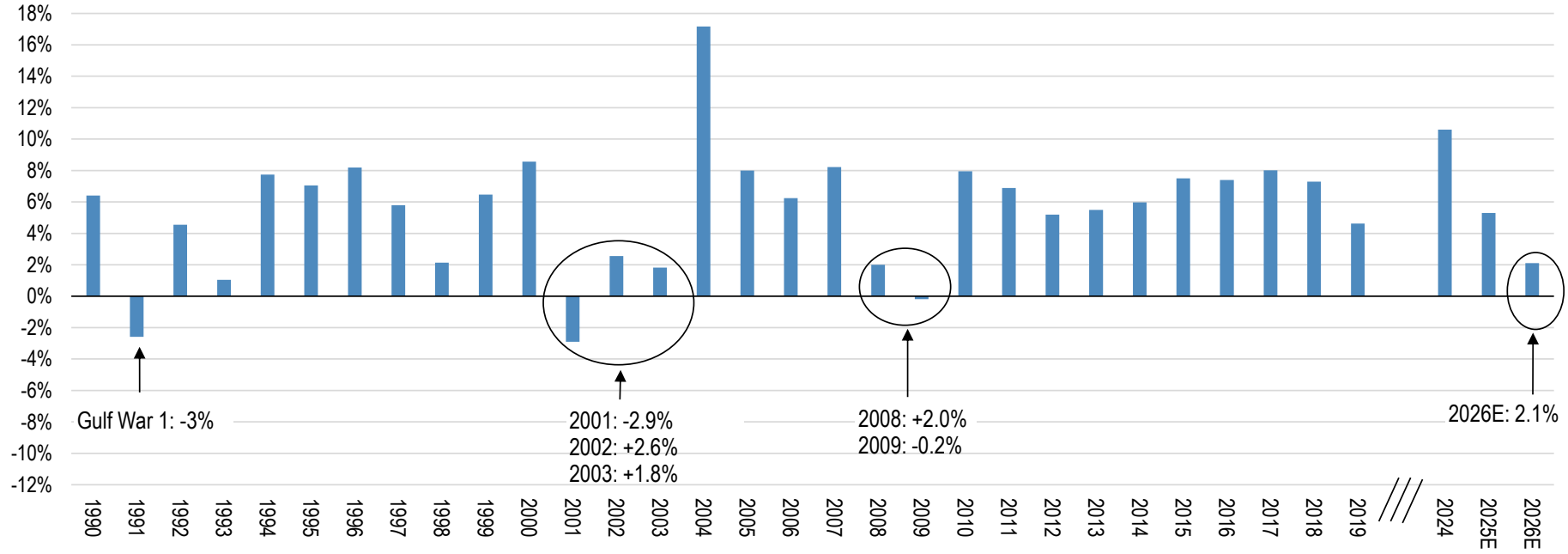
Source: IATA (June 2026)

- In June 2026, IATA lowered its net income forecast for the global airline industry to $23bn (previously $41bn) reflecting higher jet fuel prices.

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Air traffic (annual)

Figure 15: Global air traffic, 1990 to 2026E (excl. 2020 to 2023)



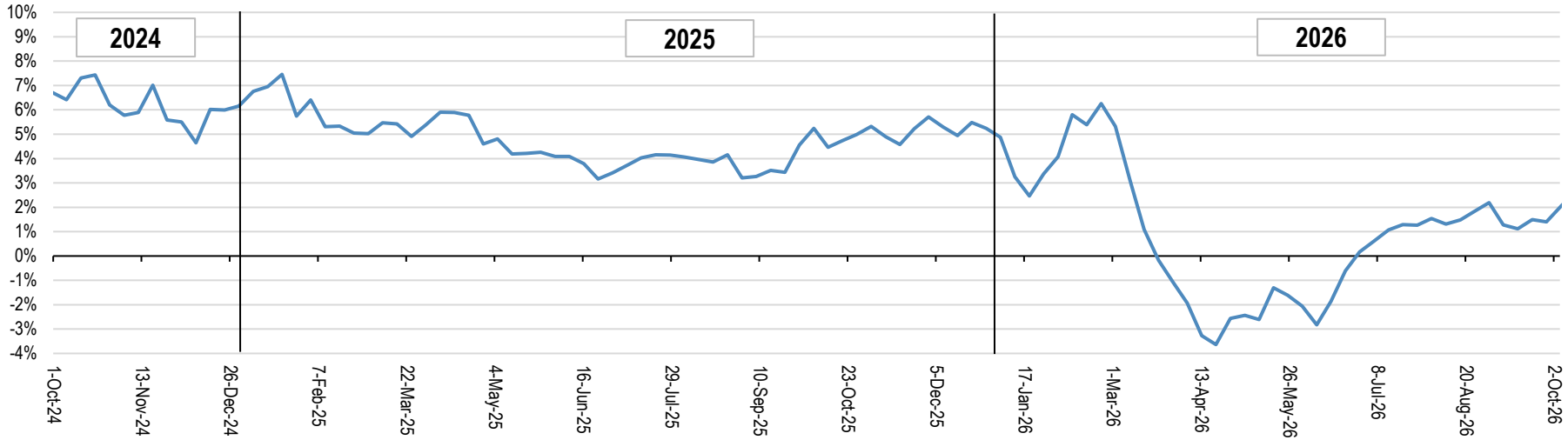
Source: IATA (June 2026)

- The chart above shows global air traffic by year, excluding the COVID-19 crisis of 2020 to 2023 (global air traffic fell 66% in 2020 because governments stopped people from flying; there was no precedent for this in aviation history).
- In June 2026, IATA revised down its global air traffic growth forecast to 2.1%, versus 4.9% in its December 2025 outlook.

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Global airline capacity (weekly)

Figure 16: Global ASK growth (% yoy)



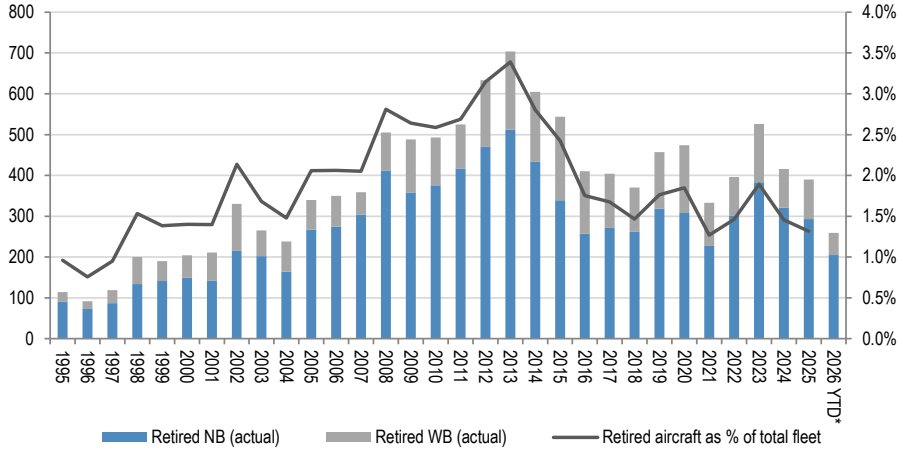
Source: OAG (Note: 2 Oct-26 is week ending 4 Oct-26)

- Global airline capacity is now growing again but it is still not back to pre-Iran War levels.

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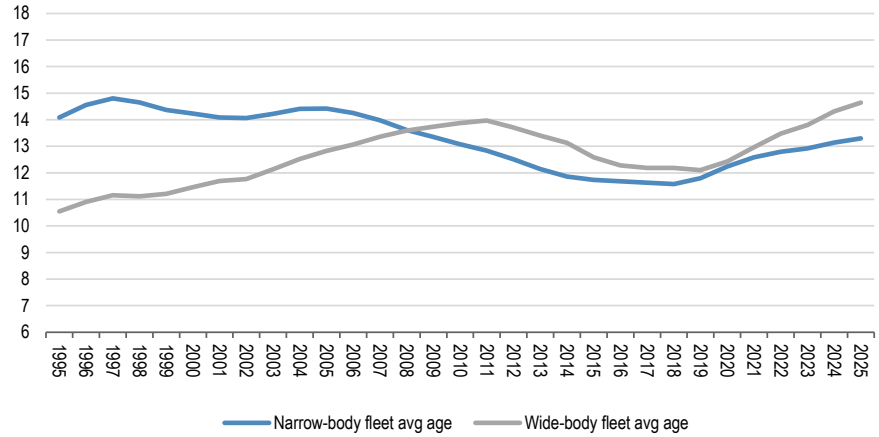
Aircraft retirals and average age of fleet

Figure 17: Aircraft retirals as a % of total fleet



Source: Cirium
*2026 YTD as of 31 Aug-26

Figure 18: Average age of aircraft fleet



Source: Cirium

- Retirals have been very low since 2015/16.
- We expect retirals to increase at a slow and steady level over the coming years because the aviation industry was clearly under-supplied. Since 2019, the number of new aircraft delivered has been much lower than it should have been due to: (1) the halt to B737 MAX deliveries in 2019; (2) the COVID-19 crisis; (3) ongoing supply chain issues; (4) Boeing's ongoing execution issues.

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Aftermarket growth (annual and quarterly)

Table 7: Civil aerospace aftermarket organic sales growth, 2009 to 2027E

Organic AM growth yoy (1)	Financial crisis & rebound				"Normal times"							COVID-19 and recovery				"Normal times"			
	09A	10A	11A	12A	13A	14A	15A	16A	17A	18A	19A	20A	21A	22A	23A	24A	25A	26E	27E
Avg price of Brent Crude ($/b)	62	79	111	112	109	100	54	45	55	72	65	42	71	101	83	81	70	tbc	tbc
Avg price of Jet kerosene ($/b)	71	91	128	130	125	115	67	52	67	86	80	47	78	139	112	99	90	tbc	tbc
MTU (spares sales)	-8%	4%	14%	0%	0%	7%	3%	5%	10%	12%	8%	-29%	5%	18%	19%	12%	12%	13%	10%
P&W (aftermarket sales)	-14%	10%	13%	-10%	7%	4%	5%	12%	14%	12%	2%	-33%	13%	23%	20%	14%	22%	17%	9%
Safran Prop. (all aftermarket)	-4%	-11%	8%	9%	19%	11%	19%	6%	11%	12%	10%	-43%	7%	29%	33%				
Safran Prop. (spare parts) (1)																17%	18%	25%	12%
GE (2)	*-1%*	*8%*	*14%*	*-11%*	*14%*	*20%*	*23%*	*5%*	*24%*	*17%*	*13%*	-46%	10%	43%	30%	12%	23%	22%	12%
Engine avg (unweighted)	**-7%**	**3%**	**12%**	**-3%**	**10%**	**11%**	**12%**	**7%**	**15%**	**13%**	**8%**	**-38%**	**9%**	**28%**	**25%**	**14%**	**19%**	**19%**	**11%**
Collins Aerospace	-14%	8%	16%	3%	8%	10%	1%	3%	10%	12%	14%	-36%	4%	28%	27%	12%	13%	7%	6%
TransDigm (3)	n/a	n/a	n/a	2%	1%	11%	3%	7%	4%	8%	9%	-38%	9%	39%	29%	9%	13%	11%	8%
Honeywell Aero	-19%	3%	18%	9%	3%	3%	2%	3%	6%	5%	7%	-34%	9%	23%	22%	14%	13%	4%	7%
Meggitt	-21%	6%	12%	-1%	0%	5%	3%	5%	6%	8%	8%	-41%	7%						
Equipment avg (unweighted)	**-18%**	**6%**	**15%**	**3%**	**3%**	**7%**	**2%**	**5%**	**7%**	**8%**	**9%**	**-37%**	**7%**	**30%**	**26%**	**12%**	**13%**	**7%**	**7%**

(1) From 2024 Safran separately reported spare parts and services; services growth is partly influenced by IFRS 15 accounting so we don't show it

(2) Historically GE reported yoy growth in spare parts sales. More recently it has reported organic growth for all commercial aero services (ie. spares and MRO). We have annual data on the new basis from 2020

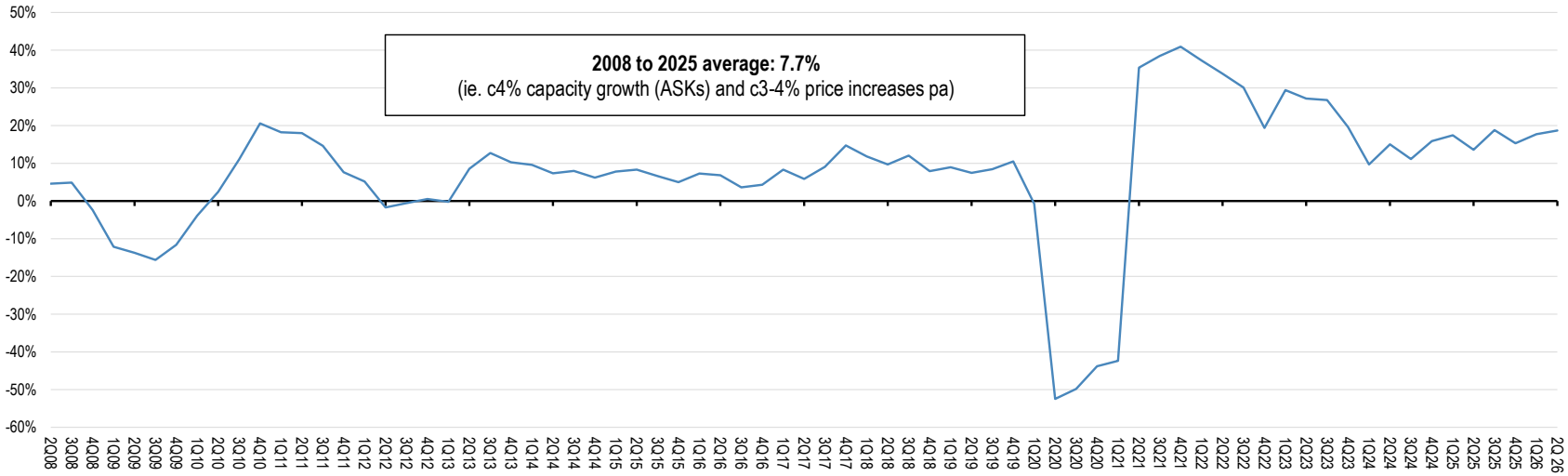
(3) Transdigm: history is calendar year; forecast is fiscal year

Source: Companies; J.P. Morgan estimates

Prior to the current conflict in the Middle East, the Aero Engine (AE) industry was enjoying "perfecting conditions" for the aftermarket. This was due to multiple factors:

- Very low aircraft retirals, which we expect to last through to H1 27
- OEMs have a healthy backlog of aftermarket work
- In summer / autumn 2025 OEMs announced price MSD to HSD increases on spare parts, depending on the engine model
- Workscope on engine overhauls is higher than normal because the global aircraft fleet has been ageing (due to the shortfall in new aircraft production)

Figure 19: Global Civil Aero aftermarket - average organic sales growth by quarter (Q2 08 to Q2 26)



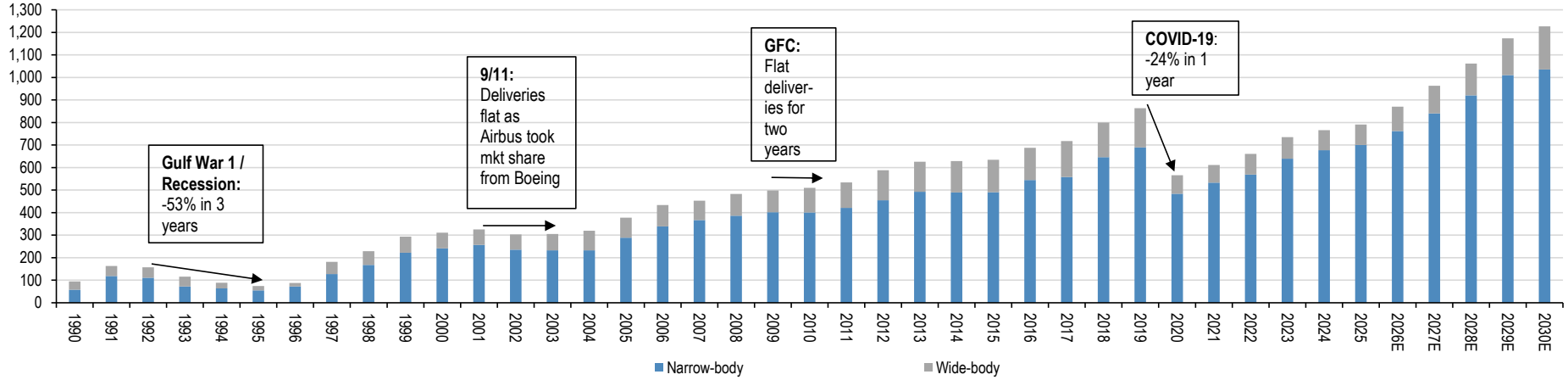
Note: Chart shows average of MTU Aero Engines (spare parts); Pratt & Whitney; GE Aerospace; Safran Propulsion pre 2023 is all aftermarket sales; post 2024 is spare parts only; Collins Aerospace; Honeywell Aero; TransDigm; Meggitt (until Q2 22)
Source: Companies

- Average aftermarket growth remained very strong in both Q1 and Q2 26.

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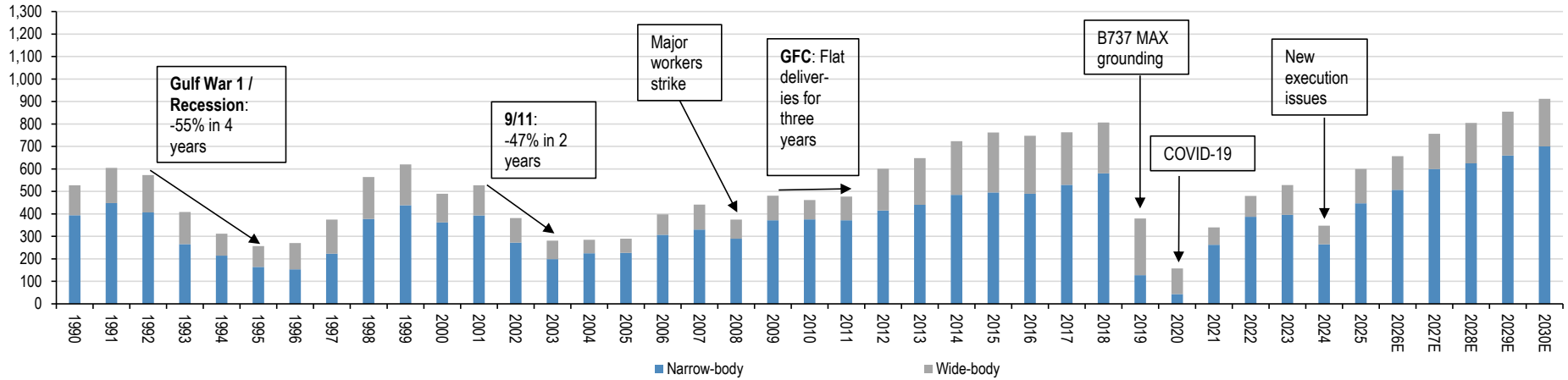
Airbus & Boeing deliveries - annual

Figure 20: Airbus - aircraft deliveries, 1990 to 2030E



Source: Companies; J.P. Morgan Research estimates

Figure 21: Boeing - aircraft deliveries, 1990 to 2030E



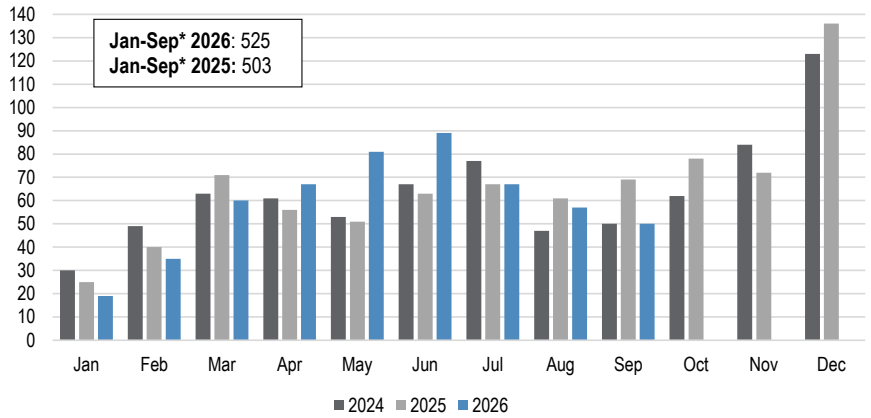
Source: Companies; J.P. Morgan Research estimates

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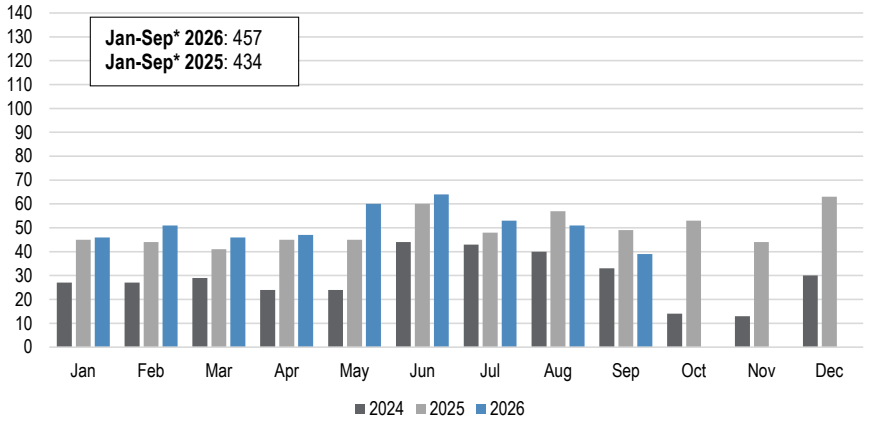
Airbus & Boeing deliveries - monthly

Figure 22: Airbus monthly deliveries



*September deliveries are from Cirium and up to 28th Sep only
Source: Company data, Cirium

Figure 23: Boeing monthly deliveries



*September deliveries are from Cirium and up to 28th Sep only
Source: Company data, Cirium

- Airbus deliveries were strong in Q2 26 but weaker than expected in Q3 26 due to some internal operational issues on the A330 and A321.

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Raw material inflation

Table 8: What are aircraft made of?

Materials Used	A320	A330	A220	A350	B737	B777	B787
Aluminium	72%	high %	24%	19%	80%	66%	20%
Adv. Composites	10%	16%	46%	53%	3%	11%	50%
Titanium	6%		8%	14%	10%	12%	15%
Steel	9%		1%	6%	6%	10%	10%
Other	3%	n/a	21%	8%	1%	1%	5%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

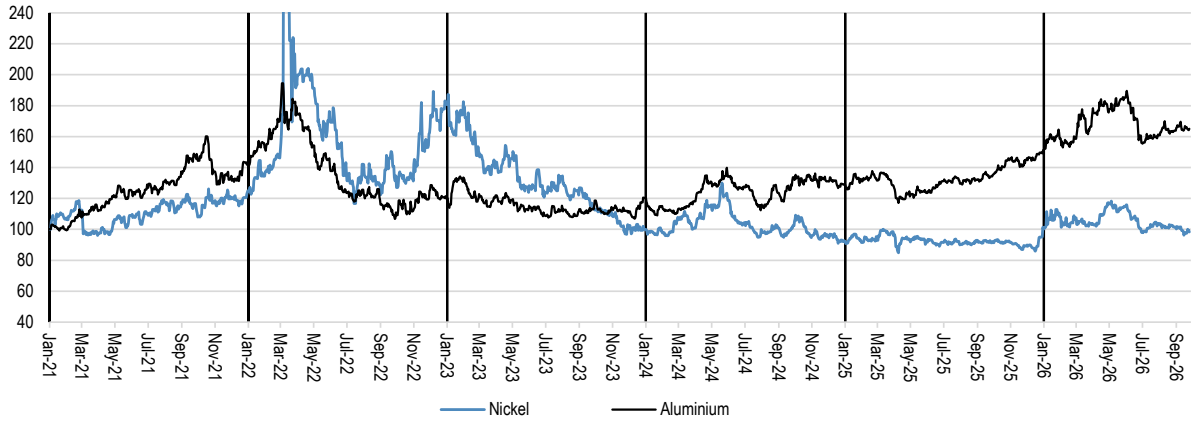
% represents the weight of the aircraft excluding engines and interiors

Source: Companies; J.P. Morgan estimates

What are aero engines made of?

- Rolls-Royce says that by weight its engines are typically made one-third each of steel, titanium and nickel. Nickel is used in the hot parts of the engines, whilst titanium is used in the blades. Precious metals used in smaller quantities include platinum, cobalt and rhenium.
- MTU Aero Engines makes c18% of the PW1100 engine (GTF) that powers the A320neo family. Because MTU is making the hot parts of the PW1100, nickel is c75% of the raw material it uses for its sections.

Figure 24: Nickel and Aluminium prices (indexed to Jan 1, 2021)



Source: Bloomberg Finance L.P. (Sep 28th, 2026)

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FX hedging by company

Table 9: European Civil Aerospace companies – FX transaction impact, 2023-2030E

FX transaction exposure (JPMe)	FX used	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Net $ exposure (JPMe)									
Airbus		$21,427	$22,875	$24,337	$27,634	$31,258	$35,388	$40,252	$43,957
MTU Aero		$1,628	$1,924	$2,358	$2,688	$2,966	$3,276	$3,619	$4,004
Safran		$11,319	$13,481	$15,958	$17,554	$19,309	$21,240	$23,152	$25,235
Rolls-Royce		$3,678	$4,209	$4,692	$5,230	$5,829	$6,497	$7,241	$8,070
Hedge cover									
Airbus				92%	86%	81%	55%	23%	10%
MTU Aero				85%	79%	65%	26%	2%	0%
Safran				88%	91%	88%	80%	73%	7%
Rolls-Royce				100%	95%	90%	66%	46%	30%
Hedge rate - on firm hedges									
Airbus	$ / EUR			$1.19	$1.21	$1.23	$1.22	$1.21	$1.24
MTU Aero	$ / EUR			$1.10	$1.14	$1.16	$1.18	$1.20	$1.20
Safran	$ / EUR			$1.12	$1.12	$1.12	$1.12	$1.13	$1.19
Rolls-Royce	$ / GBP			$1.44	$1.38	$1.35	$1.31	$1.30	$1.28
Current assumed spot & forward FX rate									
Airbus	$ / EUR			$1.13	$1.16	$1.16	$1.18	$1.19	$1.21
MTU Aero	$ / EUR			$1.13	$1.16	$1.16	$1.18	$1.19	$1.21
Safran (1)	$ / EUR			$1.13	$1.16	$1.14	$1.14	$1.14	$1.14
Rolls-Royce	$ / GBP			$1.32	$1.34	$1.34	$1.34	$1.34	$1.34
Blended FX hedge rate (JPMe) (2)									
Airbus	$ / EUR	$1.20	$1.20	$1.19	$1.20	$1.22	$1.20	$1.20	$1.21
MTU Aero	$ / EUR	$1.13	$1.12	$1.10	$1.14	$1.16	$1.18	$1.19	$1.21
Safran	$ / EUR	$1.13	$1.12	$1.12	$1.12	$1.12	$1.12	$1.13	$1.19
Rolls-Royce	$ / GBP	$1.50	$1.48	$1.44	$1.38	$1.35	$1.32	$1.32	$1.32
YoY impact on EBITA from FX (JPMe)									
Airbus	EUR m	305	(54)	261	(329)	(302)	392	110	(424)
MTU Aero	EUR m	35	13	27	(82)	(36)	(43)	(39)	(41)
Safran	EUR m	174	107	0	0	0	0	(183)	(1,126)
Rolls-Royce	GBP m	0	38	88	163	91	105	(6)	(2)
Impact of US 1 cent move in hedge rate (JPMe)									
Airbus	EUR m	147	159	171	194	214	242	280	304
Safran	EUR m	87	107	n/a	n/a	n/a	n/a	183	n/a
MTU Aero	EUR m	13	15	19	21	22	24	26	28
Rolls-Royce	GBP m	n/a	19	22	26	31	36	42	46

(1) SAF avoids paying forward points on its hedges by using derivatives; but to treat all the companies equally we assume SAF's future hedging is done with vanilla forwards
(2) This a weighted average of the FX rate on existing hedges as reported by the company and JPMe estimates of the FX rate achieved on future hedges

Source: Company data; Bloomberg Finance L.P.; J.P. Morgan Research estimates

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Margins and FCF by company

- Our current forecasts reflect higher aircraft deliveries, higher aftermarket sales, and programme maturity.
- **Our forecasts assume that the price of jet fuel normalises in the coming months and will not meaningfully impact the civil aero industry; this assumption may prove too optimistic.**

Table 10: EBITA margins by company in European Civil Aerospace sector

Co. def. EBITA margin		19A	20A	21A	22A	23A	24A	25A	26E	27E	28E	29E	30E	Change: 2026E to 2030E
Airbus	Fr	9.9%	3.4%	9.3%	9.6%	8.9%	7.7%	9.7%	9.5%	9.6%	10.5%	11.1%	11.0%	1.5%
Safran	Fr	15.5%	10.2%	11.8%	12.7%	13.6%	15.1%	16.6%	18.0%	18.4%	19.0%	19.2%	18.9%	0.9%
MTU Aero Engines	Ger	16.4%	10.5%	11.2%	12.3%	12.9%	14.0%	15.5%	15.3%	15.2%	14.9%	14.8%	14.8%	-0.6%
Rolls-Royce	UK	5.2%	-16.8%	3.8%	5.1%	10.3%	13.8%	17.3%	20.9%	21.0%	21.6%	22.0%	22.4%	1.5%
Melrose	UK				5.0%	11.6%	15.6%	18.0%	17.9%	21.0%	22.5%	24.0%	25.2%	7.3%
Meggitt	UK	17.7%	11.3%	11.9%										
Civil Aero avg.		**12.1%**	**3.2%**	**8.2%**	**8.0%**	**10.4%**	**11.8%**	**14.3%**	**14.9%**	**15.7%**	**16.5%**	**17.0%**	**17.3%**	**2.4%**

JPM def. Clean EBITA margin*		19A	20A	21A	22A	23A	24A	25A	26E	27E	28E	29E	30E	Change: 2026E to 2030E
Airbus	Fr	7.3%	0.3%	10.0%	8.1%	8.0%	7.3%	8.6%	8.6%	8.8%	9.7%	10.4%	10.4%	1.7%
Safran	Fr	14.7%	7.4%	8.4%	9.7%	10.7%	14.4%	14.2%	16.7%	17.7%	18.3%	18.6%	18.4%	1.6%
MTU Aero Engines	Ger	13.3%	5.2%	6.7%	8.5%	-4.1%	11.6%	13.1%	12.9%	12.8%	12.7%	12.6%	12.6%	-0.3%
Rolls-Royce	UK	-8.2%	-30.8%	4.5%	4.1%	8.1%	13.6%	17.1%	19.6%	19.9%	20.4%	20.8%	21.1%	1.5%
Melrose	UK				1.9%	6.8%	12.7%	17.8%	18.5%	21.5%	23.0%	24.4%	25.6%	7.1%
Meggitt	UK	15.4%	7.4%	9.1%										
Civil Aero avg.		**8.5%**	**-2.1%**	**7.7%**	**6.5%**	**5.9%**	**11.9%**	**14.2%**	**15.3%**	**16.1%**	**16.8%**	**17.4%**	**17.6%**	**2.3%**

*Clean EBITA is company defined underlying EBITA less associates and below-the-line exceptionals, and with net capitalised R&D also deducted

Source: Company reports; J.P. Morgan estimates

- **Rolls-Royce**: We note that Rolls Royce expects to have FCF / Net income in excess of 100% pa in the coming years. This is due to its Civil Aerospace business model, which is heavily biased towards long-term service agreements (LTSA) whereby airlines pay for maintenance services well in advance of the maintenance work actually being performed. We do not believe that any company can sustain FCF above net income into perpetuity.
- **Melrose** will have depressed FCF again in 2026E and 2027E. This is partly due to paying its share of the compensation owed to airlines during the GTF engine inspection programme. Melrose will also incur cash costs in 2026E and 2027E from the thermal incident at its Garden Grove plant.

Table 11: FCF/Net income and FCF/Sales by company in European Civil Aero sector

FCF / Net income*		19A	20A	21A	22A	23A	24A	25A	26E	27E	28E	29E	30E	26-30E Avg
Airbus	Fr	35%	n/m	83%	93%	70%	95%	79%	75%	89%	94%	95%	97%	90%
Safran	Fr	69%	111%	205%	215%	135%	97%	112%	114%	90%	89%	88%	88%	94%
Rolls-Royce	UK	218%	n/m	n/m	180%	106%	136%	128%	110%	121%	118%	114%	111%	115%
MTU Aero Engines	Ger	57%	24%	46%	52%	44%	3%	28%	48%	55%	64%	76%	81%	65%
Melrose	UK				-152%	-5%	-21%	30%	18%	39%	58%	66%	72%	51%
Meggitt	UK	87%	13%	26%										
Civil Aero Unweighted avg		**89%**	**49%**	**90%**	**78%**	**60%**	**55%**	**67%**	**75%**	**80%**	**85%**	**89%**	**90%**	**84%**

FCF / Sales*		19A	20A	21A	22A	23A	24A	25A	26E	27E	28E	29E	30E	26-30E Avg
Airbus	Fr	2.3%	-7.4%	5.4%	6.4%	4.7%	5.5%	5.9%	5.3%	6.4%	7.3%	7.9%	8.1%	7.0%
Safran	Fr	7.4%	5.7%	10.2%	13.3%	11.8%	10.9%	11.4%	12.8%	10.9%	12.6%	12.8%	12.6%	12.3%
Rolls-Royce	UK	4.3%	-38.3%	-15.3%	3.3%	7.9%	13.0%	15.9%	17.0%	19.0%	19.1%	18.9%	19.1%	18.6%
MTU Aero Engines	Ger	6.6%	1.8%	3.8%	4.6%	4.1%	0.3%	3.1%	5.2%	6.0%	6.8%	8.1%	8.7%	7.0%
Melrose	UK				-3.0%	-0.4%	-2.1%	3.5%	2.0%	5.5%	9.1%	11.5%	13.3%	8.3%
Meggitt	UK	11.1%	1.0%	2.1%										
Civil Aero Unweighted avg		**6.3%**	**-7.5%**	**1.2%**	**4.9%**	**5.6%**	**5.5%**	**7.9%**	**8.4%**	**9.5%**	**11.0%**	**11.8%**	**12.4%**	**10.6%**

*We use the J.P.Morgan defined FCF (post all items except dividends, M&A, FX as a % of the company defined sales

Source: Company reports, J.P. Morgan estimates

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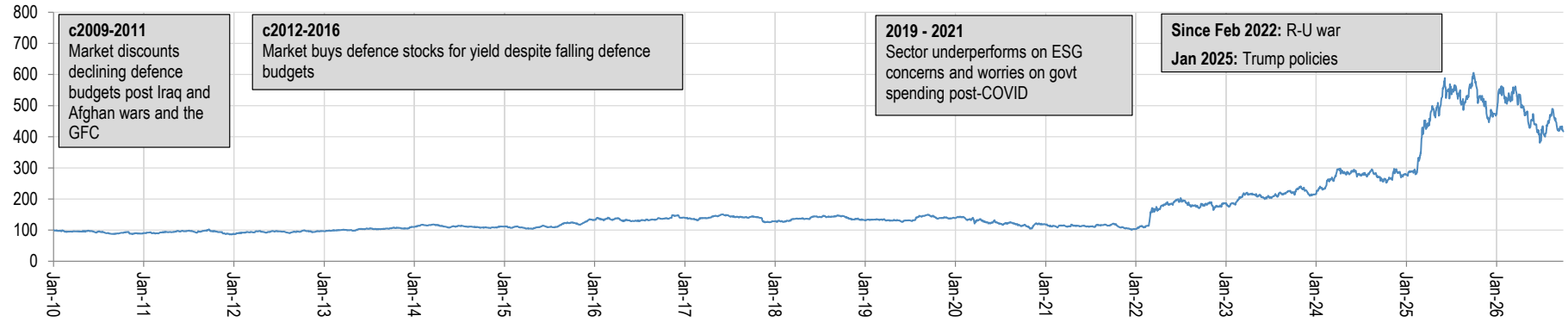
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Sector performance & valuation

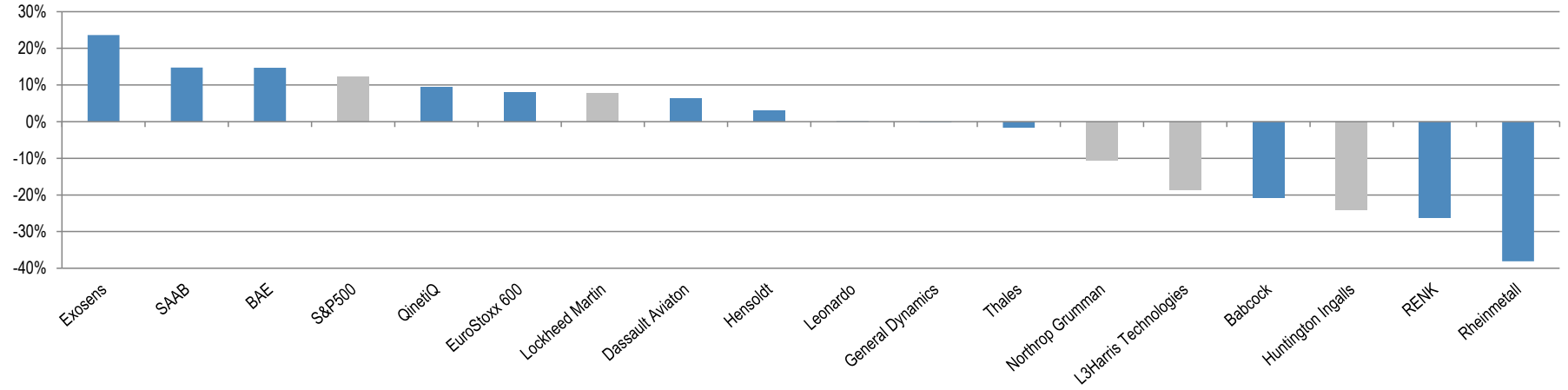
Figure 25: European Defence Sector index performance relative to MSCI Europe



Source: Bloomberg Finance L.P. (COB Sep 28th, 2026). Note: Our European Defence index is unweighted and rebalanced daily. It includes BAE Systems, Babcock, Thales, Dassault Aviation, Rheinmetall, SAAB, Cobham (until July 25th, 2019 when the Advent bid was first announced), Ultra (until July 23rd, 2021 when the Advent bid was first announced), Leonardo, Qinetiq, Hensoldt (since Nov 2020), RENK (since Feb 2024), CSG (since Jan 2026) and Vincorion (since Mar 2026).

Figure 26: European and US Defence - Stock performance, 2026 YTD

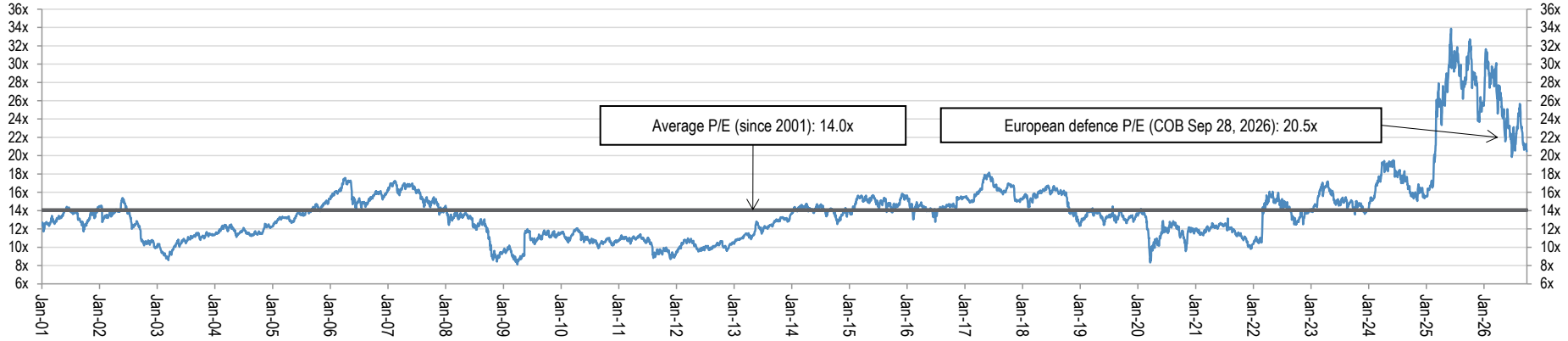
RHM has lagged as consensus EPS estimates have come down meaningfully in 2026 YTD.



Source: Bloomberg Finance L.P. (COB Sep 28th, 2026)

Figure 27: European Defence 12-month forward P/E since 2001 (IBES Consensus)

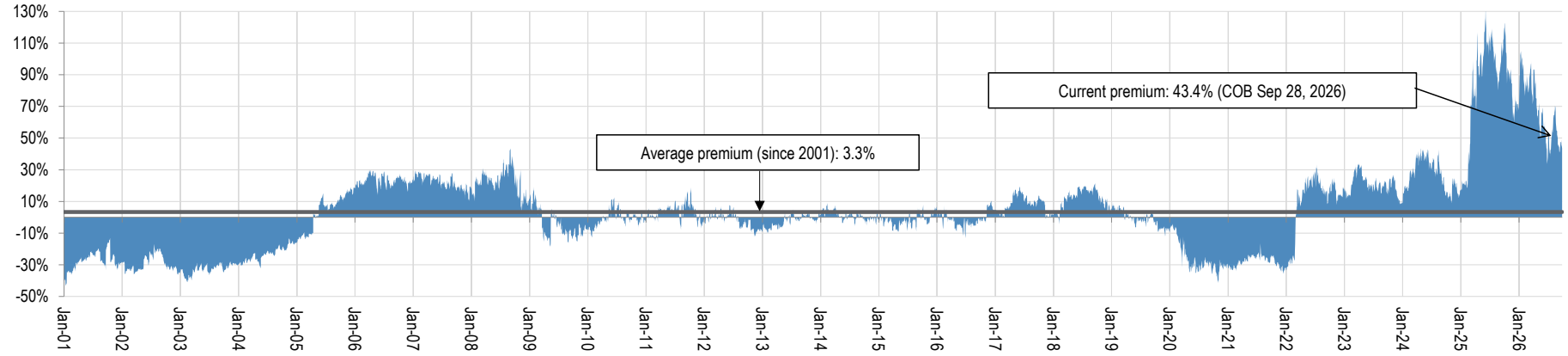
The Russia-Ukraine War and the policies of President Trump led to a huge re-rating of the EDS sector. As earnings rise the sector is now growing into its higher multiple.



Source: Datastream.
Note: The chart includes BAE, Thales, BAB, DA, SAAB, RHM, Cobham (until July 25th, 2019 when the Advent bid was first announced), Ultra (until July 23rd, 2021 when the Advent bid was first announced); Leonardo (since Jan 2003), Qinetiq (since Apr 2006), HAG (since Nov 2020), RENK (since April 2024), Exosens (since Aug 2024), CSG (since Mar 2026)

Figure 28: European Defence 12-month forward P/E rel. to MSCI Europe since 2001 (IBES Consensus)

European defence sector is trading at a premium to the market, reflecting expectations of exceptionally strong EPS growth in the coming years.



Source: Datastream

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Bull & Bear case for European Defence

Bull case

- Two major wars currently underway
- European defence spending expected to grow 8-9% through to 2030
    - Europe needs to rectify c30 years of under-spending from 1990 to 2021
    - The US is no longer willing to pay for Europe's defence
    - Europe needs to become sovereign in defence, so more money is being allocated to domestic manufacturers
- Significant export opportunities in the M.East and Asia
- Rising M&A activity; many of the SMID cap companies are potential takeout candidates

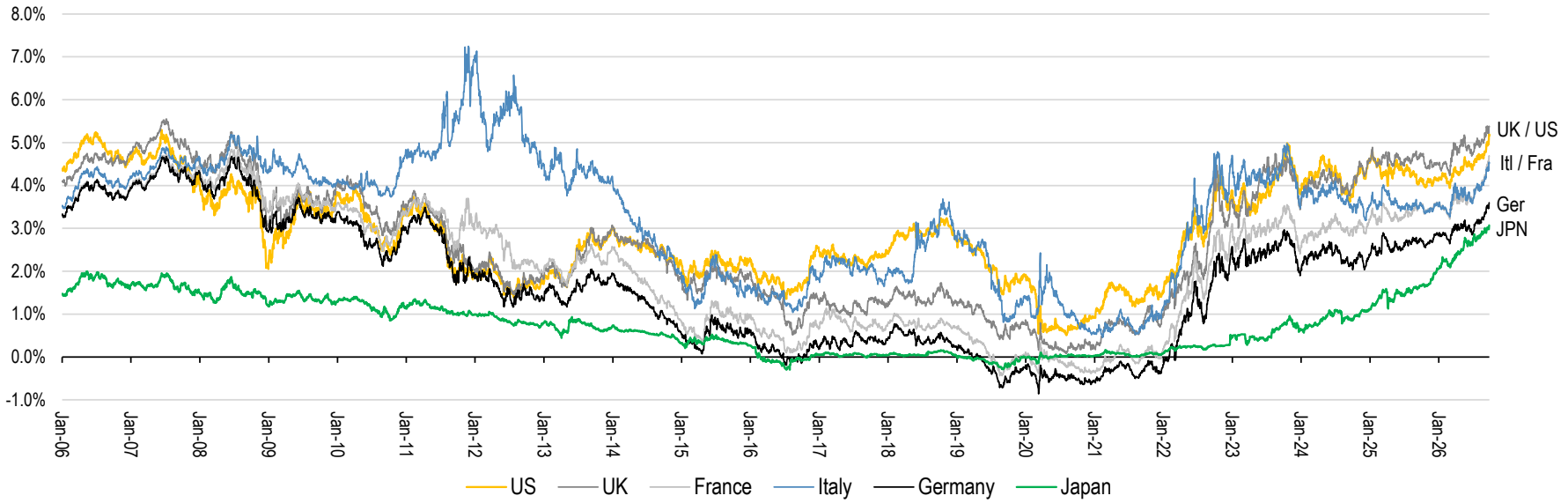
Bear case

- Several European countries have high levels of debt, limiting their ability to raise defence spending
- Much higher govt bond yields will limit the ability of govts to spend on Defence
- The rapid rise of new defence technologies that could replace some legacy technologies
- Significant number of new entrants
- Execution risk for some companies trying to grow very fast and/or diversify

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Rising government bond yields across the globe

Figure 29: Govt 10 year bond yields



Source: Bloomberg Finance L.P. (Sep 28th, 2026)

Governments are spending a huge amount on servicing debt and these costs are now likely to rise:

- US will spend c$1 trillion on debt interest in fiscal year 2026
- UK will spend c£110bn on debt interest in fiscal year 2026
- Italy will spend c€90-95bn on debt interest in 2026
- France will spend c€60bn on debt interest in 2026
- Germany will spend c€30bn on debt interest in 2026

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Massive technology change in defence

- **A government view**: The UK govt published its Defence Industrial Plan (DIP) on June 30th 2026, stating that "**technology is changing the character of warfare at the fastest rate in history**".
- **An industrial view**: On June 8th 2026 Safran hosted a sell-side trip to its Electronics & Defence segment. The CEO of the business unit said that we are "**at a massive turning point in defence**." He noted that mature armies are always slow to adopt new technology but "they will for sure".
- **A military view**: Speaking on the podcast "*The General & The Journalist*" on June 25th 2026, General Sir Patrick Sanders, former head of the British Army, said: "**the incredible pace that warfare is now changing makes it incredibly difficult to write out a procurement plan for the next five, 10 years**."
- **A historian's view**: Phillips P. O'Brien, an American historian and professor of strategic studies at St. Andrews in Scotland. In his newsletter on Substack on June 30th 2026 he wrote: "**The current debate between whether the future (present actually) belongs to human controlled or remotely/artificially controlled combat vehicles on land, air and sea is much like the debate between cavalry and mechanization in the interwar period**."

Figure 30: Loitering munition



Source: Helsing

Figure 31: Infantry fighting vehicle



Source: Rheinmetall

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Defence M&A activity is rising

Table 12: Selected recent Defence transactions ($mn)

Date announced	Acquirer	Acquired	Description of acquisition	Est. price	Prior yr sales (m)	Prior yr EBIT	EBIT margin	Price / Sales	Price / EBIT
Aug-26	TTM Technologies (US)	Epiq Solutions (US)	Software-defined radio and radio frequency hardware for defence and space	1,100	160	n/a	c30%	6.9	n/a
Aug-26	Aevex (US)	BlackSea Technologies (US)	Unmanned surface and subsea vessels	650	150	n/a	n/a	4.3	n/a
Jul-26	Lockheed Martin (US)	Ultra Maritime (US / UK)	Underwater warfare systems (torpedo defence systems / sonoboys / sonar arrays)	3,450	n/a	n/a	n/a	n/a	n/a
Jul-26	Thales (Fr)	Exail Technologies (Fr)	Surface / underwater drones; navigation & positioning system; photonics / electronics	4,448	546	58	10.6%	8.1	76.5
Jul-26	Leonardo DRS (US)	Raft (US)	Ai integration and software solutions for mission systems	450	n/a	n/a	n/a	n/a	n/a
Jul-26	Deutz (Germany)	FFG (Germany)	Wheeled and tracked military vehicles	1,820	864	n/a	n/a	2.1	n/a
Jul-26	RENK (Germany)	David Brown Defence (UK)	Transmissions and gearboxes for ships / subs (c75%) and military vehicles (c25%)	219	135	20	c14.5%	1.6	11.2
Jun-26	Booz Allen Hamilton (US)	Ultra Mission Solutions (US)	Defence electronics for communication, intelligence and C2 applications	720	n/a	n/a	n/a	n/a	n/a
Jan-26	AE Industrial (US)	L3H Space Propulsion & Power Sys. (60%)	Power systems for satellites, spacecraft, and missiles	845	n/a	n/a	n/a	n/a	n/a
Dec-25	CACI (US) (1)	ARKA (US)	Space (remote sensing payloads; sensor data processing; optical technologies)	2,375	590	n/a	n/a	4.0	n/a
Nov-25	Kratos (US)	Orbit Technologies (Israel)	Satellite-based communication systems for military platforms	356	70	n/a	n/a	5.1	n/a
Oct-25	Firefly (US)	SciTec (US)	Software analytics and remote sensing for missile defence	855	164	n/a	n/a	5.2	n/a
Sep-25	Rheinmetall (Ger)	NVL (Ger)	Naval ship building and repair	1,725	c1,540	c154	c10%	c1.1	c11.2
Jul-25	Leonardo (It.)	Iveco Defence (It)	Armoured vehicles; military trucks	1,700	1,133	108	10%	1.5	15.7
Sep-24	CACI (US)	Azure Summit Technology (US)	Radio-frequency hardware and software, focused on air and maritime platforms	1,080	440	n/a	n/a	2.5	n/a
Aug-24	Rheinmetall (Ger)	Loc Performance (US)	Structures and systems for armoured vehicles; structures for munitions	950	n/a	n/a	n/a	n/a	n/a
Jun-24	Honeywell (US)	Cobham's AES unit (US)	Radio-frequency technologies (microwave comms; antenna; integrated circuits)	1,900	n/a	n/a	n/a	n/a	n/a
Dec-23	Hensoldt (Ger)	ESG (Ger)	Systems integration for defence platforms / software engineering	788	356	45	13%	2.2	17.7
Nov-23	Transdigm (US)	Electronic Device Business (US)	Microwave signals	1,385	300	n/a	n/a	4.6	n/a
Aug-23	BAE Systems (UK) (2)	Ball Aerospace (US)	Spacecraft, instruments and sensors (c85% defence; c15% civil)	4,800	2,200	220	10%	2.2	21.8

(1) CACI will pay $2.6bn gross, but expects a tax benefit with an NPV of $225m. It expects ARK's NTM sales to be $660m, so we estimate $590m prior year sales

(2) BAE will pay $5.55bn gross, but expect a tax benefit with an NPV of $750m. Ball Aerospace sales and EBIT are 2023E as per BAE guidance

Source: Company reports; J.P. Morgan estimates

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NATO Europe - defence budget outlook, 2025 to 2030E

- NATO's European members increased their total defence spending from 1.4% of GDP in 2014 to 2.4% in 2025.
- At the NATO summit (June 2025), NATO's European members said they would aim to spend 3.5% of GDP on "hard defence" by 2035 (and an additional 1.5% of GDP on adjacent areas of infrastructure).
- We expect some NATO Europe countries to reach this target, but not all of them.

Table 13: NATO Europe - potential defence budgets in 2030 ($ bn)

Country	2025E defence spending (1)			Budget drivers		2030E potential defence spending (JPMe) (2)			
	GDP $ bn 2025E	Budget $ bn 2025E	% of GDP 2025E	Govt debt % of GDP 2025E	Geog. proximity to Russia	Budget $ bn 2030E	% of GDP (2) 2030E	2030E vs. 2025E	2025E-30E CAGR
Germany	5,057	112.1	2.2%	63%	Partial	213.3	3.5%	90%	14%
UK	4,002	92.9	2.3%	102%	No	130.2	2.7%	40%	7%
France	3,370	68.9	2.0%	116%	No	101.5	2.5%	47%	8%
Italy	2,550	53.3	2.1%	137%	No	70.7	2.3%	33%	6%
Poland	1,039	44.2	4.3%	59%	Yes	62.6	5.0%	42%	7%
Spain	1,905	38.1	2.0%	100%	No	45.9	2.0%	21%	4%
Turkey	1,597	37.3	2.3%	23%	Yes	53.9	2.8%	45%	8%
Netherlands	1,332	29.8	2.2%	43%	No	44.9	2.8%	51%	9%
Sweden	671	19.1	2.9%	35%	Yes	28.3	3.5%	48%	8%
Norway	531	16.8	3.2%	45%	Yes	19.2	3.0%	14%	3%
Denmark	463	15.1	3.3%	28%	Partial	17.8	3.2%	18%	3%
Belgium	725	14.5	2.0%	106%	No	20.1	2.3%	39%	7%
Romania	429	9.4	2.2%	61%	Yes	18.1	3.5%	93%	14%
Finland	317	8.7	2.8%	89%	Yes	12.2	3.2%	40%	7%
Greece	280	7.8	2.8%	146%	No	10.5	3.1%	34%	6%
Czech Rep.	391	7.3	1.9%	45%	Partial	14.1	3.0%	95%	14%
Other NATO Eur*	1,382	31.3	2.3%	n/a	n/a	48.3	2.9%	54%	9%
NATO Europe	**26,041**	**606.7**	**2.3%**			**911.7**	**2.9%**	**50%**	**8.5%**

* Hungary / Portugal / Slovak Rep. / Bulgaria / Lithuania / Croatia / Estonia / Latvia / Slovenia / Luxembourg / Albania / N.Macedonia / Montenegro

(1) 2025E GDP and defence budgets from NATO (July 2026); National debt data from IMF's World Economic Outlook (April 2026)

(2) For 2030E nominal GDP we assume each country has a CAGR of 3.8% from 2025E

Source: NATO; IMF; J.P.Morgan Research estimates

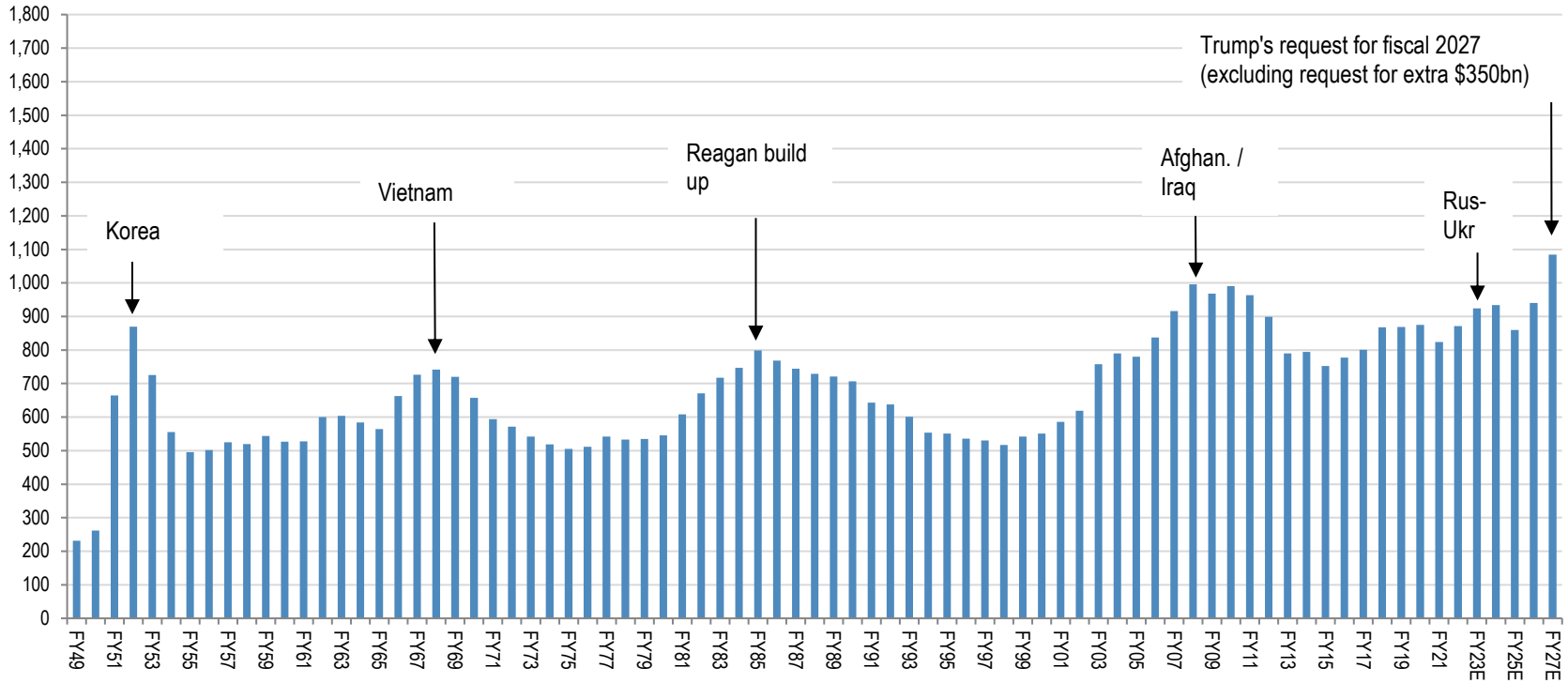
Note: NATO's calculates defence budgets using a different methodology to other sources, so the data in the table above may slightly differ to tables and charts showed elsewhere in this report.

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US - defence budget

- In fiscal year 2026 (year to Sept 30th 2026) the US defence budget will be c$1tr, consisting of a base budget of c$848bn and reconciliation supplemental funds of around $150bn.
- On April 3rd 2026 President Trump requested Congress to increase the US defence budget by c50% to c$1.5tr in fiscal year 2027. This consisted of a core budget of $1.15tr and reconciliation supplementary funds of $350bn.
- As at August 2026, very few political commentators expect Trump will achieve a total budget of $1.5tr. However, a budget of $1.15tr would still be the highest since WW2 in inflation adjusted terms.

Figure 32: Total US Defence Budget in fiscal years (constant 2025 dollars)



Source: US government data; J.P.Morgan Research

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Ukraine - European defence company exposure

Table 14: Exposure to Ukraine (2025 basis)

Company	Total exposure to Ukraine (% sales)	Direct exposure to Ukraine (% sales)	JPM comment
CSG	**27%**	**n/a**	**Includes purchases intended for Ukraine paid for by another nation or party. Key product is ammunition.**
Rheinmetall	**c20%**	**13%**	**Key product is ammunition**
Hensoldt		7%	Key product is radar for air defence systems
Thales		<2%	Radar, ammunition, optronics
Exosens		<1.5%	Image intensifier tubes for night vision goggles
RENK		c1.5%	A peace deal would allow Ukraine to return vehicle transmissions to RENK for overhaul
Vincorion		"minimal"	Vincorion says it has minimal exposure to Ukraine
BAE Systems		c1%	Mainly sales of drones in 2024 and 2025
Babcock		c1%	A peace deal could present significant opportunities: modernisation of equipment / infrastructure related investment.
Leonardo		<0.5%	
Qinetiq		c0%	
Dassault Aviation		0%	

Source: Companies; J.P. Morgan Research

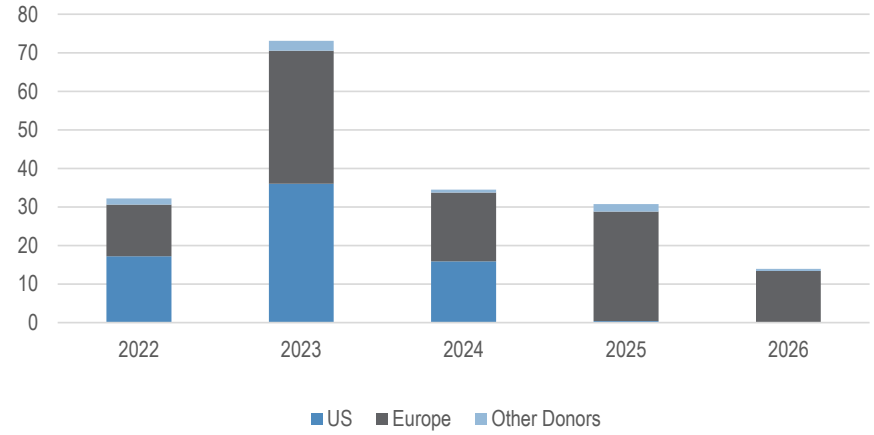
- In H1 26 CSG's total sales (direct and indirect) to Ukraine fell to 17% of group sales, from 26% in FY25.

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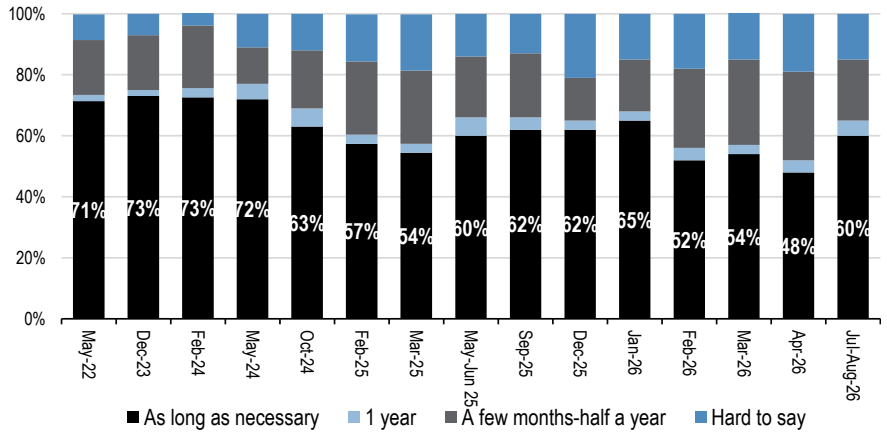
Ukraine - tracking the war

Figure 33: Allocated military aid to Ukraine (€ bn)



Source: Kiel Institute (Note: Aid up until April 2026)

Figure 34: Public perception in Ukraine regarding endurance of the War

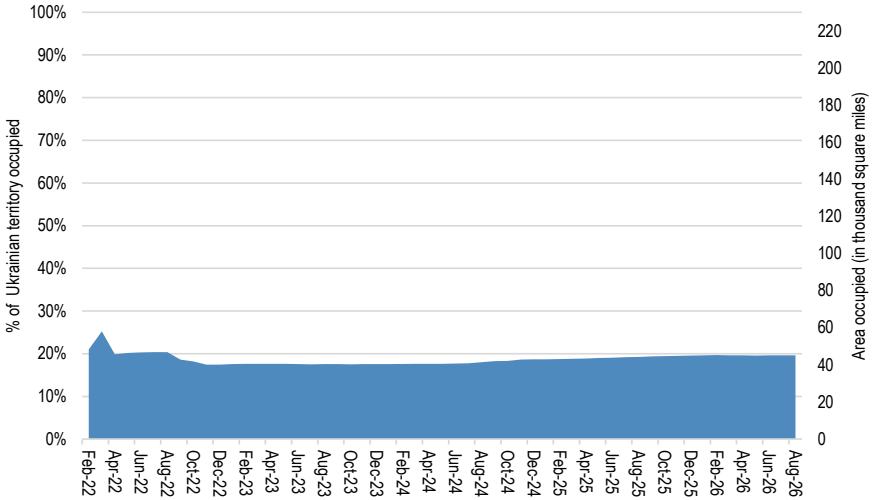


Source: Kyiv International Institute of Sociology

- The first chart above shows that since President Trump's inauguration, the US has provided no direct military aid to Ukraine.
- Under President Trump, the US has sold defence equipment to Ukraine. However, the conflict with Iran means that the US may not have as much equipment available to sell to Ukraine.
- The second chart shows that 60% of Ukrainians are still willing to fight "as long as necessary" against Russia.

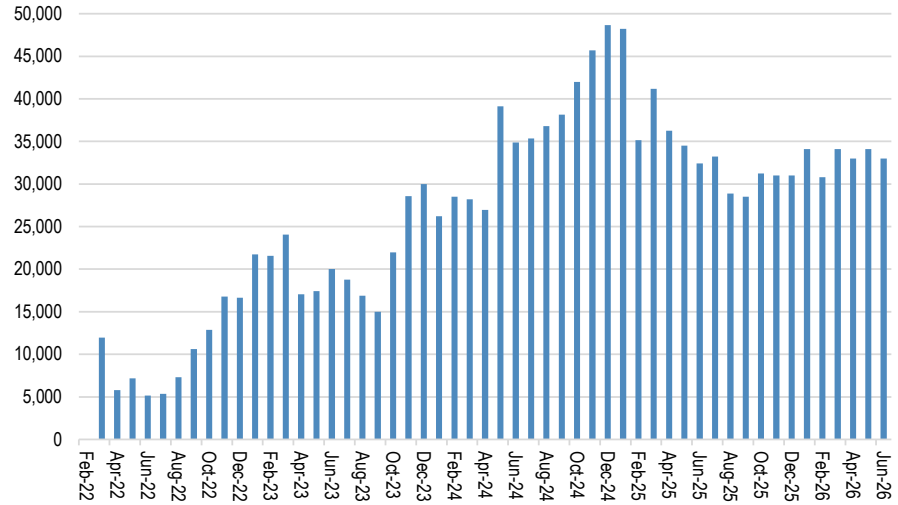
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Figure 35: Ukrainian territory held by Russia



Source: Institute for the Study of War, J.P. Morgan Research

Figure 36: Russian Battlefield Casualties by Month



Source: CSIS (Center for Strategic and International Studies)

- The first chart above shows that Russia has made very few territorial gains in Ukraine since its initial invasion.
- The second chart shows that Russian battlefield casualties are estimated to be c30,000 per month (or c1,000 per day).

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Company exposure by geography and product

Table 15: Sales split by company

Companies exposed to the German defence market should have the fastest sales growth in the coming year. Companies exposed to the US and M.East defence markets could have big upgrades in sell-side forecasts.

Company	Year	Group sales	% of Group sales from Defence & Security	Defence & Security sales	UK	France	Germany	Italy	Other Europe	Total Europe	N.America	Middle East	Australia & NZ	Other	Total
Pure play Defence companies - Sales split is for entire company															
Rheinmetall (1)	Dec-25A	€ 9,935	100%				38%		43%	**81%**	8%			11%	**100%**
Qinetiq (1)	Mar-25A	€ 1,932	c99%		68%		2%		2%	**71%**	18%		8%	3%	**100%**
BAE Systems (1)	Dec-25A	£28,336	c97%		27%		3%		9%	**39%**	44%	10%	4%	3%	**100%**
Hensoldt (1)	Dec-25A	€ 2,456	c97%				63%		26%	**89%**	3%	2%		6%	**100%**
CSG	Dec-25A	€ 6,741	84%	€ 5,662						**75%**	17%			8%	**100%**
Leonardo (2)	Dec-25A	€ 19,503	82%	€ 15,992	13%			23%	17%	**53%**	23%			24%	**100%**
Vincorion	Dec-25A	€ 240	80%	€ 192			60%		19%	**79%**	19%			2%	**100%**
Exosens (4)	Dec-25A	€ 468	75%	€ 351		7%	c20%		52%	**79%**	7%			14%	**100%**
Predominantly Defence companies - Sales split is for defence business only															
Babcock (3)	Mar 25A	£4,831	74%	£3,575	81%	1%			3%	**85%**	5%	1%	6%	3%	**100%**
RENK (3)	Dec-25A	€ 1,366	74%	€ 1,011			c13%		c37%	**c50%**	c30%			c20%	**100%**
Dass.Aviation (1)	Dec-25A	€ 7,420	63%	€ 4,645		36%				**n/a**				64%	**100%**
Thales (1)	Dec-25A	€ 22,136	55%	€ 12,234	8%	37%	3%		20%	**68%**	7%		6%	19%	**100%**
Predominantly Civil Aero companies - Sales split is for defence business only															
Rolls-Royce (3)	Dec-25A	£20,059	30%	£6,008	c20%		c15%		c15%	**c50%**	c40%			c10%	**100%**
Melrose	Dec-25A	£3,848	29%	€ 1,116						**c15%**	c70%			c15%	**100%**
Airbus (3)	Dec-25A	€ 73,420	22%	€ 16,006	c10%	c10%	c25%		n/a	**n/a**				n/a	**n/a**
Safran	Dec-25A	€ 31,329	18%	€ 5,639		c20%				**n/a**				c80%	**100%**

(1) Sales split as reported by the company
(2) Leonardo does not report the geographic split of just its defence sales; we show the sales split of the group, which includes some non-defence activities
(3) Defence sales split is J.P. Morgan estimate only
(4) Exosens sells its image intensifier tubes to companies that make night vision goggles. Exosens says that in 2024 Germany was the end user customer for 20% of its defence sales
Source: Companies; J.P. Morgan Research estimates

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Table 16: European defence companies - sales by market segment, 2026E (€ m)

	Country	Year	Defence elec. / cyber / systems	Military aircraft inc services	Naval inc services	Land inc services	Military helicopters inc services	Missiles	Ammunition	Satellites (military)	Power systems inc services	Consulting services	Total military sales
BAE Systems	UK	2026E	€ 10,985	€ 10,052	€ 7,450	€ 5,383		€ 2,367	€ 1,438				**€ 37,676**
Rolls-Royce	UK	2026E									€ 7,606		**€ 7,606**
Babcock	UK	Mar 27E	€ 289	€ 353	€ 3,508	€ 698							**€ 4,848**
Qinetiq	UK	Mar 27E										€ 2,347	**€ 2,347**
Airbus (1)	Ger / Fr	2026E	€ 2,252	€ 8,439			€ 4,992	*€ 2,383*		€ 973			**€ 19,039**
Rheinmetall (2)	Ger	2026E	€ 1,956		€ 1,035	€ 7,854		from 2027	€ 2,980	€ 91			**€ 13,916**
KNDS	Ger / Fr	2025A				€ 3,800			€ 612				**€ 4,412**
Hensoldt	Ger	2026E	€ 2,734										**€ 2,734**
ThyssenKrupp Marine	Ger	Sept 25A	€ 701		€ 1,470								**€ 2,171**
RENK	Ger	2026E									€ 1,267		**€ 1,267**
MTU Aero Engines	Ger	2026E									€ 707		**€ 707**
Vincorion	Ger	2026E	€ 277										**€ 277**
Thales	France	2026E	€ 13,334							€ 543			**€ 13,877**
Dassault Aviation	France	2026E		€ 5,898									**€ 5,898**
Safran (3)	France	2026E	€ 3,247								€ 2,484		**€ 5,731**
Naval Group	France	2026E			€ 5,053								**€ 5,053**
Exosens	France	2026E	€ 437										**€ 437**
Leonardo (1)	Italy	2026E	€ 9,223	€ 3,804		€ 1,648	€ 3,839	*€ 1,589*		*€ 165*			**€ 20,269**
Fincantieri	Italy	2025A			€ 2,117								**€ 2,117**
CSG	Czechia	2026E	€ 171			€ 1,448			€ 4,831		€ 50		**€ 6,499**
Saab	Sweden	2025A	€ 3,153	€ 1,593	€ 801			€ 904				€ 172	**€ 6,623**
Kongsberg	Norway	2025A		€ 318				€ 1,729		€ 245			**€ 2,291**
Total			**€ 48,760**	**€ 30,457**	**€ 21,434**	**€ 20,831**	**€ 8,831**	**€ 8,971**	**€ 9,861**	**€ 2,017**	**€ 12,114**	**€ 2,519**	**€ 165,794**

Note: We convert 2026E GBP sales to euros at avg 2026 YTD FX rate: €1.16 / £1; associate sales that are not consolidated are shown in italics
(1) Airbus and Leonardo: missile sales are in the MBDA JV; neither Airbus nor Leonardo consolidates these sales
(2) Rheinmetall sales shown after stripping out internal consolidations from each division; defence electronics is Digital division only; land is Vehicle Systems + Air Defence plus 'other' in W&A division; Ammunition is the pure ammunition part of W&A division
(3) Safran: Defence electronics column includes defence electronics / space / aircraft equipment (landing gear / wheels brakes etc
Source: Companies; J.P. Morgan Research estimates

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J.P.Morgan

Organic growth by company

Table 17: Sales forecasts for European Defence companies

Sales	FX	22A	23A	24A	25A	26E	27E	28E	29E	30E	25-30E CAGR
Rheinmetall Defence	Ger	4,444	5,251	7,712	9,935	13,916	18,149	23,298	29,598	36,896	30%
Hensoldt	Ger	1,707	1,847	2,240	2,455	2,818	3,317	3,904	4,692	5,687	18%
OHB	Ger	1,001	1,069	1,030	1,248	1,402	1,774	2,452	3,157	4,019	26%
RENK	Ger	849	926	1,141	1,366	1,523	1,855	2,177	2,621	3,217	19%
Vincorion	Ger	123	163	204	240	316	369	427	490	562	19%
CSG	Cz (EUR)	1,015	1,734	4,009	6,741	7,531	8,675	10,191	11,984	13,747	15%
Exosens	Fr	201	292	394	468	566	636	723	809	880	13%
Dassault Aviation (Defence only)	Fr	4,825	2,980	3,965	4,645	5,898	6,504	8,260	8,510	8,794	14%
Thales (Def. & Sec. div + Exail)	Fr	9,154	9,796	10,969	12,234	13,629	15,222	16,989	18,542	20,181	11%
Leonardo	It	14,713	15,291	17,763	19,503	21,900	24,502	26,518	29,184	31,027	10%
BAE Systems	UK / US	23,256	25,284	28,335	30,662	33,237	35,980	38,659	41,420	44,158	8%
Babcock (26E is YE Mar 27E etc)	UK	4,439	4,390	4,831	5,178	5,506	5,849	6,199	6,600	6,986	6%
Qinetiq (26E is YE Mar 27E etc)	UK	1,581	1,912	1,932	1,922	2,029	2,157	2,293	2,439	2,593	6%

Organic growth		22A	23A	24A	25A	26E	27E	28E	29E	30E	26E-30E Avg
Rheinmetall Defence	Ger	15%	14%	44%	25%	28%	28%	27%	26%	23%	26%
Hensoldt	Ger	16%	8%	6%	6%	15%	18%	18%	20%	21%	18%
OHB	Ger	9%	n/m	-4%	21%	12%	26%	38%	29%	27%	27%
RENK (1)	Ger	9%	9%	23%	18%	10%	16%	17%	20%	23%	17%
Vincorion	Ger		32%	25%	18%	31%	17%	16%	15%	15%	19%
CSG	Cz	76%	26%	124%	30%	11%	15%	17%	18%	15%	15%
Exosens	Fr	21%	26%	1%	13%	10%	12%	14%	12%	9%	11%
Dassault Aviation (Defence only) (2)	Fr	-9%	-38%	33%	17%	27%	10%	27%	3%	3%	14%
Thales (Def. & Sec. div + Exail)	Fr	4%	8%	13%	12%	11%	9%	9%	9%	9%	10%
Leonardo (3)	It	n/a	n/a	n/a	10%	7%	10%	8%	10%	6%	8%
BAE Systems	UK / US	4%	9%	9%	9%	9%	8%	7%	7%	7%	8%
Babcock (26E is YE Mar 27E etc)	UK	n/m	11%	10%	7%	6%	6%	6%	6%	6%	6%
Qinetiq (26E is YE Mar 27E etc)	UK	11%	14%	2%	2%	5%	6%	6%	6%	6%	6%
Unweighted avg		**15%**	**12%**	**24%**	**15%**	**15%**	**15%**	**16%**	**14%**	**13%**	**15%**

(1) RENK: We show group sales growth, with the impact of M&A stripped out. We do not have enough information to strip out FX impacts
(2) Dassault Aviation does not use percentage of completion accounting so its reported annual sales are much more lumpy than for other prime contractors
(3) Leonardo: we show reported growth; organic growth not reported and difficult to track
Source: Companies; J.P. Morgan Research estimates

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EBITA margins by company

- Leonardo's clean EBITA margin (as calculated by J.P. Morgan) is significantly lower than the Leonardo-defined EBITA margin. However, we see the glass as half full as we see scope for Leonardo to improve its financial performance.

Table 18: EBITA margin forecasts for European Defence companies

Co. def. EBITA margin		22A	23A	24A	25A	26E	27E	28E	29E	30E	Change: 2025 to 2030E
Rheinmetall	Ger	11.8%	12.8%	15.2%	18.5%	18.9%	19.8%	20.1%	19.5%	19.1%	0.2%
Hensoldt	Ger	13.1%	13.3%	13.2%	13.3%	13.7%	14.6%	15.2%	15.7%	16.2%	2.6%
OHB	Ger	6.3%	4.2%	7.0%	6.7%	7.5%	8.1%	8.8%	9.3%	9.8%	2.3%
RENK	Ger	17.0%	16.2%	16.6%	16.9%	17.8%	18.3%	19.3%	19.9%	20.5%	2.7%
Vincorion (1)	Ger	5.0%	9.7%	14.0%	16.5%	18.6%	19.0%	19.6%	20.0%	20.3%	1.7%
CSG	Cz	16.0%	21.8%	25.3%	24.1%	24.2%	24.4%	24.2%	23.9%	23.5%	-0.7%
Exosens	Fr	21.2%	22.7%	24.2%	27.3%	27.5%	28.2%	28.9%	29.3%	29.5%	2.0%
Unweighted avg		**12.9%**	**14.4%**	**16.5%**	**17.6%**	**18.3%**	**18.9%**	**19.4%**	**19.7%**	**19.8%**	**1.5%**
Dassault Aviation (Group)	Fr	8.3%	7.3%	8.3%	8.6%	9.3%	10.2%	10.6%	11.3%	11.7%	2.3%
Thales (Group)	Fr	11.0%	11.6%	11.8%	12.4%	12.7%	13.1%	13.7%	13.9%	14.2%	1.5%
Leonardo	It	8.3%	8.4%	8.6%	9.0%	10.2%	10.7%	11.4%	11.9%	12.4%	2.2%
BAE Systems	UK / US	10.7%	10.6%	10.6%	10.8%	11.0%	11.2%	11.3%	11.4%	11.5%	0.5%
Babcock (26E is YE Mar 27E etc)	UK	4.0%	5.4%	7.5%	5.7%	8.5%	8.8%	9.1%	9.5%	9.7%	1.2%
Qinetiq (26E is YE Mar 27E etc)	UK	11.3%	11.3%	9.6%	10.9%	11.1%	11.2%	11.3%	11.3%	11.3%	0.2%
Unweighted avg		**8.8%**	**9.0%**	**9.3%**	**9.6%**	**10.5%**	**10.9%**	**11.3%**	**11.6%**	**11.8%**	**1.3%**

JPM def. Clean EBITA margin*		22A	23A	24A	25A	26E	27E	28E	29E	30E	Change: 2025 to 2030E
Rheinmetall	Ger	10.3%	11.3%	14.9%	18.1%	17.8%	19.0%	19.4%	18.8%	18.4%	0.5%
Hensoldt	Ger	9.8%	9.6%	8.7%	8.6%	10.7%	12.4%	13.4%	14.2%	15.3%	4.5%
OHB	Ger	6.4%	4.0%	0.5%	5.5%	4.7%	7.7%	8.4%	8.9%	9.4%	4.7%
RENK	Ger	16.0%	15.7%	15.5%	16.3%	16.8%	17.8%	18.8%	19.5%	20.5%	3.7%
Vincorion	Ger	n/a	4.8%	8.9%	11.4%	15.6%	16.9%	19.1%	20.0%	20.3%	4.7%
CSG	Cz	15.6%	21.7%	25.3%	24.2%	24.2%	24.4%	24.2%	23.9%	23.5%	-0.7%
Exosens	Fr	19.8%	22.2%	23.7%	26.7%	27.0%	27.7%	28.4%	28.8%	29.0%	2.0%
Unweighted avg		**13.0%**	**12.8%**	**13.9%**	**15.8%**	**16.7%**	**18.0%**	**18.8%**	**19.2%**	**19.5%**	**2.8%**
Dassault Aviation (Group)	Fr	8.3%	6.5%	8.1%	8.4%	9.2%	10.1%	10.6%	11.2%	11.6%	2.4%
Thales (Group)	Fr	9.8%	10.6%	11.0%	11.4%	11.8%	12.2%	12.8%	13.0%	13.3%	1.5%
Leonardo	It	5.1%	5.5%	5.9%	6.3%	8.1%	8.7%	9.3%	9.8%	10.2%	2.1%
BAE Systems	UK / US	10.5%	10.6%	10.6%	11.0%	11.0%	11.2%	11.3%	11.4%	11.5%	0.5%
Babcock (26E is YE Mar 27E etc)	UK	4.0%	5.3%	7.5%	5.7%	8.6%	8.8%	9.2%	9.5%	9.7%	1.2%
Qinetiq (26E is YE Mar 27E etc)	UK	11.4%	10.3%	5.2%	8.5%	10.3%	11.0%	11.3%	11.3%	11.3%	1.0%
Unweighted avg		**8.2%**	**8.4%**	**8.2%**	**8.7%**	**9.9%**	**10.4%**	**10.9%**	**11.2%**	**11.4%**	**1.4%**

*Clean EBITA is company defined underlying EBITA less associates and below-the-line exceptionals, and with net capitalised R&D also deducted

Source: Company reports, J.P. Morgan estimates

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FCF by company

- Defence companies with good cash generation may undertake share buybacks in the coming years.

Table 19: FCF/Net income and FCF/Sales forecasts for European Defence companies

FCF / Net income*		22A	23A	24A	25E	26E	27E	28E	29E	30E	25-30E Avg
Rheinmetall	Ger	-41%	51%	109%	115%	96%	81%	75%	83%	86%	89%
Hensoldt	Ger	107%	115%	47%	122%	68%	98%	93%	91%	89%	93%
OHB		n/m	n/m	n/m	n/m	22%	5%	57%	86%	83%	51%
RENK	Ger	n/m	28%	86%	47%	88%	81%	81%	81%	82%	77%
Vincorion	Ger	n/a	-92%	9%	69%	9%	39%	63%	69%	85%	56%
CSG	Cz	177%	60%	147%	-46%	75%	71%	89%	87%	88%	61%
Exosens	Fr	n/a	n/a	44%	13%	52%	65%	67%	69%	77%	57%
Dassault Aviation	Fr	588%	-121%	141%	147%	22%	-11%	-25%	-25%	50%	26%
Thales	Fr	140%	38%	94%	117%	97%	87%	89%	89%	88%	94%
Leonardo	It	48%	79%	65%	72%	96%	80%	77%	77%	83%	81%
BAE Systems	UK / US	113%	135%	121%	96%	83%	89%	90%	90%	88%	89%
Babcock (26E is YE Mar 27E etc)	UK	82%	102%	60%	131%	77%	68%	79%	75%	84%	86%
Qinetiq (26E is YE Mar 27E etc)	UK	60%	84%	70%	82%	76%	79%	81%	80%	79%	80%
Unweighted avg		**n/m**	**45%**	**79%**	**79%**	**66%**	**62%**	**68%**	**72%**	**80%**	**71%**

FCF / Sales*		22A	23A	24A	25E	26E	27E	28E	29E	30E	25-30E Avg
Rheinmetall	Ger	-3.1%	4.2%	10.1%	13.4%	11.5%	10.4%	9.9%	10.6%	10.6%	11.1%
Hensoldt	Ger	7.6%	7.3%	3.9%	8.5%	5.2%	8.4%	8.9%	9.4%	9.9%	8.4%
OHB		-3.0%	-9.2%	11.6%	-0.6%	1.2%	0.3%	3.7%	6.0%	6.4%	2.8%
RENK	Ger	7.5%	2.3%	7.7%	4.9%	9.4%	9.0%	9.8%	10.5%	11.2%	9.2%
Vincorion	Ger	n/a	-3.7%	0.6%	6.9%	1.0%	4.5%	8.0%	9.3%	12.4%	7.0%
CSG	Cz	21.1%	6.0%	19.3%	-5.0%	11.4%	11.4%	14.7%	14.5%	14.7%	10.3%
Exosens	Fr	5.3%	-2.6%	7.1%	2.6%	10.1%	12.9%	13.9%	14.9%	17.0%	11.9%
Dassault Aviation (1)	Fr	n/m	n/m	n/m	n/m	n/m	n/m	n/m	n/m	n/m	n/m
Thales	Fr	12.4%	3.7%	8.6%	10.6%	9.0%	8.2%	8.9%	9.3%	9.4%	9.2%
Leonardo	It	3.1%	3.5%	4.1%	4.7%	6.0%	5.5%	5.8%	6.2%	7.0%	5.9%
BAE Systems	UK / US	8.4%	10.3%	8.8%	7.0%	6.3%	7.0%	7.3%	7.5%	7.5%	7.1%
Babcock (26E is YE Mar 27E etc)	UK	1.6%	3.6%	3.1%	5.0%	4.5%	4.2%	5.1%	5.1%	5.9%	5.0%
Qinetiq (26E is YE Mar 27E etc)	UK	5.8%	7.4%	5.3%	7.2%	6.8%	7.2%	7.5%	7.7%	7.8%	7.4%
Unweighted avg		**n/m**	**2.8%**	**7.1%**	**5.4%**	**6.7%**	**7.1%**	**8.3%**	**8.9%**	**9.6%**	**7.7%**

*We use the J.P.Morgan defined FCF (post all items except dividends, M&A, FX) as a % of the company defined sales

(1) Dassault Aviation receives cash dividends from its stake in Thales but it does not consolidate the sales of Thales; hence we see FCF/Sales as not meaningful

Source: Company reports, J.P. Morgan estimates

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Appendices

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J.P.Morgan

Consensus sell-side ratings for European A&D stocks

Table 20: J.P. Morgan ratings vs. consensus ratings for European Aerospace & Defence stocks*

Stock	Buys	Sells	Holds	Total Ratings*	Buys	Sells	Holds	Buys less Sells	J.P.Morgan rating
Rolls-Royce	18	1	3	22	82%	5%	14%	77%	OW
Airbus	23	1	6	30	77%	3%	20%	73%	OW
Melrose	11	2	3	16	69%	13%	19%	56%	OW
Safran	14	2	9	25	56%	8%	36%	48%	OW
MTU Aero Engines	15	3	7	25	60%	12%	28%	48%	OW
Unweighted average - Civil Aero					**69%**	**8%**	**23%**	**61%**	
Vincorion	6	0	0	6	100%	0%	0%	100%	OW
Babcock	9	0	1	10	90%	0%	10%	90%	OW
RENK	18	0	2	20	90%	0%	10%	90%	OW
OHB	8	0	1	9	89%	0%	11%	89%	OW
Rheinmetall	24	0	4	28	86%	0%	14%	86%	N
Leonardo	17	0	5	22	77%	0%	23%	77%	OW
Exosens	9	0	3	12	75%	0%	25%	75%	OW
CSG	13	2	1	16	81%	13%	6%	69%	OW
Qinetiq	9	1	2	12	75%	8%	17%	67%	OW
Thales	14	1	8	23	61%	4%	35%	57%	N
Dassault Aviation	9	1	8	18	50%	6%	44%	44%	N
BAE Systems	13	3	8	24	54%	13%	33%	42%	OW
Saab	8	2	8	18	44%	11%	44%	33%	NR
Hensoldt	7	2	8	17	41%	12%	47%	29%	N
Unweighted average - Defence					**70%**	**5%**	**25%**	**65%**	

*We show all stock ratings posted on Bloomberg. We note that some brokers do not publish their ratings on Bloomberg.

Source: J.P. Morgan estimates, Bloomberg Finance L.P. (Sep 28th, 2026)

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J.P.Morgan

J.P. Morgan EPS vs. consensus EPS

Table 21: J.P. Morgan EPS vs consensus

Company		Bloomberg median EPS (as of Sep 28, 2026)					J.P.Morgan EPS estimates (based on company defined EPS)						EPS CAGR (JPMe)	J.P.Morgan vs. consensus				
		26E	27E	28E	29E	30E	25A	26E	27E	28E	29E	30E	25-30E	26E	27E	28E	29E	30E
Airbus	Fr	7.32	8.82	10.9	12.6	13.8	6.89	7.24	8.21	10.1	12.2	13.2	14%	-1%	-7%	-7%	-3%	-4%
Safran (1)	Fr	10.4	13.1	14.8	16.7	17.5	7.60	9.77	11.9	15.5	17.4	18.7	20%	n/m	-9%	4%	4%	7%
MTU	Ger	18.8	20.5	22.6	25.6	27.9	17.8	19.4	21.3	23.3	25.7	28.5	10%	3%	4%	3%	1%	2%
Rolls-Royce	UK	43.4	49.4	58.6	69.3	80.8	29.6	43.6	49.3	57.9	66.8	76.4	21%	0%	0%	-1%	-4%	-5%
Melrose	UK	34.7	45.5	54.9	62.7	n/a	32.1	34.1	47.5	57.4	67.8	77.8	19%	-2%	4%	5%	8%	n/a
Civil Aero avg													**17%**					
Hensoldt	Ger	1.88	2.47	3.21	4.09	5.43	1.49	1.87	2.47	3.24	4.19	5.45	30%	0%	0%	1%	2%	1%
OHB	Ger	2.85	5.20	7.65	10.91	14.83	3.02	3.68	5.12	7.74	10.7	15.0	38%	n/m	-2%	1%	-2%	1%
RENK	Ger	1.70	2.14	2.71	3.45	4.36	1.41	1.64	2.07	2.66	3.40	4.39	26%	-4%	-3%	-2%	-2%	1%
Rheinmetall	Ger	37.8	54.2	73.5	97	123	25.5	36.5	50.7	66.7	81.9	99.6	31%	-3%	-6%	-9%	-15%	-19%
Vincorion	Ger	0.69	0.87	1.09	1.31	1.63	0.48	0.72	0.86	1.08	1.32	1.63	28%	n/m	0%	0%	1%	0%
CSG (2)	Cz	1.11	1.38	1.69	1.95	2.32	n/a	1.15	1.39	1.68	2.01	2.30	19%	3%	1%	-1%	3%	-1%
Exosens	Fr	1.89	2.34	2.65	2.99	3.40	1.84	2.18	2.50	2.98	3.44	3.82	16%	n/a	n/a	n/a	n/a	n/a
Thales	Fr	10.7	12.5	14.1	15.6	17.2	9.76	10.7	11.9	14.0	15.7	17.4	12%	0%	-4%	-1%	0%	1%
Dassault Aviation	Fr	15.4	18.3	21.9	24.6	27.8	13.6	15.2	17.3	22.8	25.2	27.8	15%	-2%	-6%	4%	2%	0%
Leonardo	It	2.38	2.91	3.41	3.99	4.53	2.22	2.39	2.93	3.47	4.05	4.55	15%	0%	1%	2%	2%	0%
BAE Systems	UK	84.0	96.0	107	117	130	75.2	83.9	95.1	106	118	130	12%	0%	-1%	-1%	1%	0%
Babcock (3)	UK	64.9	71.9	78.9	89.7		60.5	67.1	75.4	84.2	94.7	104	11%	3%	5%	7%	6%	n/a
European Defence avg													**20%**					

(1) For Safran / Thales / Dassault Aviation we have assumed that France imposes a third succcessive tax surcharge in 2027; hence our EPS are below consensus in 2027

(2) CSG: EPS CAGR is end 2026E to end 2030E

(3) Babcock and Qinetiq: 2025E is YE Mar 26E etc.

Source: J.P. Morgan estimates; Bloomberg Finance L.P

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J.P. Morgan price targets - how they are derived

Table 22: Deriving our Price Targets for European Aerospace & Defence stocks

Company	CCY	Rating	Curr. Price	PT	PT basis	Up-/ down-side	Implied valuation at our price target											
							Clean P/E				Clean EV/EBITA				FCF yield			
							27E	28E	29E	30E	27E	28E	29E	30E	27E	28E	29E	30E
Civil Aerospace																		
Airbus	Fr	OW	193	244	Dec-27	27%	31.8	25.5	21.0	19.3	22.4	18.0	14.6	13.2	3.0%	3.9%	4.7%	5.2%
Safran	Fr	OW	333	460	Dec-27	38%	38.9	29.9	26.5	24.6	26.0	22.4	19.7	18.0	2.3%	3.0%	3.3%	3.6%
R-Royce	UK (p)	OW	1,474	1,800	Dec-27	22%	37.4	31.7	27.4	23.9	27.0	23.2	19.9	17.3	3.3%	3.8%	4.2%	4.7%
MTU Aero	Ger	OW	368	465	Dec-27	26%	22.4	20.3	18.3	16.4	17.0	15.3	13.7	12.1	2.5%	3.2%	4.2%	5.0%
Melrose	UK (p)	OW	474	750	Dec-27	58%	15.2	12.6	10.8	9.4	12.9	10.9	9.3	8.0	2.5%	4.4%	6.0%	7.4%
Eur Civil Aero avg							**29.1**	**24.0**	**20.8**	**18.7**	**21.1**	**18.0**	**15.4**	**13.7**	**2.7%**	**3.7%**	**4.5%**	**5.2%**
Dassault Aviation	Fr	N	291	350	Dec-27	20%	20.3	15.4	13.9	12.6	9.5	7.8	7.0	5.9	-0.5%	-1.7%	-1.8%	4.0%
Thales	Fr	N	226	280	Dec-27	24%	23.5	20.0	17.9	16.1	19.1	16.4	14.5	12.9	3.7%	4.4%	5.0%	5.4%
Rheinmetall	Ger	N	966	1,350	Dec-27	40%	27.3	20.7	16.9	13.9	20.8	15.8	12.7	9.8	3.1%	3.7%	5.0%	6.3%
Leonardo	It	OW	49.2	73.0	Dec-27	48%	26.4	22.1	18.7	16.6	19.2	16.3	13.8	12.2	3.2%	3.7%	4.3%	5.2%
BAE Systems	UK (p)	OW	1,966	2,450	Dec-27	25%	25.4	22.8	20.5	18.6	20.5	18.7	17.0	15.5	3.5%	3.9%	4.3%	4.7%
European Defence large cap avg							**24.6**	**20.2**	**17.6**	**15.6**	**17.8**	**15.0**	**13.0**	**11.3**	**2.6%**	**2.8%**	**3.4%**	**5.1%**
Exosens	Fr	OW	59.9	76.4	Dec-27	27%	29.7	25.0	21.6	19.5	21.6	18.2	15.6	13.8	2.2%	2.7%	3.3%	4.0%
Hensoldt	Ger	N	75.5	100	Dec-27	32%	48.6	35.5	26.4	19.4	30.4	23.6	18.1	13.4	2.4%	3.0%	3.8%	4.9%
OHB	Ger	OW	188	300	Dec-27	60%	61.7	40.6	29.4	20.8	41.6	27.5	19.7	14.1	0.1%	1.5%	3.0%	4.1%
RENK	Ger	OW	39.6	62.0	Dec-27	56%	30.9	24.0	18.6	14.1	20.5	16.2	12.7	9.6	2.7%	3.5%	4.4%	5.8%
Vincorion	Ger	OW	17.4	27.0	Dec-27	55%	35.7	25.6	20.4	16.5	23.8	17.9	14.6	12.2	1.2%	2.5%	3.4%	5.2%
Babcock	UK (p)	OW	986	1,500	Dec-27	52%	20.4	18.2	16.2	14.7	15.0	13.0	11.3	9.9	3.4%	4.2%	4.7%	5.5%
Qinetiq	UK (p)	OW	490	565	Dec-27	15%	15.2	13.5	12.3	11.3	13.0	11.3	10.1	9.0	5.3%	5.9%	6.5%	7.0%
CSG	Cz	OW	14.7	27.5	Dec-27	87%	19.7	16.4	13.7	11.9	15.1	12.7	10.6	9.1	3.6%	5.4%	6.3%	7.3%
European Defence SMID avg							**32.7**	**24.8**	**19.8**	**16.0**	**22.6**	**17.5**	**14.1**	**11.4**	**2.6%**	**3.6%**	**4.4%**	**5.5%**

Source: J.P. Morgan estimates, Bloomberg Finance L.P (COB Sep 28th, 2026)

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J.P. Morgan defined clean EBITA margins

Table 23: European A&D - Converting company-defined EBITA into the J.P. Morgan defined clean EBITA, 2027E

Civil Aerospace	AIR	SAF	RR	MTU	Melrose
	€ (m)	€ (m)	£ (m)	€ (m)	£ (m)
Gross sales (1)					
Subsidiary sales	90,027	40,421	25,750	10,567	4,207
Company defined underlying EBITA	**8,664**	**7,457**	**5,415**	**1,602**	**883**
Add back pension fin. charge (if inc. in EBITA)	89				
Less associates (if included in EBITA)	(277)	(248)	(187)	(212)	
Less operating exceptionals (inc. cap gains)	(350)	0	0		
Adj. for net capitalised R&D	(212)	(51)	(110)	(39)	23
JPM defined clean EBITA	**7,914**	**7,157**	**5,117**	**1,351**	**906**
Add est. interest on cust. prepayments	459	259	469	17	9
JPM defined Economic EBITA	**8,373**	**7,416**	**5,586**	**1,368**	**915**
Company defined EBITA margin	9.6%	18.4%	21.0%	15.2%	21.0%
JPM defined economic EBITA margin	**9.3%**	**18.3%**	**21.7%**	**12.9%**	**21.8%**

Defence	BAE (1)	Thales	RHM	LDO	Dass. Av.	CSG	BAB (2)	QQ (2)	HEN	OHB	RENK	EXO	VINC
	£ (m)	€ (m)	€ (m)	€ (m)	€ (m)	€ (m)	£ (m)	£ (m)	€ (m)	€ (m)	€ (m)	€ (m)	€ (m)
Gross sales (1)	33,237												
Subsidiary sales	30,813	26,164	18,149	24,502	9,707	8,675	5,849	2,157	3,317	1,774	1,855	636	369
Company defined underlying EBITA	**4,020**	**3,435**	**3,598**	**2,616**	**987**	**2,113**	**512**	**241**	**483**	**144**	**339**	**179**	**70**
Add back pension fin. charge (if inc. in EBITA)													
Less associates (if included in EBITA)	(294)	(234)	(70)	(261)					(4)				
Less operating exceptionals (inc. cap gains)				(100)				(5)	(19)	0	(10)		
Adj. for net capitalised R&D			(73)	(127)	(9)		2		(48)	(7)		(3)	(8)
JPM defined clean EBITA	**3,726**	**3,200**	**3,455**	**2,128**	**978**	**2,113**	**515**	**236**	**411**	**137**	**329**	**176**	**62**
Add est. interest on cust. prepayments	135	220	244	110	150	36	3	2	9	2	5	0	1
JPM defined Economic EBITA	**3,861**	**3,420**	**3,699**	**2,238**	**1,128**	**2,150**	**518**	**239**	**420**	**139**	**335**	**176**	**63**
Company defined EBITA margin	12.1%	13.1%	19.8%	10.7%	10.2%	24.4%	8.8%	11.2%	14.6%	8.1%	18.3%	28.2%	19.0%
JPM defined economic EBITA margin	**12.5%**	**13.1%**	**20.4%**	**9.1%**	**11.6%**	**24.8%**	**8.8%**	**11.1%**	**12.7%**	**7.8%**	**18.0%**	**27.7%**	**17.0%**

(1) Gross sales: BAE is the only company to report sales including JV sales; (2) Babcock and Qinetiq: 2024 is YE 31 Mar 26E

Source: J.P. Morgan Research estimates

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J.P. Morgan defined clean FCF

Table 24: European A&D - Converting company-defined FCF into the J.P. Morgan defined clean FCF, 2027E

Civil Aerospace	AIR	SAF	RR	MTU	Melrose
	€ (m)	€ (m)	£ (m)	€ (m)	£ (m)
Company def. u/l. net income	**6,449**	**4,913**	**4,022**	**1,147**	**593**
Company defined FCF	**6,100**	**4,679**	**4,880**	**740**	**233**
Restructuring / other exceptionals					
Pension top up payments	(200)				
Capital repayment of operating leases	(175)	(200)		(110)	
Dividends to minorities		(63)			
JPM defined clean FCF	**5,725**	**4,416**	**4,880**	**630**	**233**
Co. def. FCF as % of net income	95%	95%	121%	64%	39%
JPM def. FCF as % of net income	**89%**	**90%**	**121%**	**55%**	**39%**

Defence	BAE	Thales	RHM	LDO	Dass Av	CSG	BAB (1)	QQ (1)	HEN	OHB	RENK	EXO	VINC
	£ (m)	€ (m)	€ (m)	€ (m)	€ (m)	€ (m)	£ (m)	£ (m)	€ (m)	€ (m)	€ (m)	€ (m)	€ (m)
Company def. u/l. net income	**2,816**	**2,459**	**2,332**	**1,690**	**1,346**	**1,394**	**358**	**196**	**285**	**107**	**207**	**127**	**43**
Company defined FCF	**2,518**	**2,381**	**1,940**	**1,439**	**n/a**	**n/a**	**244**	**166**	**314**	**n/a**	**n/a**	**n/a**	**17**
Restructuring / other			5						(35)				
Pension top up payments													
Capital repayment of operating leases		(236)	(51)	(90)				(11)					
Dividends to minorities		(7)					(2)						
JPM defined clean FCF	**2,518**	**2,138**	**1,894**	**1,349**	**(146)**	**992**	**243**	**155**	**279**	**5**	**168**	**82**	**16.8**
Company def. FCF as % of net income	89%	97%	83%	85%	n/a	n/a	68%	85%	110%	n/a	n/a	n/a	39%
JPM def. FCF as % of net income	**89%**	**87%**	**81%**	**80%**	**-11%**	**71%**	**68%**	**79%**	**98%**	**5%**	**81%**	**65%**	**39%**

Source: J.P. Morgan Research estimates

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J.P. Morgan defined Enterprise Values

Table 25: J.P. Morgan's calculation of EV for European A&D companies, 2027E

	Civil Aero					Defence - Primes						Defence - SMID						
	AIR	SAF	RR	MTU	MEL	BAE	THAL.	RHM	DASS.	LDO	CSG	HEN	OHB	RENK	BAB (5)	QQ (5)	EXO	VINC
	€ (m)	€ (m)	£ (m)	€ (m)	£ (m)	£ (m)	€ (m)	€ (m)	€ (m)	€ (m)	€ (m)	€ (m)	€ (m)	€ (m)	£ (m)	£ (m)	€ (m)	€ (m)
Share price (p or Eur)	193	335	1,478	369	474	1,978	229	982	292	49.1	15.0	76.0	170.6	40.8	985	490	62.3	17.6
No. of shares (m)	785	412	8,166	54	1,247	2,962	206	46	78	577	1,000	116	21	100	477	506	51	50
Market value	**151,914**	**138,044**	**120,657**	**19,863**	**5,916**	**58,583**	**47,058**	**45,156**	**22,722**	**28,337**	**15,034**	**8,778**	**3,553**	**4,080**	**4,700**	**2,476**	**3,158**	**879**
Co. def. net debt / (cash) (pre IFRS 16) (1)	(17,098)	(5,734)	(4,927)	164	1,371	2,584	1,643	(1,823)	(8,587)	224	1,106	44	(423)	367	(90)	(13)	85	81
Operating leases (IFRS 16)	2,380	1,059	1,683	326	330	1,766	1,511	306	179	624	118	551	40	19	360	94	17	28
Excess customer advances - traditional (2)	15,305	4,042	2,983	224	329	4,500	7,330	9,142	4,500	3,675	1,301	290	89	186	100	80		18
Excess customer advances - aftermarket (3)		3,640	11,670	336														
RRSP prepayment			(2,221)															
Factoring		50			472		300			200		9			1			
Net amounts owed to JVs			(149)			2,139												
Net pension deficit (4)	710	509	692	671	4	375	975	288	23	300		255	60	3	48		8	16
Launch aid / risk sharing partner liabilities	1,009	275					128			494								
Cash provisions to be utilised	1,213		836												56			
J.P.Morgan adjusted net debt / (cash)	**3,518**	**3,841**	**10,567**	**1,721**	**2,506**	**11,364**	**11,887**	**7,913**	**(3,885)**	**5,517**	**2,525**	**1,149**	**-234**	**574**	**475**	**161**	**110**	**143**
Market value of minorities	250	3,236	54	281		1,384	705	6,586	22	2,643	2,646	61	5	47	82			
Less investments / vendor financing collateral	(8,272)	(3,431)	(11,834)	(3,781)	(62)	(6,321)	(5,098)	(2,288)	(12,878)	(7,278)	(104)	(6)	(231)		(153)	(2)	(18)	
Total EV	**147,411**	**141,689**	**119,444**	**18,083**	**8,360**	**65,010**	**54,552**	**57,367**	**5,980**	**29,219**	**20,101**	**9,982**	**3,093**	**4,701**	**5,105**	**2,635**	**3,250**	**1,022**
Market cap / Total EV	**103%**	**97%**	**101%**	**110%**	**71%**	**90%**	**86%**	**79%**	**380%**	**97%**	**75%**	**88%**	**115%**	**87%**	**92%**	**94%**	**97%**	**86%**
Memorandum																		
Total sales	**90,027**	**40,421**	**25,750**	**10,567**	**4,207**	**35,980**	**26,164**	**18,149**	**9,707**	**24,502**	**8,675**	**3,317**	**1,774**	**1,855**	**5,763**	**2,125**	**636**	**369**
Est. Excess cust. advances as a % of sales	**17%**	**19%**	**57%**	**5%**	**8%**	**13%**	**28%**	**50%**	**46%**	**15%**	**15%**	**9%**	**5%**	**10%**	**2%**	**4%**	**3%**	**7%**
Pension deficit (post tax) as % of sales	1%	1%	3%	6%	0%	1%	4%	2%	0%	1%	0%	8%	3%	0%	1%	0%	1%	4%

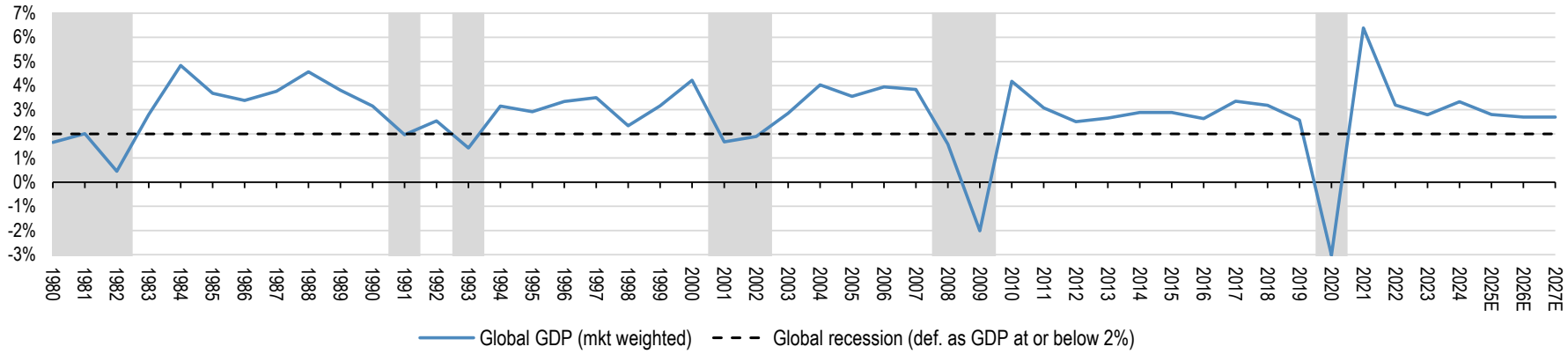
(1) For MTU we show reported net debt and the NPV of royalties owed on IAE and other programme entry fees
(2) Under IFRS 15 companies no longer disclose excess customer advances; all data is JPM estimates.
(3) For RR we show the "Total Care Creditor" less the "Total Care Debtor". For Safran we show "Deferred Income on LTSAs" less "Unbilled contract assets on LTSA"
(4) For all companies (except Babcock) we show the IFRS deficit, post tax
(5) Babcock and Qinetiq y/e is 31 March. Hence we have calendarised the EV adjustments and total sales
Source: .P. Morgan Research estimates, Bloomberg Finance L.P (Sep 28, 2026)

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J.P. Morgan global GDP forecasts

Figure 37: Global GDP growth

J.P. Morgan's economists forecast global GDP growth of 2.7% in 2026.



Source: IMF; J.P. Morgan estimates (Sep 28, 2026)

Table 26: Change in J.P. Morgan Global GDP forecasts since the start of 2026

Region	JPM estimates as at 1 Jan 26			JPM estimates as of 28 Sep 26			Change in estimates		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
United States	2.1%	2.1%	2.0%	2.1%	2.2%	2.2%	0.0%	0.1%	0.2%
Euro Area	1.5%	1.3%	1.5%	1.3%	1.0%	1.5%	-0.2%	-0.3%	0.0%
o/w Germany	0.3%	1.3%	1.7%	0.3%	1.1%	1.6%	0.0%	-0.2%	-0.1%
o/w France	0.8%	1.0%	1.2%	0.9%	0.5%	1.0%	0.1%	-0.5%	-0.2%
o/w Italy	0.6%	0.6%	0.6%	0.7%	0.9%	0.6%	0.1%	0.3%	0.0%
United Kingdom	1.3%	0.8%	1.1%	1.3%	1.4%	1.4%	0.0%	0.6%	0.3%
China	4.9%	4.4%	4.1%	5.0%	4.5%	4.3%	0.1%	0.1%	0.2%
India	7.5%	6.5%	6.3%	7.7%	6.8%	6.5%	0.2%	0.3%	0.2%
L.America (inc. Carib.)	1.9%	1.7%	2.0%	2.1%	1.8%	1.9%	0.2%	0.1%	-0.1%
Global (mkt weight)	**2.8%**	**2.6%**	**2.5%**	**2.8%**	**2.7%**	**2.7%**	**0.0%**	**0.1%**	**0.2%**

Source: J.P. Morgan Economic Outlook (Sep 28, 2026)

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Airbus & Boeing - deliveries by model - 2016 to 2030E

Table 27: Airbus and Boeing deliveries by model

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
A220 (formerly the C-Series)			20	48	38	50	53	68	75	93	110	130	145	160	170
A320ceo Family	477	377	240	91	15	24									
A320neo Family	68	181	386	551	431	459	516	571	602	607	652	710	775	850	865
A330ceo	66	67	46	12	6	4	9	3		2					
A330neo			3	41	13	14	23	29	32	34	42	45	47	49	54
A350	49	78	93	112	59	55	60	64	57	57	66	78	94	114	138
A380	28	15	12	8	4	5									
Total Airbus	**688**	**718**	**800**	**863**	**566**	**611**	**661**	**735**	**766**	**793**	**870**	**963**	**1,061**	**1,173**	**1,227**
Change yoy	8%	4%	11%	8%	-34%	8%	8%	11%	4%	4%	10%	11%	10%	11%	5%
737 NG	490	455	324	70	16	18	13	9	5	7	2				
737 Max		74	256	57	27	245	374	387	260	440	505	600	625	660	700
747	9	14	6	7	5	7	5	1							
767 (1)	13	10	27	43	30	32	33	32	18	30	28	10	10	10	10
777	99	74	48	45	26	24	24	26	14	35	27	10	10	5	0
777X											0	18	32	44	52
787	137	136	145	158	53	14	31	73	51	88	95	118	128	136	150
Total Boeing	**748**	**763**	**806**	**380**	**157**	**340**	**480**	**528**	**348**	**600**	**657**	**756**	**805**	**855**	**912**
Change yoy	-2%	2%	6%	-53%	-59%	117%	41%	10%	-34%	72%	10%	15%	6%	6%	7%
Airbus Narrow body (ex. A220)	545	558	626	642	446	483	516	571	602	607	652	710	775	850	865
Boeing Narrow body	490	529	580	127	43	263	387	396	265	447	507	600	625	660	700
Total Narrow bodies (ex. A220)	**1,035**	**1,087**	**1,206**	**769**	**489**	**746**	**903**	**967**	**867**	**1,054**	**1,159**	**1,310**	**1,400**	**1,510**	**1,565**
Airbus share of narrow body deliveries	53%	51%	52%	83%	91%	65%	57%	59%	69%	58%	56%	54%	55%	56%	55%
Airbus Wide body	143	160	154	173	82	78	92	96	89	93	108	123	141	163	192
Boeing Wide body	258	234	226	253	114	77	93	132	83	153	150	156	180	195	212
Total Wide bodies	**401**	**394**	**380**	**426**	**196**	**155**	**185**	**228**	**172**	**246**	**258**	**279**	**321**	**358**	**404**
Airbus share of wide body deliveries	36%	41%	41%	41%	42%	50%	50%	42%	52%	38%	42%	44%	44%	46%	48%
B737 per month (12 month year)	41	44	48	11	4	22	32	33	22	37	42	50	52	55	58
A320 per month (12 month year)	45	47	52	54	37	40	43	48	50	51	54	59	65	71	72
A320 per month (11.5 month year)	47	49	54	56	39	42	45	50	52	53	57	62	67	74	75

(1) B767 includes KC-46 tanker variant.

Source: Companies; J.P. Morgan estimates. NB: Boeing forecasts are from J.P. Morgan's US analyst Seth Seifman.

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Airbus & Boeing - orders by model, 2005-25

Table 28: Airbus & Boeing gross orders by year (2005 to 2025)

Gross Orders	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	Total 2005-25*
A220**														135	118	64	64	127	142	17	49	716
A318ceo	41	4	13	5	1		2	2			1											69
A319ceo/neo	206	253	185	54	36	44	31	48	26	33	3	5	8	27	2	47	2	17	2	1		1,030
A320ceo/neo	568	312	676	446	167	357	1,327	567	702	1,117	633	540	646	412	304	97	78	370	520	134	148	10,121
A321ceo/neo	103	104	40	54	24	51	110	166	525	395	329	245	506	138	490	152	581	501	1,313	502	508	6,837
Airbus narrow body	**918**	**673**	**914**	**559**	**228**	**452**	**1,470**	**783**	**1,253**	**1,545**	**966**	**790**	**1,160**	**712**	**914**	**360**	**725**	**1,015**	**1,977**	**654**	**705**	**18,773**
A300	7																					7
A340	15	15	23	6	1	2		2														64
A330ceo/neo	64	104	198	140	50	88	99	80	77	174	154	106	25	37	104	2	30	19	42	82	102	1,777
A350	87	15	290	186	27	70	10	40	239	57	16	51	44	62	113	21	16	44	300	142	193	2,023
A380	20	17	33	9	4	32	29	9	50	20	3	2		20								248
Airbus wide body	**193**	**151**	**544**	**341**	**82**	**192**	**138**	**131**	**366**	**251**	**173**	**159**	**69**	**119**	**217**	**23**	**46**	**63**	**342**	**224**	**295**	**4,119**
Total Airbus	**1,111**	**824**	**1,458**	**900**	**310**	**644**	**1,608**	**914**	**1,619**	**1,796**	**1,139**	**949**	**1,229**	**831**	**1,131**	**383**	**771**	**1,078**	**2,319**	**878**	**1,000**	**22,892**
B737	574	739	850	488	197	507	625	1,184	1,208	1,196	666	701	865	837	69	130	765	697	987	417	601	14,303
Boeing narrow body	**574**	**739**	**850**	**488**	**197**	**507**	**625**	**1,184**	**1,208**	**1,196**	**666**	**701**	**865**	**837**	**69**	**130**	**765**	**697**	**987**	**417**	**601**	**14,303**
B747	48	72	25	4	5	1	5	7	17	2	6	18	6	18	0	1	5					240
B767	19	10	36	29	7	3	42	23	2	4	49	26	15	40	26	11	65	31	30	34	15	517
B777 / B777X	155	77	143	54	30	76	202	75	121	283	58	23	60	59	38	13	53	68	126	55	178	1,947
B787	235	160	369	94	24	36	47	50	183	65	99	80	107	136	113	29	21	139	313	63	381	2,744
Boeing wide body	**457**	**319**	**573**	**181**	**66**	**116**	**296**	**155**	**323**	**354**	**212**	**147**	**188**	**253**	**177**	**54**	**144**	**238**	**469**	**152**	**574**	**5,448**
Total Boeing	**1,031**	**1,058**	**1,423**	**669**	**263**	**623**	**921**	**1,339**	**1,531**	**1,550**	**878**	**848**	**1,053**	**1,090**	**246**	**184**	**909**	**935**	**1,456**	**569**	**1,175**	**19,751**
Total Airbus & Boeing	**2,142**	**1,882**	**2,881**	**1,569**	**573**	**1,267**	**2,529**	**2,253**	**3,150**	**3,346**	**2,017**	**1,797**	**2,282**	**1,921**	**1,377**	**567**	**1,680**	**2,013**	**3,775**	**1,447**	**2,175**	**42,643**

Source: Airbus; Boeing; J.P. Morgan
** Airbus acquired the A220 programme from Bombardier in mid-2018

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Airbus & Boeing - backlog by model

Table 29: Commercial aircraft programmes – key data

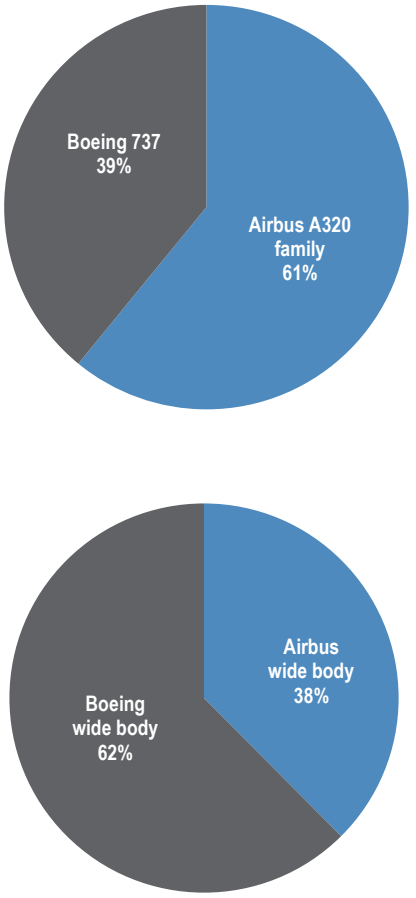
Model	Type	Engines	EIS	Order backlog (1)
Boeing 737 Next Gen (family)(2)	Narrow body	CFM-56	1996	33
Boeing 737 MAX (family)	Narrow body	LEAP	2017	4,765
Boeing narrow body total				**4,798**
Boeing 767 (3)	Wide body	CF6 / PW4000	1982	87
Boeing 777	Wide body	GE90	1995	43
Boeing 777X	Wide body	GE9X	2027	652
Boeing 787	Wide body	GEnx / Trent 1000	2011	1,145
Boeing wide body total				**1,927**
Total Boeing				**6,725**
Airbus A220 narrow body	Narrow body	GTF	2016	586
Airbus A320neo (family) (4)	Narrow body	LEAP / GTF	2016	7,478
Airbus narrow body total				**8,064**
Airbus A330ceo (3)	Wide body	Trent 700 / PW4000 / CF6	1994	6
Airbus A330neo	Wide body	Trent 7000	2018	277
Airbus A350	Wide body	Trent XWB	2014	876
Airbus wide body total				**1,159**
Total Airbus				**9,223**
Embraer E1 family	RJ / narrow body	GE CF34	2004	176
Embraer E2 family	RJ / narrow body	GTF	2018	293
ARJ21	Regional jet	GE CF34	2015	373
Irkut MC-21	Narrow body	PD-14	TBC	175
Comac C919	Narrow body	LEAP	2023	965
Total other				**1,983**

(1) Backlogs as per Cirium (November 30, 2025). (2) From 2020 Boeing will only produce the 737NG for Military use

(3) We include comm'l aircraft and military tanker deliveries; (4) Cirium shows 6 A320ceos in the Airbus backlog. We assume these are not delivered

Source: J.P. Morgan estimates; Companies; Cirium (June 30, 2026)

Figure 38: Market share of order book



Source: Cirium (December 31, 2025)

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Airbus - order book coverage

- **A320neo family**: Airbus is targeting a production rate for the A320neo family of 75pm by 2027. Assuming 11.5 months in the Airbus working year, it could produce a maximum of 863 A320neos. As the table below shows, Airbus is thus fully sold out until 2031. Any airline wanting to order a new A320neo today would have to wait until 2032, unless Airbus decides to increase production further.
- **A350**: The ramp is progressing slower than expected, meaning that Airbus is over booked in the coming years. Deliveries will need to be rescheduled.

Table 30: Airbus Commercial Aircraft – orders by model and year

	Airbus	2026*	2027	2028	2029	2030	2031
Orders per Cirium	**A320neo family**	**284**	**815**	**815**	**854**	**869**	**884**
Deliveries (JPMe)		652	710	775	850	865	n/a
% order cover		**n/a**	**115%**	**105%**	**100%**	**100%**	
Orders per Cirium	**A220 family**	**30**	**121**	**116**	**95**	**41**	**15**
Deliveries (JPMe)		110	130	145	160	170	n/a
% order cover		**n/a**	**93%**	**80%**	**59%**	**24%**	
Orders per Cirium	**A350 family**	**36**	**89**	**123**	**127**	**143**	**138**
Deliveries (JPMe)		66	78	94	114	138	n/a
% order cover		**n/a**	**114%**	**131%**	**111%**	**104%**	
Orders per Cirium	**A330 family**	**22**	**32**	**41**	**44**	**50**	**50**
Deliveries (JPMe)		42	45	47	49	54	n/a
% order cover		**n/a**	**71%**	**87%**	**90%**	**93%**	
Orders per Cirium	**All aircraft**	**372**	**1,057**	**1,095**	**1,120**	**1,103**	**1,087**
Deliveries (JPMe)		870	963	1,061	1,173	1,227	n/a

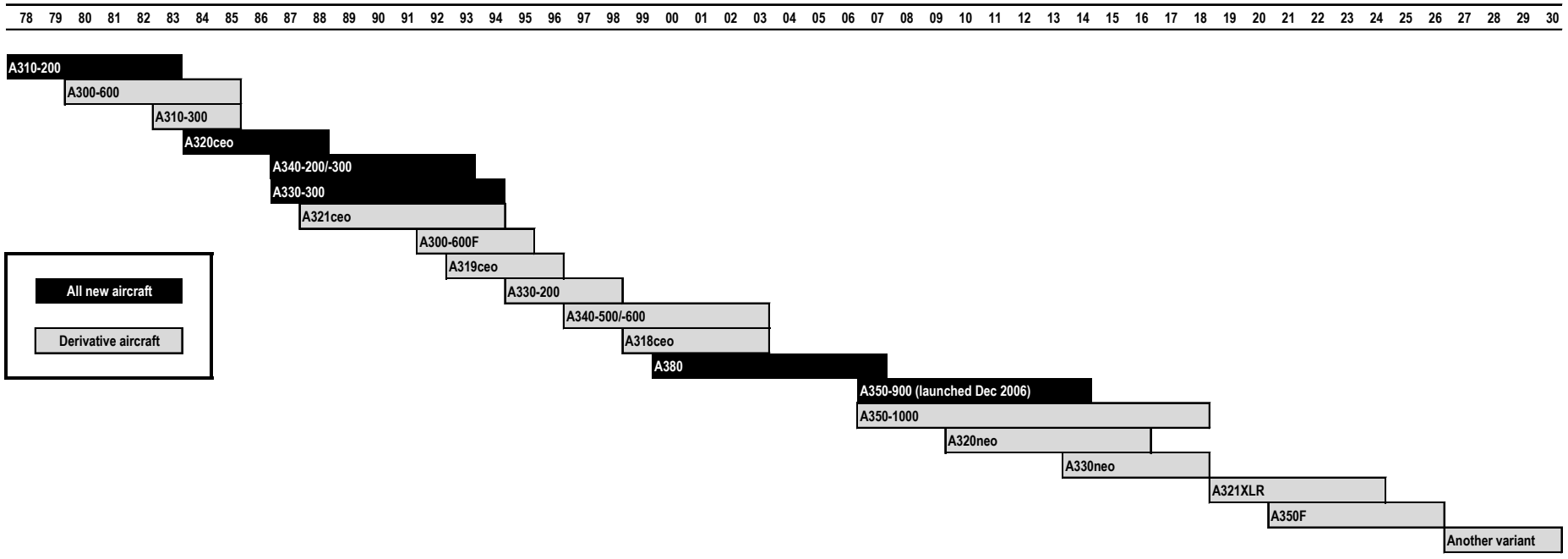
Source: Cirium (Sep 28, 2026); J.P. Morgan estimates
*We show orders remaining for the rest of 2026; however, we show deliveries for the whole of 2026

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Airbus & Boeing product development cycles

- Airbus is not currently developing any all new traditional aircraft (ie. powered by a jet engine with conventional fuel). This **significantly reduces the risk profile for investors through to c2030.**
- **Next all-new aircraft:** Around 2030 we expect Airbus to launch an all-new aircraft, for entry-into-service in c2037. This is likely to be a replacement for the A320neo. We estimate this plane could cost $20-30bn to develop.
- **Next variant aircraft**: Airbus is likely to develop one more aircraft variant between 2026 and 2030. We think this is mostly likely to be a third, bigger version of the A220 family, known as the A220-500.

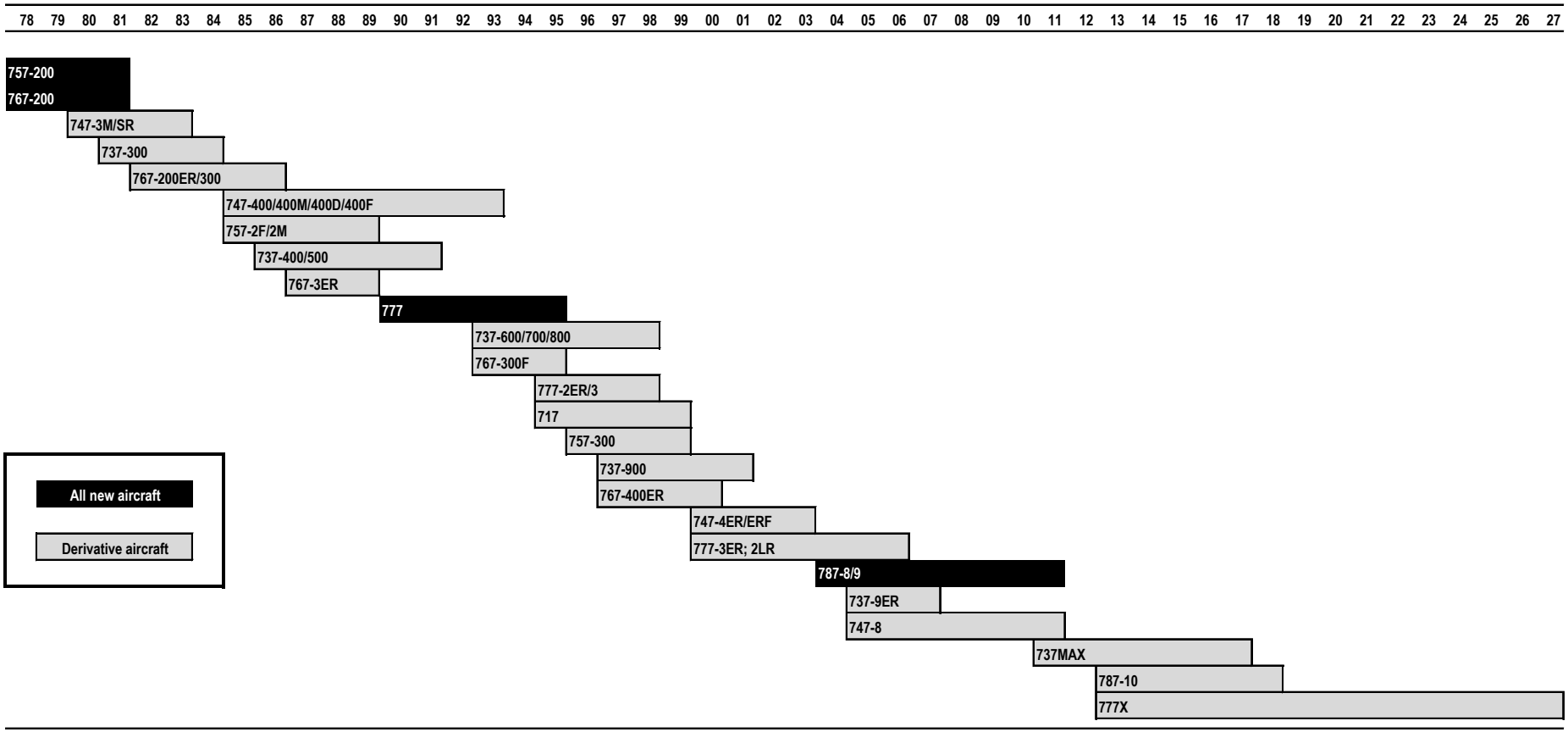
Figure 39: Airbus product development cycle



Source: Airbus; J.P. Morgan

- Boeing is not currently developing any all-new aircraft. However, the B777X is a significant upgrade programme, which is proving challenging. Boeing is also focused on improving the manufacturing quality of its B737MAX and B787.

Figure 40: Boeing product development cycle



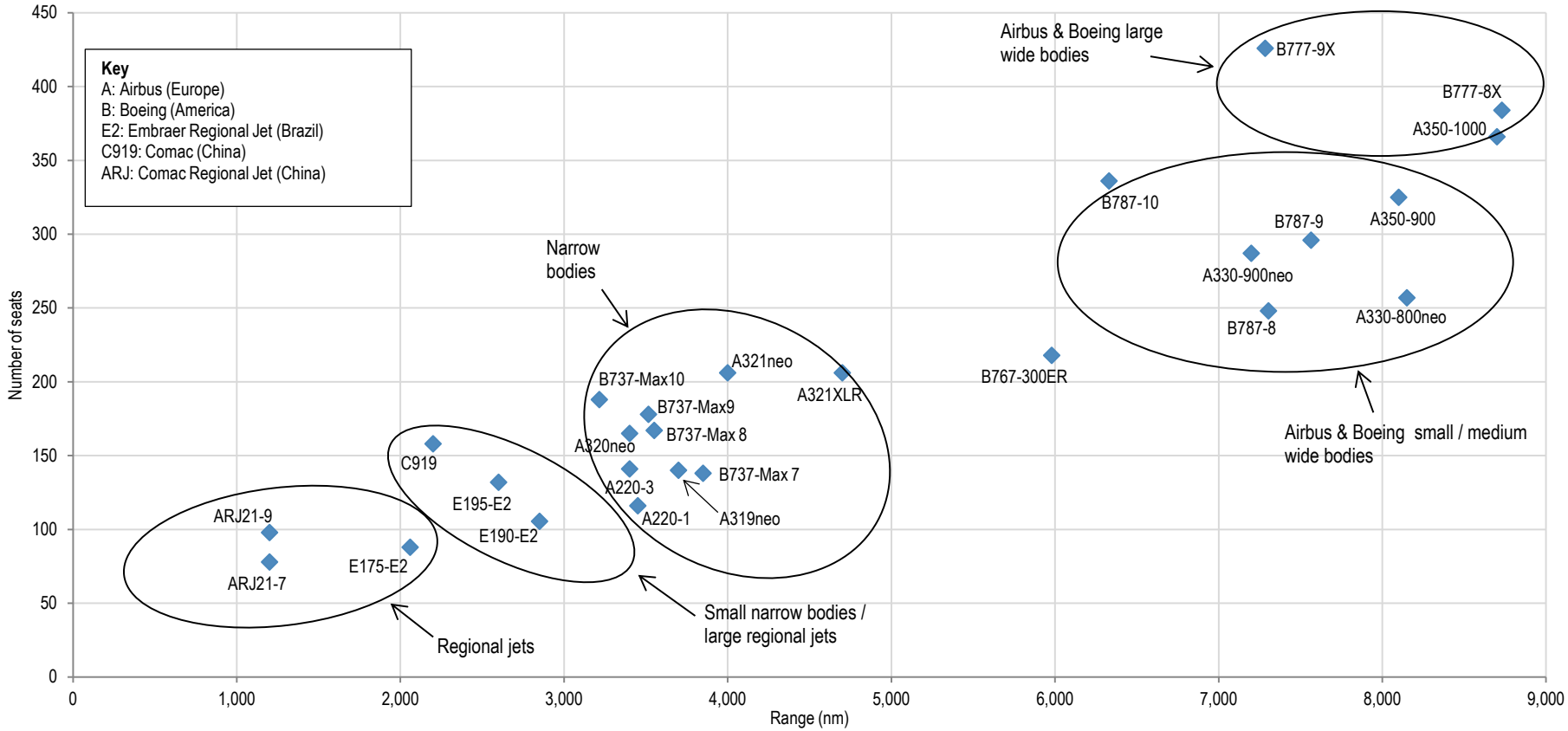
Note: Bars span the period from the official launch of the aircraft to the entry into service

Source: Boeing; J.P. Morgan

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Civil Aero - Comparing aircraft by size and range

Figure 41: Current range and seating of all major in-production / in-development aircraft programmes*



Source: J.P. Morgan estimates, Companies, Flight International (November 19, 2019; November 26, 2019); all data based on standard 2-class configuration (except E175/190/195-E2 and CRJ700/900/1000 which are single class)
*Where an existing model is in the middle of an upgrade programme we show the range / seating of the upgraded variant only

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Civil Aero - Size of the world aircraft fleet

Table 31: World aircraft fleet as on 30th June, 2026

World Fleet at December 2025	In Service				In Storage	Total
	0 to 15 yrs	15 to 20 yrs	>20 yrs	Total		
Narrow body (passenger)	12,661	2,693	2,449	**17,803**	2,186	19,989
Wide body (passenger)	3,333	495	647	**4,475**	553	5,028
Jets >100 seats (passenger)	**15,994**	**3,188**	**3,096**	**22,278**	**2,739**	**25,017**
% of narrow bodies in service	*71%*	*15%*	*14%*	***100%***		
% of wide bodies in service	*74%*	*11%*	*14%*	***100%***		
Narrow body (business jet)	63	62	63	**188**	92	280
Wide body (business jet)	2	1	7	**10**	11	21
Narrow body (freighter)	3	116	735	**854**	338	1,192
Wide body (freighter)	651	176	598	**1,425**	268	1,693
Jets >100 seats (non-passenger)	**719**	**355**	**1,403**	**2,477**	**709**	**3,186**
Regional jet (passenger only)	1,387	620	894	**2,901**	939	3,840
Turboprop (passenger only)	850	245	1,088	**2,183**	827	3,010
Total comm'l aircraft in world*	**18,950**	**4,408**	**6,481**	**29,839**	**5,214**	**35,053**

*Excludes commercial aircraft used by governments, military forces, and other non-commercial purposes

Source: Cirium; J.P. Morgan estimates

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Civil Aero - Engine programmes (by size / by RRSP / by LTSA)

Table 32: Risk Revenue Sharing Partner stakes in major commercial aero engines

Engine	EIS (Engine model)	Main aircraft	Est. total stake granted to RRSPs	---- No. engines (1) ---- In service	On order	In storage	Total	---------- Key Risk-Revenue Sharing Partner (RRSP) stakes on each major engine ---------- Safran France	MTU Germany	Melrose UK	ITP Spain	IHI Japan	KHI Japan	MHI Japan
CFM International (GE / Safran JV)														
LEAP	**2016**	**B737 MAX; A320NEO; C919**	n/m	9,602	18,266	272	**28,140**	**50%**						
CFM56	1984	B737; A320	n/m	19,928	70	2,306	**22,304**	50%		<2%				
GE														
GE9X	**2027E**	**B777X**	**c27%**	4	1,304	0	**1,308**	**>11%**	**4.0%**			**10.5%**		
GEnx	**2012**	**B787 / B747**	**c35%**	2,214	1,832	118	**4,164**	**7.3% to 7.7%**	**6.6%**	**4 to 7%**		**13.0%**		**2.0%**
GE/P&W GP7000	2008	A380	n/m	340		88	**428**	17.5%	22.5%					
GE90	1995	B777	c35%	2,434	86	194	**2,714**	23.7%		<2%		8.5%		
CF34	1992	Bom / Emb regional jets	c30%	5,258	1,098	1,370	**7,726**					27.0%	3.0%	
CF6-80 variant	1982	A330 / B747	c24% to c33%	2,482	30	746	**3,258**	10-19.4%	9.1%	c5%				
Pratt & Whitney														
PW1100G	**2016**	**A320neo**	**49%**	2,958	3,296	1,182	**7,436**		**18.0%**	**4.0%**	Minor	**15.0%**	**6.0%**	**2.0%**
PW1500G	**2016**	**A220**	**n/a**	886	1,170	160	**2,216**		**17.0%**	**7.0%**			**2.0%**	
PW1900G	**2018**	**Embraer E-Jet Gen 2**	**n/a**	398	586	30	**1,014**		**17.0%**	**7.0%**			**2.0%**	
V2500	1989	A320	c40% to 50%	4,790	8	726	**5,524**		16.0%	2 to 5%		14.0%	6.0%	3.0%
PW4000	1987	A330 / B777 / B747 / B767	c27.5%	1,295	144	350	**1,789**		12.5% (2)	2 to 5%			1.0%	10.0%
PW2000	1984	B757 / C-17 (military)	c25% to 28%	362		116	**478**		21.2%	4 to 7%				
JT8D	1980	MD-80	c25%	294		495	**789**		12.5% (2)	7 to 10%				2.8%
Rolls-Royce														
Trent 7000	**2018**	**A330neo**	**c25-30%**	360	554	34	**948**				**c10%**		**Yes**	**Yes**
Trent XWB	**2014**	**A350**	**c25-30%**	1,432	1,752	18	**3,202**			**2 to 5%**	**c10%**		**7.0%**	**6.5%**
Trent 1000	**2011**	**B787**	**c25-30%**	822	64	26	**912**				**c10%**		**8.5%**	**7.0%**
Trent 900	2007	A380	c15-20%	324		56	**380**			2 to 5%	c15%			
Trent 500	2003	A340-5/6	c15-20%	68		220	**288**			2 to 5%	yes	5.5%	5.0%	
Trent 700	1995	A330	<10%	1,446	12	184	**1,642**				yes		2.7%	
Trent 800	1996	B777	<10%	230		96	**326**				yes	5.0%	4.0%	
RB211	1972	B747/757/767; L1011; Tu-204	<10%	692		190	**882**						3.0%	

(1) No. of engines in service is as at 30th, June, 2026 (per Cirium database)
(2) MTU has a share of only the PW4084 and 4090 variants (B777-200/300). MTU has a share of only the JT8D-200 engine (MD-80)

Source: Companies; J.P. Morgan; Cirium (June 30, 2026)

Table 33: Percentage of aftermarket work contracted under LTSAs - selected engine models

	Selected older gen engine models	Selected prior gen engine models	Selected new gen engine models
CFM International (GE / Safran) (1)		**CFM56**	**LEAP (2)**
% of engines on LTSA		**15%**	**c80%**
o/w LTSA - pay when work done		*n/a*	*c62%*
o/w LTSA - pay as you go		*n/a*	*c18%*
GE	**CF6-80C2**	**GE90**	**GEnx**
% of engines on LTSA	**c30%**	**c60%**	**c70%**
o/w LTSA - pay when work done			
o/w LTSA - pay as you go			
Pratt & Whitney / IAE (3)	**PW2000**	**V2500**	**GTF family (4)**
% of engines on LTSA	**<30%**	**60%**	**80%**
o/w LTSA - pay when work done		*30%*	*50%*
o/w LTSA - pay as you go		*30%*	*30%*
Rolls-Royce	**RB211**	**Trent family**	**Trent family**
% of engines on LTSA	**c33%**	**90%**	**c90%**
o/w LTSA - pay when work done			*minority of LTSAs*
o/w LTSA - pay as you go			*majority of LTSAs*

(1) Safran says that the share of LEAP engines under LTSA is the same for Safran and GE.
For the CFM56 the % figures could be different as GE and Safran may contract separately with customers.
(2) As at December 2024 c80% of LEAP engines (by value) are on LTSA contracts. Safran expects this to fall over time, as Safran and GE encourage customers back to "Time & Materials" contracts when their first LTSA ends (after 8-12 years)
(3) Data for the share of engines on LTSA is provided by MTU. We cannot be sure that P&W has exactly the same LTSA exposures as MTU
(4) GTF family is the PW1100G, PW1500G, PW1900G

Source: Companies; J.P. Morgan estimates

- **CFM International** has sold most LEAP engines with LTSAs. However, CFMI is increasingly trying to persuade customers to move back to "time and materials." CFMI also prefers to collect the LTSA cash payments when shop visits are performed, not on a "pay as you go" basis.
- **Rolls-Royce** has a very high mix of "pay as you go" LTSAs. This means it collects a lot of cash payment in advance of performing actual maintenance work.

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Civil Aero - Tracking the grounded GTF fleet

Table 34: Tracking the number of grounded GTF engines - A320neo

Engine	05-Apr-24	08-Oct-24	24-Mar-25	21-Jul-25	13-Mar-26	14-Apr-26	01-Jun-26	20-Jul-26	14-Aug-26	28-Sep-26
PW1100G - In service										
o/w distressed airlines	242	262	258	248	148	144	84	86	88	86
o/w non-distressed airlines	1,694	1,842	1,996	2,216	2,578	2,658	2,752	2,920	3,020	3,088
Total GTF - A320neo	**1,936**	**2,104**	**2,254**	**2,464**	**2,726**	**2,802**	**2,836**	**3,006**	**3,108**	**3,174**
PW1100G - In storage										
o/w distressed airlines	234	150	170	190	222	228	264	248	208	164
o/w non-distressed airlines	880	1,052	1,116	1,034	1,054	998	1,008	888	846	888
Total GTF - A320neo	**1,114**	**1,202**	**1,286**	**1,224**	**1,276**	**1,226**	**1,272**	**1,136**	**1,054**	**1,052**
PW1100G - Total fleet										
o/w distressed airlines	476	412	428	438	370	372	348	334	296	250
o/w non-distressed airlines	2,574	2,894	3,112	3,250	3,632	3,656	3,760	3,808	3,866	3,976
Total GTF - A320neo	**3,050**	**3,306**	**3,540**	**3,688**	**4,002**	**4,028**	**4,108**	**4,142**	**4,162**	**4,226**
% of total fleet in storage										
o/w distressed airlines	49.2%	36.4%	39.7%	43.4%	60.0%	61.3%	75.9%	74.3%	70.3%	65.6%
o/w non-distressed airlines	34.2%	36.4%	35.9%	31.8%	29.0%	27.3%	26.8%	23.3%	21.9%	22.3%
Total GTF - A320neo	**36.5%**	**36.4%**	**36.3%**	**33.2%**	**31.9%**	**30.4%**	**31.0%**	**27.4%**	**25.3%**	**24.9%**

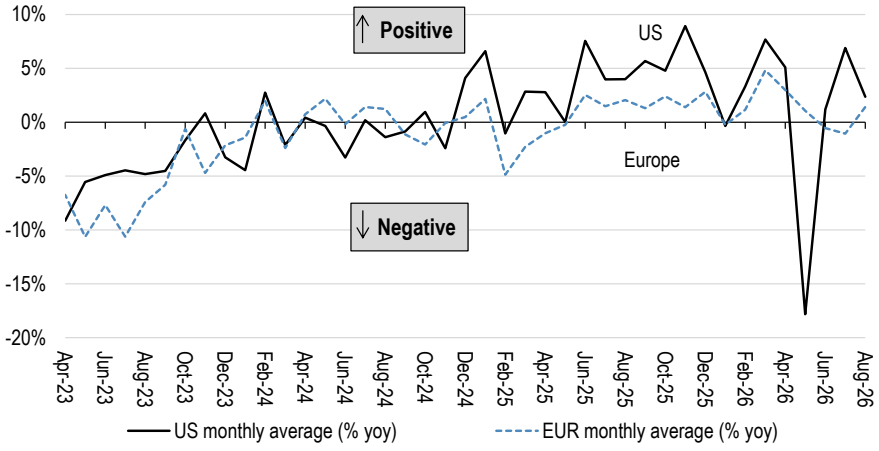
Note: Distressed airlines include S7 Airlines / Spirit Airlines / Viva Air / Go First.
Source: Cirium

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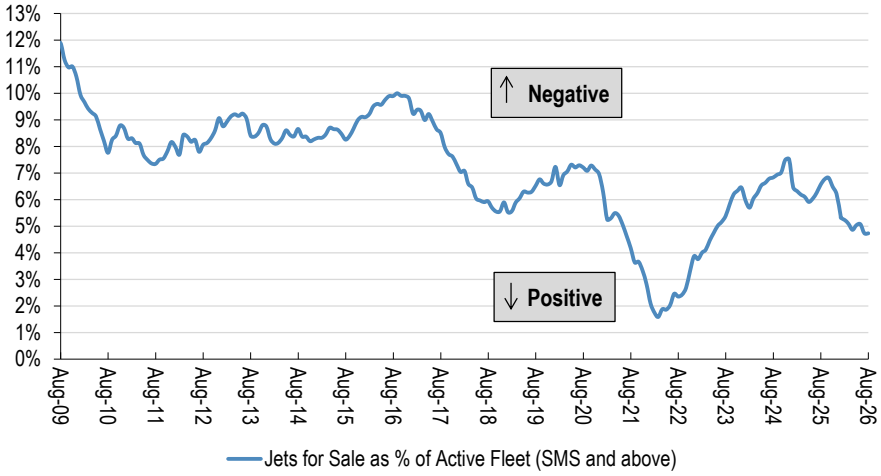
Civil Aero - Business jet data

Figure 42: US and European business jet traffic (% change yoy)



Source: FAA (US business jet flight operations – dom and int'l); Eurocontrol (Eur. business jet departures – dom and int'l)

Figure 43: Business jet markets – availability of used jets (Super Mid-size and above)



Source: JetNet, (Jul 20, 2026); J.P. Morgan estimates

Table 35: Business jet deliveries

The US/Israel-Iran conflict could impact business jet flying traffic it it results in structurally higher jet fuel prices and weaker economic growth; it could also impact demand for new business jets

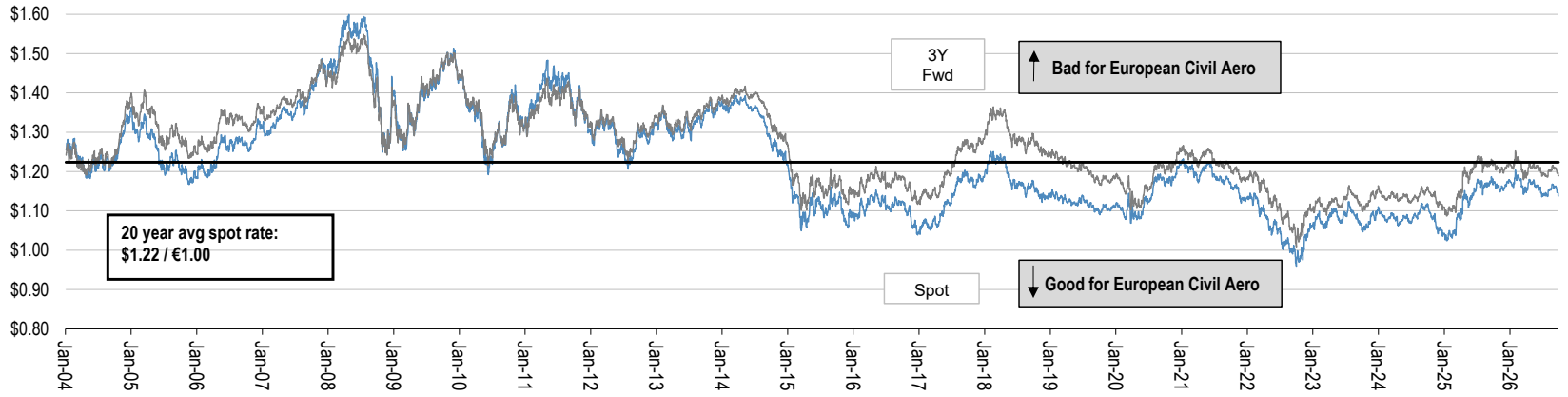
Model	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Total Gulfstream	147	127	119	120	111	136	158	164	162	171	176	183
Total Bombardier	142	114	120	123	138	146	157	159	163	168	171	174
Total Cessna	206	132	167	178	168	151	171	180	195	205	207	210
Total Dassault Aviation	**40**	**34**	**30**	**32**	**26**	**31**	**37**	**40**	**41**	**47**	**48**	**53**
Total Embraer	109	86	93	102	115	130	155	165	175	185	190	200
Total Other	71	72	84	56	70	75	80	80	80	80	80	80
Grand Total	**715**	**565**	**613**	**611**	**628**	**669**	**758**	**788**	**816**	**856**	**872**	**900**

Source: Companies, General Aviation Manufacturers Association, J.P. Morgan estimates

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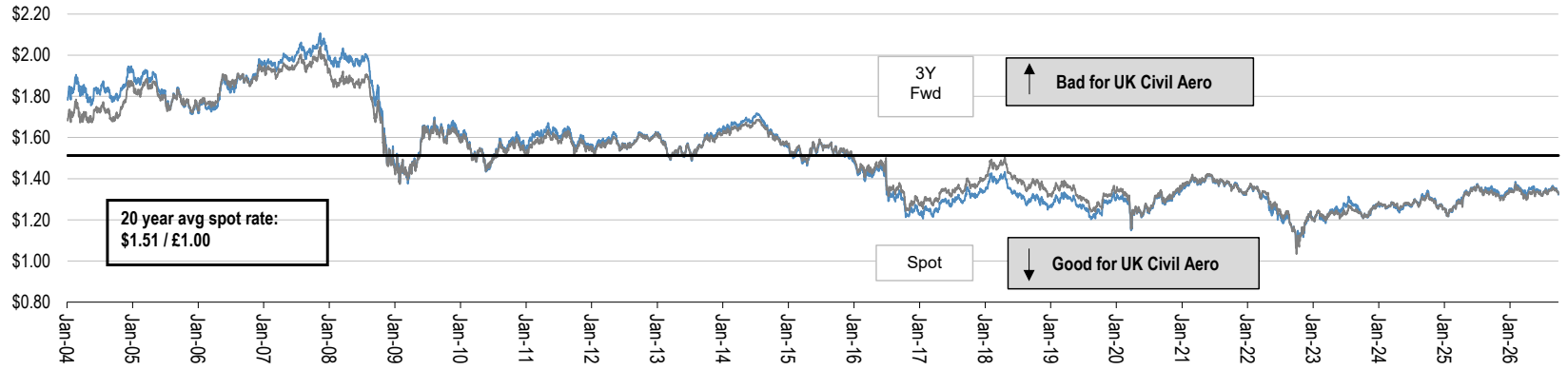
Civil Aero - Long term FX rates

Figure 44: $/€ spot rate and 3-year forward rate



Source: Bloomberg Finance L.P. (Intraday Sep 28th, 2026)

Figure 45: $/£ spot rate and 3-year forward rate



Source: Bloomberg Finance L.P. (Intraday Sep 28th, 2026)

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Defence - Top 23 spending countries

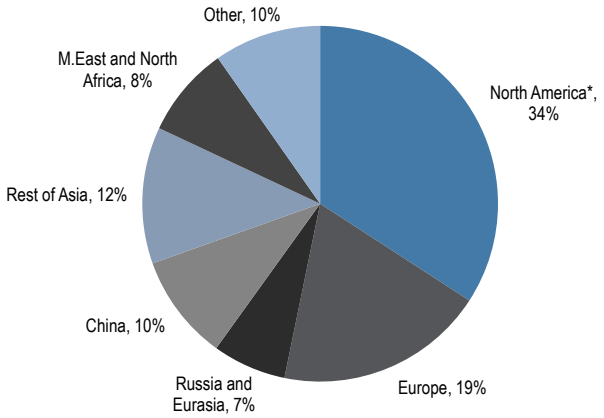
Table 36: Defence budgets by country, 2025 ($ bn)

Defence budgets include personnel/operations and defence investment (R&D/equipment/maintenance). In advanced economies c35-45% of defence budgets are spent on investment; in less advanced economies the figure might be c25%.

Country (1)	Defence budget ($ bn)	GDP ($ bn) per IMF	Defence budget as % of GDP	Share of global defence spend	NATO member
US (2)	860.1	30,616	2.8%	33.0%	Yes
China	251.3	19,399	1.3%	9.6%	
Russia	161.2	2,541	6.3%	6.2%	
Germany (3)	107.3	5,014	2.1%	4.1%	Yes
UK (4)	82.0	3,959	2.1%	3.1%	Yes
India	78.3	4,125	1.9%	3.0%	
Saudi Arabia	72.5	1,269	5.7%	2.8%	
France (4)	69.9	3,362	2.1%	2.7%	Yes
Japan	58.9	4,280	1.4%	2.3%	
Ukraine	44.4	210	21.2%	1.7%	
S.Korea	43.8	1,859	2.4%	1.7%	
Italy	40.1	2,544	1.6%	1.5%	Yes
Israel	39.7	611	6.5%	1.5%	
Australia	37.3	1,830	2.0%	1.4%	
Poland	33.2	1,040	3.2%	1.3%	Yes
Canada	31.2	2,284	1.4%	1.2%	Yes
Netherlands	29.1	1,321	2.2%	1.1%	Yes
Spain	28.9	1,891	1.5%	1.1%	Yes
Algeria	25.2	288	8.8%	1.0%	
Brazil	24.3	2,257	1.1%	0.9%	
UAE	21.7	569	3.8%	0.8%	
Turkey	21.5	1,565	1.4%	0.8%	Yes
Taiwan	21.2	884	2.4%	0.8%	
Total: major budgets	**2,183**	**93,714**	**2.3%**	**83.7%**	
All other countries	426	23,452		16.3%	
Total defence budget	**2,609**	**117,165**	**2.2%**	**100.0%**	

(1) Defence budgets are from "The Military Balance" (from The International Institute for Strategic Studies), unless stated otherwise.
(2) US defence budget as reported by the US government
(3) Germany includes the core budget plus special defence fund plus Ukraine relief fund.
(4) UK / France: defence budget as reported by each govt, translated at avg FX rate 2025
Source: IMF for 2025 World GDP estimate (Oct 2025); Military Balance 2026 edition for all countries' defence budgets except as stated above.

Figure 46: Share of global defence spending by region, 2025



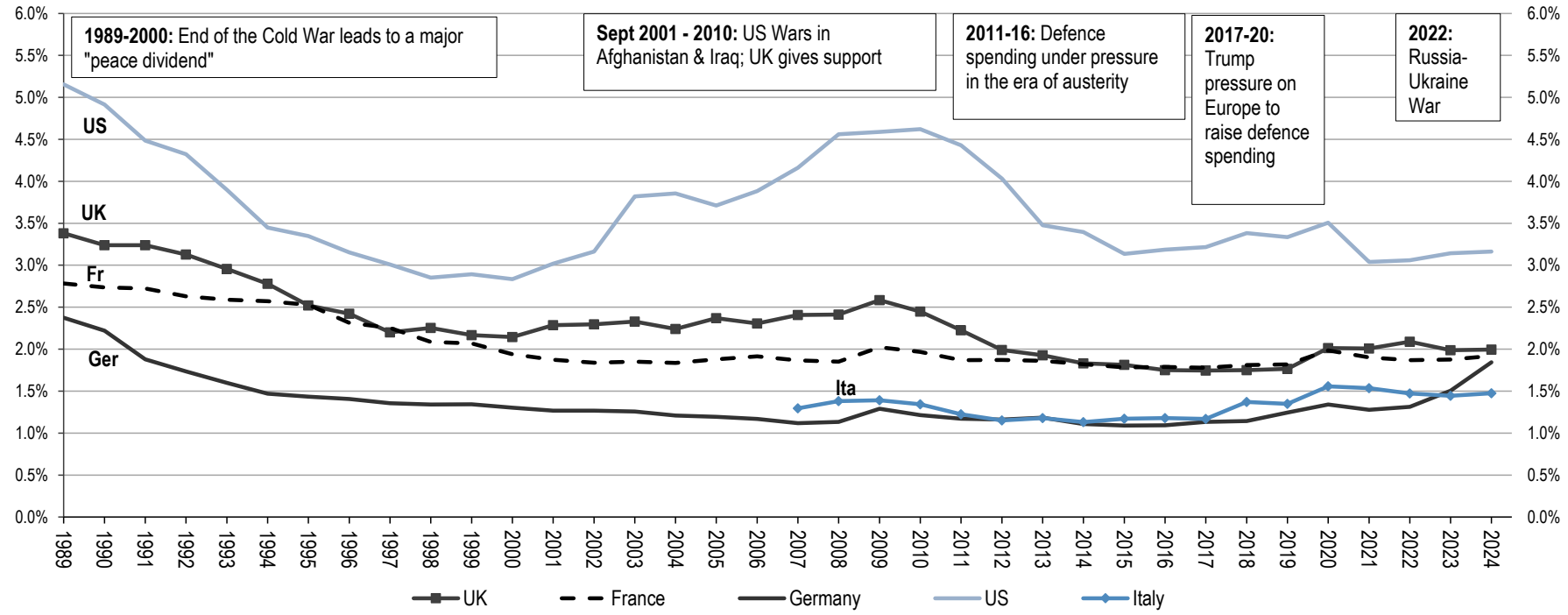
Source: The Military Balance, 2026 (*o/w US is 33% and Canada is 1.2%)

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Defence - 30 years of under spending in Europe

- After 1989, Europe reduced its military spending (as a % of GDP) and military capability, as shown in the two charts below.
- In December 2023, a report from the respected German ifo Institute estimated that **European countries had extracted a total "peace dividend" of €1.8 trillion since 1991** (i.e. the difference between what was spent on defence and what would have been spent if countries had met the NATO target of spending 2% of GDP on defence). Around one-third of this "peace dividend" relates solely to Germany, which made some of the deepest cuts to defence spending as a % of GDP.

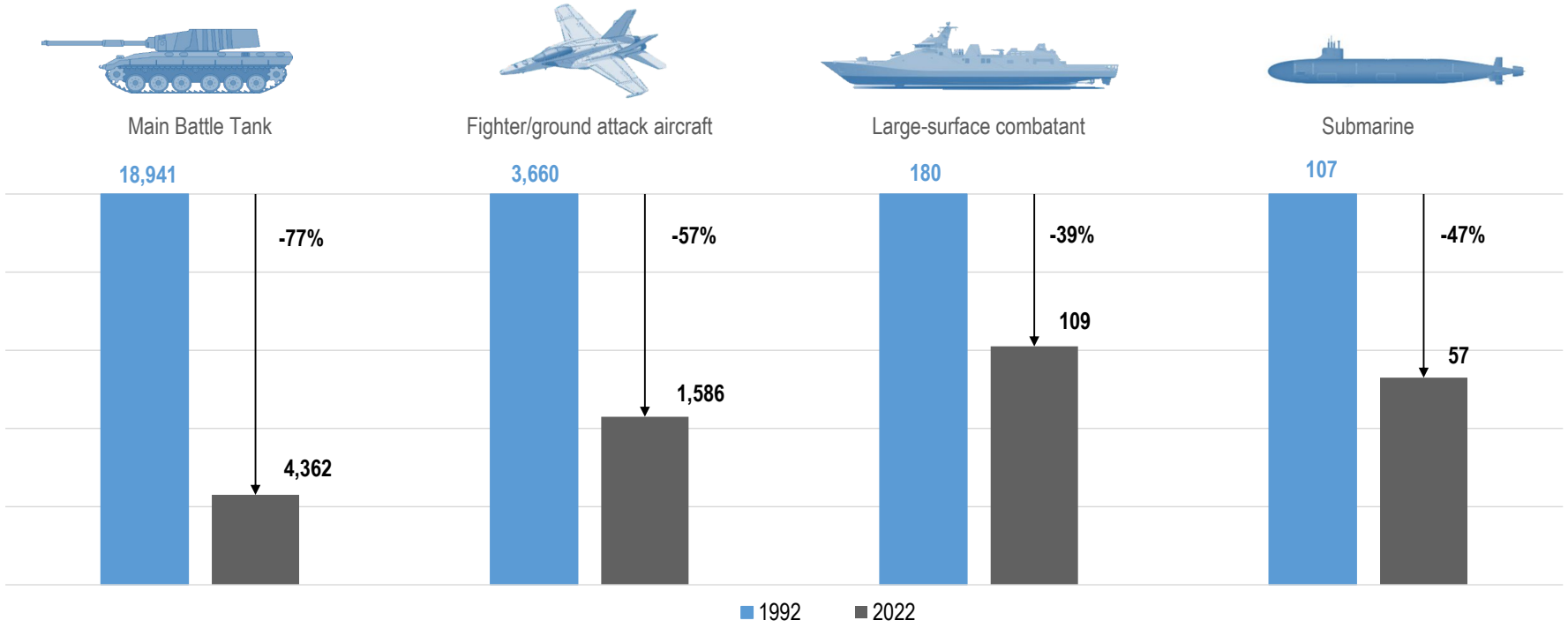
Figure 47: Major European nations – Defence budgets as a percentage of GDP since 1989



Source: The Military Balance; Government documents; IMF; J.P. Morgan estimates

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Figure 48: Inventory of European Defence equipment after 30 years of under-investment



Source: McKinsey (December 2022), 1992/2022 Military Balance.
Note: Countries include France, Germany, Italy, Netherlands, Norway, Poland, Spain, Turkey and UK. Fighter/ground attack aircraft include fighter jets and bombers. Large-surface combatant includes cruisers, destroyers and frigates.

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Defence - US Investment Outlays

Table 37: US Defence Investment Budget Outlays (fiscal yr, nominal $bn)

Fiscal Year	21A	22A	23A	24A	25E	26R
Investment Budget	**247**	**264**	**302**	**319**	**309**	**295**
yoy change	0%	7%	14%	6%	-3%	-4%
Reconciliation						*89*
Ukraine security assistance		*19*	*21*	*41*		
Israel				*13*		
New sub industrial base				*6*	*6*	
Supplemental budgets (investment portion)		***19***	***21***	***60***	***6***	***89***
Investment Budget inc. Supplementals	**247**	**283**	**323**	**379**	**314**	**384**
yoy change		15%	14%	17%	-17%	22%
Total Investment - Outlays	**247**	**243**	**264**	**290**	**310**	**335**
yoy change	3%	-2%	8%	10%	7%	8%

Source: Historical data from US government; FY25E onwards is J.P. Morgan estimate

Table 38: US DoD Investment Outlays, shown on a calendar year basis ($bn)

	Procurement Outlays	RDT&E Outlays	Investment Outlays	yoy growth
CY 22	137	110	**247**	-3%
CY 23	143	126	**270**	9%
CY 24	158	138	**296**	10%
CY 25	164	144	**308**	4%
Q1 26	38	37	**75**	9%
Q2 26	43	40	**83**	13%
Jul-26	14	15	**29**	17%
Aug-26	15	14	**29**	23%

Source: US Treasury

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Recent M&A transactions - Civil Aerospace

Table 39: Selected recent Civil Aero transactions ($mn)

US companies are much more active than European companies in Civil Aerospace M&A

Date announced	Acquirer	Acquired	Description of acquisition	Est. price	Prior yr sales	Prior yr EBIT	EBIT margin	Price / Sales	Price / EBIT
Sep-26	GE Aerospace (US)	Consolidated Precision Products (US)	Highly engineered casting components for A&D (c60% civil aero, c20% defence)	11,750	2,000	n/a	n/a	5.9	n/a
Jul-26	Transdigm (US)	Prince & Izant (US)	Brazing alloys and specialty metal components for manufacturing industries	1,066	360	n/a	n/a	3.0	n/a
Apr-26	Tinicum / Blackstone (US)	Senior plc (UK)	Fluid conveyance and thermal management systems	1,889	997	86	9%	1.9	22
Jan-26	Transdigm (US)	Jet Parts Engineering & Victor Sierra Aviation	PMA (generic spare parts) for aviation customers	2,200	280	n/a	n/a	7.9	n/a
Dec-25	Howmet Aerospace (US)	Consolidated Aerospace Manufacturing	Fasteners, fittings, and engineered components for A&D	1,800	490	n/a	n/a	3.7	n/a
Sep-25	Crane Company (US)	Baker Hughes' PSI unit (US)	Sensor-based technologies for aerospace, nuclear and process industries	1,060	390	n/a	n/a	2.7	n/a
Jun-25	TransDigm (US)	Simmonds Precision Products (US)	Fuel & proximity sensing and structural health monitoring solutions (40% aftermarket)	765	350	n/a	n/a	2.2	n/a
Apr-25	Thomas Bravo (US)	Boeing Digital Aviation Solutions (US)	Navigation and flight planning tools, navigation apps and other aviation software	10,550	n/a	n/a	n/a	n/a	n/a
Feb-25	Warburg Pincus & Berkshire Partners (US)	Triumph Group (US)	Aerospace services, structures, systems and support	3,000	1,192	87	7.3%	2.5	34.7
Jul-24	Boeing (US)	Spirit Aerosystems (US)	Aerostructures for civil, military and business/regional jets	8,300	6,048	-134	nm	1.4	nm
Jul-24	Platinum Equity Advisors (US)	Heroux-Devtek (Canada)	Landing gear, actuators and other components for aerospace customers	993	463	44	9.5%	2.1	22.6
Jul-23	Safran (Fr) (1)	RTX Actuation & Flight Control (Collins) (US)	Actuation and flight control systems (c63% commercial, c12% helis, c25% military)	1,800	c1,500	c90	c6%	1.2	c20.0
Jul-23	Thales (Fr) (2)	Cobham Aerospace Comms. (UK)	Satcom, audio/radio and antennas (c70% civil and c30% defence)	1,100	c200	c65	c33%	5.5	c17.0
Sep-21	Bain Capital (US) (3)	ITP (Sp.)	Modules for aero engines	2,106	1,198	142	12%	1.8	14.8
Aug-21	Parker Hannifin (US) (4)	Meggitt (UK)	Wheels & brakes; aero systems (eg. sensors, valves, actuation, fire protection)	9,088	2,913	516	18%	3.1	17.6
Oct-18	Transdigm (US)	Esterline (US)	Avionics/controls/sensors/materials (40% civil aero, 30% defence, 30% other)	4,000	2,000	175	8.8%	2.0	22.9
May-18	Boeing (US)	KLX Aerospace Solutions (US)	Small aero components and supply chain / logistical services	4,250	1,420	241	17.0%	3.0	17.6
Jan-18	Melrose (UK)	GKN (UK)	Aerospace (engine components; aerostructures); automotive systems	12,825	10,409	774	7.4%	1.2	16.6
Aug-17	United Tech (US) (5)	Rockwell Collins (US)	Avionics; def. electronics; aircraft interiors/systems	30,000	7,127	1,687	23.7%	4.2	17.8
Jan-17	Safran (Fr) (6)	Zodiac (Fr)	Aircraft interiors; aircraft systems	8,700	5,181	270	5.2%	1.7	nm

(1) We show RTX Actuation & Flight Control sales and EBIT in 2024E. (2) We show Cobham Aerospace Communications sales and EBIT in 2023E

(3) ITP was owned by Rolls-Royce and reported in GBP when it was acquired by Bain. We show ITP sales and EBITA in 2019 (pre-COVID), at an FX rate of $1.28

(4) Parker Hannifin / Meggitt: we show MGGT sales and EBITA in 2019A (pre COVID), at an FX rate of $1.28

(5) UTC - Rockwell: Acquis. price is from UTC's press release of Sept 5, 2017; Rockwell sales & EBITA is YE Sept 2018E (ie. first full year including BE Aero) consensus from BBG on Sept 5, 2017

(6) For Zodiac prior year sales and EBITA we used our estimate of calendar year 2016 (8 months of YE Aug 2016 and 4 months of YE Aug 2017) at time deal was announced

Source: Company reports; J.P. Morgan estimates

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Total shareholders' return

Table 40: Total shareholders' return

Company	Country	2001	2002	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026 YTD	3 Yr pa	20 Yr pa
Airbus	Fr/Ger	-41%	-26%	-44%	19%	24%	40%	24%	92%	-25%	53%	4%	35%	3%	58%	-31%	25%	0%	28%	13%	31%	-1%	17%	13%
Safran	France			-29%	45%	97%	-10%	44%	59%	4%	26%	10%	27%	25%	33%	-16%	-7%	9%	38%	34%	42%	13%	32%	18%
MTU	Germany			-50%	102%	35%	0%	42%	6%	3%	27%	24%	38%	8%	63%	-16%	-15%	14%	-2%	66%	11%	5%	30%	15%
Rolls-Royce	UK	-12%	-32%	-36%	50%	32%	23%	20%	49%	-30%	-32%	18%	29%	-1%	-17%	-53%	10%	-24%	222%	90%	105%	29%	89%	14%
Melrose	UK																			-1%	8%	-18%		
Meggitt	UK	-5%	-5%	-50%	73%	47%	-2%	11%	41%	1%	-26%	27%	9%	1%	44%	-29%	58%							
Zodiac	France	-29%	-2%	-35%	16%	100%	19%	30%	57%	10%	-20%	1%	16%											
Civil Aero - unweighted avg		**-22%**	**-16%**	**-41%**	**51%**	**56%**	**12%**	**28%**	**51%**	**-6%**	**5%**	**14%**	**25%**	**7%**	**36%**	**-29%**	**14%**	**0%**	**71%**	**40%**	**39%**	**6%**	**42%**	**15%**
Dassault Av.	France	48%	-8%	-36%	33%	16%	-4%	32%	26%	16%	9%	-6%	23%	-6%	-2%	-23%	7%	69%	15%	12%	41%	8%	19%	9%
Thales	France	-23%	-34%	-25%	24%	-26%	-4%	11%	82%	-1%	56%	36%	-1%	15%	-7%	-19%	2%	63%	15%	6%	68%	0%	21%	12%
Leonardo	Italy	-20%	-45%	-43%	7%	-20%	-65%	52%	26%	41%	67%	3%	-25%	-21%	38%	-42%	7%	30%	88%	76%	92%	1%	55%	7%
Rheinmetall	Germany	131%	-27%	-57%	105%	35%	-42%	12%	29%	-18%	71%	6%	68%	-26%	36%	-12%	-2%	128%	57%	117%	155%	-37%	58%	18%
Saab	Sweden	32%	-1%	-43%	70%	6%	19%	-1%	32%	20%	32%	33%	19%	-15%	3%	-24%	-2%	81%	49%	55%	131%	15%	64%	16%
BAE Systems	UK	-17%	-59%	-22%	0%	-4%	-8%	26%	35%	14%	10%	23%	0%	-17%	28%	-9%	18%	61%	33%	6%	52%	16%	27%	13%
Defence primes - unweighted avg		**25%**	**-29%**	**-38%**	**40%**	**1%**	**-17%**	**22%**	**39%**	**12%**	**41%**	**16%**	**14%**	**-12%**	**16%**	**-22%**	**5%**	**72%**	**43%**	**45%**	**90%**	**0%**	**41%**	**13%**
Exosens	France																				150%	24%		
RENK	Germany																				194%	-25%		
Hensoldt	Germany																-9%	78%	11%	43%	114%	4%	41%	n/a
OHB	Germany		-27%	-40%	44%	51%	-30%	37%	19%	14%	8%	-10%	144%	-30%	43%	-11%	-6%	-9%	34%	15%	145%	64%	66%	19%
Babcock	UK	-5%	15%	-14%	30%	-1%	32%	35%	44%	-10%	-2%	-3%	-23%	-28%	37%	-56%	14%	-11%	41%	28%	150%	-20%	35%	8%
Qinetiq	UK			-18%	6%	-19%	3%	41%	21%	-12%	48%	-1%	-10%	27%	28%	-9%	-15%	37%	-12%	37%	8%	12%	17%	n/a
Ultra	UK	-7%	22%	-16%	24%	26%	-11%	15%	19%	-4%	13%	1%	-29%	0%	68%	0%	57%							
Cobham	UK	5%	-3%	1%	26%	-17%	-7%	25%	29%	22%	-9%	-28%	-11%	-23%	69%									
Defence SMID - unweighted avg		**-2%**	**2%**	**-17%**	**26%**	**8%**	**-2%**	**31%**	**26%**	**2%**	**12%**	**-8%**	**14%**	**-11%**	**49%**	**-19%**	**8%**	**24%**	**19%**	**31%**	**127%**	**10%**	**40%**	**13%**
MSCI Europe		**-15%**	**-30%**	**-43%**	**33%**	**12%**	**-8%**	**18%**	**21%**	**8%**	**9%**	**3%**	**11%**	**-10%**	**27%**	**-3%**	**26%**	**-9%**	**17%**	**9%**	**20%**	**11%**	**16%**	**7%**

Source: Bloomberg Finance L.P. (COB Sep 28th, 2026)

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J.P.Morgan

J.P. Morgan recent recent research on European A&D

Table 41: J.P. Morgan's recent research on European A&D

Name	Date of publication	Description / Page count
Civil Aerospace - Current trading		
Safran: An outstanding long-term investment; raising PT to EUR 460	10-Sep-26	Roadshow takeawyas
Melrose: Update on Garden Grove: several positives but we lower our FCF forecasts	25-Aug-26	Ad-hoc
Rolls-Royce: Raising PT to 1,800p, for c20% upside over the next 17 months	04-Aug-26	H1 26 results note
Airbus SE: 2026 Business Update: Cleared for take-off	21-Jul-26	Business update takeaways
MTU Aero Engines: Outlook improving on multiple fronts; we see c40% upside over next 18 months	23-Jun-26	Ad-hoc
Defence - Current trading		
RENK: Q3 26 likely to be impacted by weak industrial performance; we lower EPS estimates and PT	28-Sep-26	Ad-hoc
Dassault Aviation: Autumn housekeeping on estimates and PT	27-Sep-26	Ad-hoc
Thales: Feedback from CEO / CFO roadshow	25-Sep-26	Roadshow takeawyas
Babcock International: Solid trading update; pullback in shares provides very attractive entry point	16-Sep-26	Trading update takeaways
Rheinmetall: Strong Q2 26 results, but growing uncertainty over the medium-term	17-Aug-26	Q2 26 results note
Vincorion: Raising our 2026-30E EPS by c10% pa after very strong H1 26 results	13-Aug-26	Q2 26 results note
CSG: Shares offer c60% upside, even on much more conservative estimates	11-Aug-26	Q2 26 results note
Leonardo: Raising estimates and PT; still one of our top picks in European Defence	05-Aug-26	Q2 26 results note
Hensoldt: Raising PT to EUR 100 to reflect portfolio attractions and increasing industry M&A	05-Aug-26	Q2 26 results note
Exosens: Raising estimates and PT, outlook is strong in both divisions	03-Aug-26	Q2 26 results note
BAE Systems: H1 26: EPS beats consensus by 5% and FCF beats our forecast by £1.9bn	30-Jul-26	H1 26 results note
Primers and other reference pieces		
OHB - Initiation of coverage	07-Aug-26	56 pages
Vincorion - Initiation of coverage	29-Apr-26	47 pages
CSG - Initiation of coverage	05-Mar-26	58 pages
European Aero & Defence 2026 Outlook: Fundamentals still very strong across the board	10-Dec-25	186 pages
Melrose - Transfer of coverage to A&D Team	26-Nov-24	51 pages
Exosens - Initiation of coverage	23-Jul-24	42 pages
RENK - Initiation of coverage	16-Apr-24	38 pages
Leonardo - Relaunch of coverage	30-Nov-23	47 pages
Aero Engines - First Principles	20-Apr-23	61 pages
Rheinmetall - First Principles	7-Nov-22	37 pages
Dassault Aviation - First Principles	15-Jul-22	35 pages
Airbus - First Principles	10-Feb-22	55 pages

Source: J.P. Morgan

Meet the team

European Aerospace and Defence Equity Research



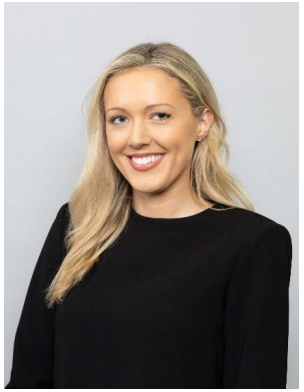
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David Perry, CFA, is a Managing Director and Head of European, Aerospace & Defence Equity Research. The team has been ranked in the Top 3 by Institutional Investor every year from 2015 to 2025. David was ranked #1 European A&D analyst by Institutional Investor in 2025, 2024, 2023, 2020, 2019 and 2018. From 2014 to 2020 David was ranked every year in the Top 3 in the Starmine "Top Earnings Estimator" category for European A&D; the award was discontinued in 2021. David has been an A&D analyst since 1998. He joined J.P. Morgan in December 2012. He holds a First Class (MA) Degree in History and Politics from The University of Edinburgh.



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